



MUTUAL BENEFITS ASSURANCE PLC

**UNAUDITED CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE 2026**

MUTUAL BENEFITS ASSURANCE PLC
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FOR THE PERIOD ENDED 30 JUNE 2026

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MUTUAL BENEFITS ASSURANCE PLC
UNAUDITED CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE 2026

CORPORATE INFORMATION

Directors	Dr. Akin Ogunbiyi Mr. Olufemi Asenuga Mr. Adebisi Ashiru-Mobolaji Mr. Joseph Oladokun Mr. Adesoye Olatunji Mr. Akinboye Oyewumi Mr Abidemi Sonoiki Alh Lateef Bakare Mrs Omowunmi Eniola-Jegede Alh Lamis Sheu Dikko Mrs Asia El-Rufai	Chairman Managing Director/CEO Managing Director, Mutual Benefit Life Assurance Limited Executive Director, Technical Non-Executive Director Non-Executive Director Non-Executive Director (Independent) Non-Executive Director (Independent) Non-Executive Director Non-Executive Director (Independent) Non-Executive Director
Registered Office	Aret Adams House 233 Ikorodu Road, Ilupeju, Lagos	
Auditor	KPMG Professional Services KPMG Tower Bishop Aboyade Cole Street Victoria Island Lagos	
Company Secretary	Babajide Ibitayo (Esq) FRC/2013/PRO/00000003123	
Bankers	Access Bank Plc Fidelity Bank Plc First City Monument Bank Plc First Bank of Nigeria Limited Keystone Bank Limited Sterling Bank Plc Zenith Bank Plc	Mutual Benefits Microfinance Bank Limited Ecobank Nigeria Limited Stanbic IBTC Bank Nigeria Plc Unity Bank Plc United Bank for Africa Plc Wema Bank Plc Polaris Bank Limited
Re-insurers	African Reinsurance Corporation Continental Reinsurance Plc FBS Reinsurance Plc WAICA Reinsurance Corporation Plc Aveni Reinsurance Limited Nigerian Reinsurance Corporation Market International Company Limited Gallagher Re.	Atrium Underwriting Group Limited Active Capital Reinsurance Limited. Korean Re Liberty Specialty Markets Market International Insurance Company Limited. Novata The Hartford
Actuaries	Zamara Consulting Actuaries Nigeria Limited FRC/2021/004/00000023786	
Registrar	Apel Capital Registrars Limited FRC/2021/00000014019	
Estate Surveyors & Valuers	Bamiji Makinde Consulting FRC/2015/NIESV/0000001080 Arigbede & Co Estate Surveyors and Valuers FRC/2014/NIESV/00000004634	
RC No	269837	
Tax Identification Number	00171272-0001	

MUTUAL BENEFITS ASSURANCE PLC
UNAUDITED CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE 2026

FINANCIAL HIGHLIGHTS

STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the period ended 30 June 2026

	GROUP			COMPANY		
	30 JUN-2026 YTD	30 JUN-2025 YTD	%	30 JUN-2026 YTD	30 JUN-2025 YTD	%
<i>in thousands of Nigerian Naira</i>						
Insurance revenue	42,253,300	41,195,472	3	25,851,098	25,069,528	3
Insurance service expense	(40,866,099)	(29,494,020)	39	(26,053,432)	(18,735,691)	39
Net income/(expenses) from reinsurance contracts held	3,247,995	(3,726,117)	187	1,161,309	(2,805,370)	141
Insurance service result	4,635,196	7,975,335	(42)	958,975	3,528,467	(73)
Net investment income	7,360,340	7,430,566	(1)	2,892,790	3,029,491	(5)
Net insurance and investment results	11,267,833	14,407,630	(22)	4,071,551	6,511,494	(37)
Profit before income tax	10,352,199	12,285,319	(16)	3,732,407	6,185,363	(40)
Profit for the period	9,752,950	11,593,757	(16)	3,509,508	5,984,644	(41)
Total other comprehensive income for the period, net of tax	(1,459,591)	143,197	(1,119)	(221,941)	(87,380)	(154)
Total comprehensive Income for the period, net of tax	8,293,359	11,736,955	(29)	3,287,567	5,897,264	(44)
Earnings per share: Basic and diluted	41	56		17	30	

STATEMENTS OF FINANCIAL POSITION

As at 30 June 2026

	GROUP		%	COMPANY		%
	30 JUN-2026	31 DEC-2025		30 JUN-2026	31 DEC-2025	
<i>in thousands of Nigerian Naira</i>						
Total assets	203,999,989	176,677,623	15	73,835,206	65,957,768	12
Reinsurance contract assets	22,489,360	14,983,480	50	13,422,951	9,248,296	45
Insurance contract liabilities	65,802,435	58,063,651	13	32,050,514	27,091,515	18
Investment contract liabilities	37,494,332	36,781,660	2	-	-	-
Total liabilities	117,981,329	106,952,322	10	36,676,094	32,086,225	14
Shareholders' fund	72,317,158	65,002,767	11	37,159,112	33,871,543	10

MUTUAL BENEFITS ASSURANCE PLC
UNAUDITED CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE 2026

SHAREHOLDING STRUCTURE AND FREE FLOAT STATUS

Share Price at end of reporting period:

N3.17 (31 December 2025: N3.10)

Description	30 Jun 26		31 Dec 25	
	Unit	Percentage	Unit	Percentage
Issued Share Capital	20,061,622,397	100%	20,061,622,397	100%
Substantial Shareholdings(5% and above)				
Charles Enterprises LLC	8,481,044,445	42.27%	8,481,044,445	42.27%
Arubiewe Farms Limited	4,403,012,633	21.95%	4,409,119,444	21.98%
Ogunbiyi Akinade Akanmu	1,097,642,711	5.47%	1,100,000,000	5.48%
CIL Risk & Asset Management Limited	816,525,303	4.07%	816,525,303	4.07%
Ogunbiyi Adedotun	611,991,529	3.05%	611,991,462	3.05%
Total Substantial Shareholdings	15,410,216,621	76.81%	15,418,680,654	76.86%
Directors' Shareholdings (direct and indirect), excluding directors with substantial interests				
Joseph Oladokun	1,000,000	0.00%	1,000,000	0.00%
Olufemi Asenuga	21,593,150	0.11%	21,593,150	0.11%
Adebisi Ashiru-Mobolaji	8,012,654	0.04%	8,012,654	0.04%
Abidemi Sonoiki	100,000	0.00%	100,000	0.00%
Total Directors' Shareholdings	30,705,804	0.15%	30,705,804	0.15%
Other Influential Shareholdings				
Charks Investment Limited	64,232,552	0.32%	67,222,285	0.34%
Total Influential Shareholdings	64,232,552	0.32%	67,222,285	0.34%
Free Floats in Units and Percentage	4,556,467,420	22.71%	4,545,013,654	22.66%
Free Float in Value	14,444,001,721		14,089,542,327	

Declaration:

Mutual Benefits Assurance Plc with a free float percentage of 22.71% and value of N14,444,001,721 as at 30 June 2026, is compliant with The Exchange's free float requirements for companies listed on the Main Board.

Mutual Benefits Assurance Plc with a free float percentage of 22.66% and value of N14,089,542,327 as at 31 December 2025, is compliant with The Exchange's free float requirements for companies listed on the Main Board.



Jide Ibitayo
Company Secretary

FRC/2013/PRO/00000003123
Aret Adams House
233 Ikorodu Road
Ilupeju, Lagos

Date: 24 July 2026

MUTUAL BENEFITS ASSURANCE PLC
UNAUDITED CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE 2026

CERTIFICATION PURSUANT TO SECTION 60(2) OF INVESTMENT AND SECURITIES ACT NO.29 OF 2007

I the undersigned, hereby certify the following with regards to our unaudited financial statements for the period ended 30 June 2026 that:

- a) I have reviewed the report and to the best of our knowledge, the report does not contain:
 - i) Any untrue statement of a material fact, or
 - ii) Omit to state a material fact, which would make the statements, misleading in the light of circumstances under which such statements were made;
- b) To the best of my knowledge, the financial statements and other financial information included in the report fairly present in all material respects the financial condition and results of operation of the Group as of, and for the periods presented in the report.
- c) The Group's other certifying officer and I:
 - i) are responsible for establishing and maintaining internal controls;
 - ii) have designed such internal controls to ensure that material information relating to the Company and its consolidated subsidiaries is made known to such officers by other officers within those entities particularly during the period in which these reports are being prepared;
 - iii) have evaluated the effectiveness of the Group's internal controls as of date of the report;
 - iv) have presented in the report our conclusions about the effectiveness of our internal controls based on our evaluation as of that date;
- d) The Group's other certifying officer and I have disclosed the following information to the Audit Committee:
 - i) all significant deficiencies in the design or operation of internal controls which would adversely affect the Group's ability to record, process, summarize and report financial data and have identified for the Group's auditors any material weakness in internal controls, and
 - ii) any fraud, whether or not material, that involves management or other employees who have significant roles in the Group's internal controls;
- e) The Group's other certifying officer and I have identified in the report whether or not there were significant changes in internal controls or other factors that could significantly affect internal controls subsequent to the date of our evaluation, including any corrective actions with regard to significant deficiencies and material weaknesses.



Mr. Olufemi Asenuga
FRC/2013/PRO/00000003104□
Managing Director/CEO

Date: 24 July 2026

MUTUAL BENEFITS ASSURANCE PLC
UNAUDITED CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE 2026

CERTIFICATION PURSUANT TO SECTION 60(2) OF INVESTMENT AND SECURITIES ACT NO.29 OF 2007

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 - i) Any untrue statement of a material fact, or
 - ii) Omit to state a material fact, which would make the statements, misleading in the light of circumstances under which such statements were made;
- b) To the best of my knowledge, the financial statements and other financial information included in the report fairly present in all material respects the financial condition and results of operation of the Group as of, and for the periods presented in the report.
- c) The Group's other certifying officer and I:
 - i) are responsible for establishing and maintaining internal controls;
 - ii) have designed such internal controls to ensure that material information relating to the Company and its consolidated subsidiaries is made known to such officers by other officers within those entities particularly during the period in which these reports are being prepared;
 - iii) have evaluated the effectiveness of the Group's internal controls as of date of the report;
 - iv) have presented in the report our conclusions about the effectiveness of our internal controls based on our evaluation as of that date;
- d) The Group's other certifying officer and I have disclosed the following information to the Audit Committee:
 - i) all significant deficiencies in the design or operation of internal controls which would adversely affect the Group's ability to record, process, summarize and report financial data and have identified for the Group's auditors any material weakness in internal controls, and
 - ii) any fraud, whether or not material, that involves management or other employees who have significant roles in the Group's internal controls;
- e) The Group's other certifying officer and I have identified in the report whether or not there were significant changes in internal controls or other factors that could significantly affect internal controls subsequent to the date of our evaluation, including any corrective actions with regard to significant deficiencies and material weaknesses.



Mr. Abayomi Ogunwo
FRC/2015/PRO/00000011225□
Chief Financial Officer

Date: 24 July 2026

MUTUAL BENEFITS ASSURANCE PLC
UNAUDITED CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE 2026

CONSOLIDATED AND SEPARATE STATEMENTS OF PROFIT OR LOSS
FOR THE PERIOD ENDED 30 JUNE 2026

		GROUP		COMPANY	
		30 JUN-2026	30 JUN-2025	30 JUN-2026	30 JUN-2025
<i>in thousands of Nigerian Naira</i>	Notes	YTD	YTD	YTD	YTD
Insurance revenue	4.1	42,253,300	41,195,472	25,851,098	25,069,528
Insurance service expense	4.2	(40,866,099)	(29,494,020)	(26,053,432)	(18,735,691)
Insurance service result before reinsurance contracts held		1,387,201	11,701,452	(202,334)	6,333,837
Net income/(expenses) from reinsurance contracts held	4.3.1	3,247,995	(3,726,117)	1,161,309	(2,805,370)
Insurance service result		4,635,196	7,975,335	958,975	3,528,467
Profit on investment contracts	5	1,977,777	2,081,090	-	-
Interest revenue calculated using the effective interest method	6	5,709,713	4,948,113	3,167,689	2,595,785
Net fair value gain on assets at FVTPL	7	269,491	54,814	269,491	54,814
Impairment loss on financial assets	8	(6,143)	(32,343)	(860)	-
Net foreign exchange (losses)/gains	9	(596,385)	368,254	(549,417)	368,254
Other investment income	10	5,887	10,638	5,887	10,638
Net investment income		7,360,340	7,430,566	2,892,790	3,029,491
Net finance expenses from insurance contracts issued	11.1	(1,653,602)	(1,197,072)	(626,915)	(125,591)
Net finance income from reinsurance contracts held	11.2	925,899	198,801	846,701	79,127
Net insurance finance expenses		(727,703)	(998,271)	219,786	(46,464)
Net insurance and investment results		11,267,833	14,407,630	4,071,551	6,511,494
Other income	12	141,887	82,148	19,176	21,046
Other employee benefit expenses	13	(558,149)	(694,950)	(197,038)	(197,211)
Other operating expenses	14	(811,203)	(1,782,319)	(161,282)	(149,966)
Other finance costs	15	(18,470)	(130,734)	-	-
Other finance income	16	330,301	403,544	-	-
Profit before income tax		10,352,199	12,285,319	3,732,407	6,185,363
Income tax expense	17	(599,249)	(691,561)	(222,899)	(200,719)
Profit for the period		9,752,950	11,593,757	3,509,508	5,984,644
Profit attributable to:					
Owners of the parent		8,289,143	11,273,113	3,509,508	5,984,644
Non-controlling interests		1,463,807	320,644	-	-
		9,752,950	11,593,757	3,509,508	5,984,644
Earnings per share:					
Earnings per share for profit attributable to equity holders of parent					
Basic and diluted (kobo)	18	41	56	17	30

The accounting policies and the accompanying notes form an integral part of these financial statements.

MUTUAL BENEFITS ASSURANCE PLC
UNAUDITED CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE 2026

CONSOLIDATED AND SEPARATE STATEMENTS OF OTHER COMPREHENSIVE INCOME
FOR THE PERIOD ENDED 30 JUNE 2026

		GROUP		COMPANY	
		30 JUN-2026 YTD	30 JUN-2025 YTD	30 JUN-2026 YTD	30 JUN-2025 YTD
<i>in thousands of Nigerian Naira</i>	Notes				
Profit for the period		9,752,950	11,593,757	3,509,508	5,984,644
Other comprehensive income (net of tax):					
Items that may be reclassified to the profit or loss account in subsequent periods:					
Exchange differences on translation of foreign operations		(1,191,786)	888,735	-	-
Finance income / (expenses) from insurance contracts issued	11.1	(15,962)	(826,430)	14,799	(85,242)
Finance income / (expenses) from reinsurance contracts held	11.2	(211,546)	113,070	(211,546)	30,040
		(1,419,294)	175,375	(196,747)	(55,202)
Other comprehensive income not to be reclassified to profit or loss in subsequent periods (net of tax)					
Net revaluation (losses)/gains on equity instrument at FVOCI		(40,297)	(32,178)	(25,194)	(32,178)
		(40,297)	(32,178)	(25,194)	(32,178)
Total other comprehensive income for the period, net of tax		(1,459,591)	143,197	(221,941)	(87,380)
Total comprehensive income for the period, net of tax		8,293,359	11,736,955	3,287,567	5,897,264
Total comprehensive income/(loss) attributable to:					
Owners of the parent		7,314,391	10,866,846	3,287,567	5,897,264
Non-controlling interests	48	978,968	870,109	-	-
		8,293,359	11,736,955	3,287,567	5,897,264

The accounting policies and the accompanying notes form an integral part of these financial statements.

MUTUAL BENEFITS ASSURANCE PLC
UNAUDITED CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE 2026

CONSOLIDATED AND SEPARATE STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE THREE MONTHS (QUARTER) ENDED 30 JUNE 2026

	GROUP		COMPANY	
	Three months ended 30 June 2026	Three months ended 30 June 2025	Three months ended 30 June 2026	Three months ended 30 June 2025
<i>in thousands of Nigerian Naira</i>				
Insurance revenue	21,860,083	21,865,713	13,607,782	13,952,466
Insurance service expense	(20,342,269)	(9,753,567)	(12,114,692)	(5,349,162)
Insurance service result before reinsurance contracts held	1,517,814	12,112,146	1,493,090	8,603,304
Net (expenses) / income from reinsurance contracts held	423,456	(6,872,341)	(1,444,459)	(5,813,294)
Insurance service result	1,941,269	5,239,805	48,631	2,790,010
Profit on investment contracts	1,426,054	1,119,314	-	-
Interest revenue calculated using the effective interest method	2,967,654	2,500,669	1,516,221	1,301,377
Net fair value gain/(loss) on assets at FVTPL	65,022	15,099	65,022	15,099
Impairment reversal/(loss) on financial assets	(6,143)	(2,115)	(860)	-
Net foreign exchange (loss)/gain	(118,175)	467,156	(71,207)	467,156
Other investment income	5,424	10,638	5,424	10,638
Net investment income	4,339,836	4,110,762	1,514,600	1,794,270
Net finance (expenses)/income from insurance contracts issued	(736,365)	(790,884)	(305,445)	85,234
Net finance (expenses)/income from reinsurance contracts held	671,111	(16,954)	655,872	(136,628)
Net insurance finance expenses	(65,254)	(807,838)	350,427	(51,394)
Net insurance and Investment results	6,215,851	8,542,728	1,913,658	4,532,886
Other income	36,735	20,670	1,471	6,573
Other employee benefit expenses	(276,382)	(199,080)	(92,987)	(110,232)
Other operating expenses	(339,526)	(671,494)	(31,445)	(72,091)
Other finance costs	(11,976)	(65,367)	-	-
Other finance income	190,509	201,772	-	-
Profit/(loss) before income tax	5,815,211	7,829,229	1,790,697	4,357,136
Income tax (expense)/credit	(84,070)	(371,001)	53,530	(117,379)
Profit/(loss) for the period	5,731,141	7,458,228	1,844,227	4,239,757
Profit/(loss) attributable to:				
Owners of the parent	4,611,234	7,292,925	1,844,227	4,239,757
Non-controlling interests	1,119,907	165,303	-	-
	5,731,141	7,458,228	1,844,227	4,239,757
Other comprehensive income (net of tax):				
Items that may be reclassified to the profit or loss account in subsequent periods:				
Exchange differences on translation of foreign operations	(49,943)	952,106	-	-
Finance income / (expenses) from insurance contracts issued	416,183	(1,505,940)	293,546	(705,793)
Finance income / (expenses) from reinsurance contracts held	(350,603)	1,084,202	(350,603)	1,001,184
	15,638	530,368	(57,057)	295,391
Other comprehensive income not to be reclassified to profit or loss in subsequent periods (net of tax)				
Net revaluation gains /(losses) on equity instrument at FVOCI	(23,782)	-	(3,188)	-
	(23,782)	-	(3,188)	-
Total other comprehensive income / (loss) for the period, net of tax	(8,144)	530,368	(60,245)	295,391
Total comprehensive income/(loss) for the period, net of tax	5,722,997	7,988,596	1,783,982	4,535,148
Total comprehensive income/(loss) attributable to:				
Owners of the parent	4,624,977	7,380,920	1,783,982	4,535,148
Non-controlling interests	1,098,019	607,676	-	-
	5,722,997	7,988,596	1,783,982	4,535,148
Basic and diluted earnings/(loss) per share (kobo)	23	36	9	21

The accounting policies and the accompanying notes form an integral part of these financial statements.

MUTUAL BENEFITS ASSURANCE PLC
UNAUDITED CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE 2026
CONSOLIDATED AND SEPARATE STATEMENTS OF FINANCIAL POSITION
AS AT 30 JUNE 2026

AS AT 30 JUNE 2026		GROUP		COMPANY		
<i>in thousands of Nigerian Naira</i>		Notes	30 JUN-2026	31 DEC-2025	30 JUN-2026	31 DEC-2025
ASSETS						
Cash and cash equivalents	19		40,992,371	39,052,995	12,657,268	12,885,374
Financial assets						
Financial assets at fair value through OCI	20.1.1		1,062,287	741,207	625,470	650,664
Financial assets at fair value through profit or loss	20.2		532,039	4,092,056	532,039	4,092,056
Financial assets at amortised cost	20.3		93,550,018	86,989,796	29,868,048	26,824,386
Financial assets held for trading pledged as collateral	21		878,135	652,802	878,135	652,802
Insurance contract assets	32		300	19	-	-
Reinsurance contract Assets	22.1		22,489,360	14,983,480	13,422,951	9,248,296
Trade receivables	23		3,770,478	2,162,302	1,267,092	418,907
Other receivables and prepayments	24		5,338,097	2,683,044	2,542,586	646,449
Recapitalisation escrow account with CBN	25		8,000,000	-	-	-
Investment properties	26		4,270,000	4,350,000	1,100,000	1,100,000
Investments in subsidiaries	27		-	-	6,227,238	6,227,238
Intangible assets	28		12,828,226	12,859,408	162,789	188,446
Property, plant and equipment	29		7,431,883	7,112,206	2,956,123	2,485,231
Statutory deposit	30		2,500,000	500,000	1,500,000	300,000
Deferred tax assets	31		356,795	498,308	95,467	237,919
Total assets			203,999,989	176,677,623	73,835,206	65,957,768
LIABILITIES						
Insurance contract liabilities	32		65,802,435	58,063,651	32,050,514	27,091,515
Reinsurance contract liabilities	22.2		5,134,414	3,182,325	1,894,231	2,447,676
Investment contract liabilities	33		37,494,332	36,781,660	-	-
Trade payables	34		1,477,122	1,605,589	765,921	514,407
Other liabilities	35		4,667,781	4,823,564	958,542	641,001
Deposit liabilities	36		1,719,880	656,705	-	-
Borrowings	37		400,870	400,870	400,870	400,870
Current income tax liabilities	38		1,063,566	1,079,418	386,068	632,216
Deferred tax liabilities	39		220,929	358,540	219,948	358,540
Total liabilities			117,981,329	106,952,322	36,676,094	32,086,225
EQUITY						
Share capital	40		10,030,811	10,030,811	10,030,811	10,030,811
Share Premium	40.2		276,486	276,486	276,486	276,486
Treasury shares	41		(250)	(250)	(250)	(250)
Foreign currency translation reserve	42		15,336,070	16,032,044	-	-
Contingency reserve	43		7,984,617	7,984,617	5,979,068	5,979,068
Fair value reserve	44		(112,551)	(75,048)	431,562	456,756
Revaluation reserve	45		1,536,429	1,536,429	1,355,693	1,355,693
Insurance finance reserves	46		890,306	1,131,581	126,888	323,634
Retained Earnings	47		36,375,241	28,086,097	18,958,854	15,449,345
Total ordinary shareholders' equity			72,317,158	65,002,767	37,159,112	33,871,543
Owners of the parent			72,317,158	65,002,767	37,159,112	33,871,543
Non-controlling interests in equity	48		13,701,502	4,722,534	-	-
Total equity			86,018,660	69,725,301	37,159,112	33,871,543
Total liabilities and equity			203,999,989	176,677,623	73,835,206	65,957,768

The consolidated and separate financial statements and notes to the consolidated and separate financial statements were approved and authorised for issue by the Board of Directors on 24 July 2026 and were signed on its behalf by:

Dr. Akin Ogunbiyi
FRC/2013/PRO/00000003114
Chairman

Mr. Olufemi Asenuga
FRC/2013/PRO/00000003104
Managing Director/ CEO

Mr. Abayomi Ogunwo
FRC/2015/PRO/00000011225
Chief Finance Officer

The accounting policies and the accompanying notes form an integral part of these financial statements.

MUTUAL BENEFITS ASSURANCE PLC
UNAUDITED CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE 2026

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY- GROUP

For the period ended 30 June 2026

	Notes	Attributable to equity holders of the Company										Non - controlling interests	Total equity
		Share capital	Share premium	Treasury shares	Foreign currency translation reserve	Contingency reserve	Fair value reserve	Revaluation reserve	Insurance finance reserve	Retained earnings	Total		
<i>in thousands of Nigerian Naira</i>													
As at 1 January 2025		10,030,811	276,486	(250)	15,588,183	7,984,617	(196,323)	1,536,429	2,795,915	12,255,565	50,271,433	4,514,164	54,785,597
Total comprehensive income for the six months ended 30 June 2025:													
Profit for the period		-	-	-	-	-	-	-	-	11,273,113	11,273,113	320,644	11,593,757
Other comprehensive income		-	-	-	361,631	-	(32,178)	-	(735,720)	-	(406,267)	549,465	143,198
Total comprehensive income for the period		-	-	-	361,631	-	(32,178)	-	(735,720)	11,273,113	10,866,846	870,109	11,736,955
Transactions with owners of equity													
Transfer to contingency reserve		-	-	-	-	1,577,136	-	-	-	(1,577,136)	-	-	-
Total transactions with owners of equity		-	-	-	-	1,577,136	-	-	-	(1,577,136)	-	-	-
As at 30 June 2025 and 1 July 2025		10,030,811	276,486	(250)	15,949,814	9,561,753	(228,501)	1,536,429	2,060,195	21,951,542	61,138,279	5,384,273	66,522,552
Total comprehensive income for the six months ended 31 December 2025:													
Profit for the period		-	-	-	-	-	-	-	-	4,958,652	4,958,652	(136,958)	4,821,694
Other comprehensive income		-	-	-	82,230	-	153,453	-	(928,614)	-	(692,931)	(524,781)	(1,217,712)
Total comprehensive income for the period		-	-	-	82,230	-	153,453	-	(928,614)	4,958,652	4,265,721	(661,739)	3,603,982
Transactions with owners of equity													
Dividend paid		-	-	-	-	-	-	-	-	(401,233)	(401,233)	-	(401,233)
Transfer to contingency reserve		-	-	-	-	(1,577,136)	-	-	-	1,577,136	-	-	-
Total transactions with owners of equity		-	-	-	-	(1,577,136)	-	-	-	1,175,903	(401,233)	-	(401,233)
As at 31 December 2025		10,030,811	276,486	(250)	16,032,044	7,984,617	(75,048)	1,536,429	1,131,581	28,086,097	65,002,767	4,722,534	69,725,301
As at 1 January 2026		10,030,811	276,486	(250)	16,032,044	7,984,617	(75,048)	1,536,429	1,131,581	28,086,097	65,002,767	4,722,534	69,725,301
Total comprehensive income for the six months ended 30 June 2026:													
Profit for the period		-	-	-	-	-	-	-	-	8,289,143	8,289,143	1,463,807	9,752,950
Other comprehensive income		-	-	-	(695,974)	-	(37,503)	-	(241,275)	-	(974,752)	(484,839)	(1,459,591)
Total comprehensive income for the period		-	-	-	(695,974)	-	(37,503)	-	(241,275)	8,289,143	7,314,391	978,968	8,293,359
Transactions with owners of equity													
Issue of shares	48.1	-	-	-	-	-	-	-	-	-	-	1,818,182	1,818,182
Share premium	48.1	-	-	-	-	-	-	-	-	-	-	6,181,818	6,181,818
Total transactions with owners of equity		-	-	-	-	-	-	-	-	-	-	8,000,000	8,000,000
As at 30 June 2026		10,030,811	276,486	(250)	15,336,070	7,984,617	(112,551)	1,536,429	890,306	36,375,240	72,317,156	13,701,503	86,018,660

The accounting policies and the accompanying notes form an integral part of these financial statements.

MUTUAL BENEFITS ASSURANCE PLC
UNAUDITED CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE 2026

SEPARATE STATEMENT OF CHANGES IN EQUITY- COMPANY

For the period ended 30 June 2026

<i>in thousands of Nigerian Naira</i>	<i>Notes</i>	Share capital	Share premium	Treasury shares	Contingency reserve	Fair value reserve	Revaluation reserve	Insurance finance reserve	Retained earnings/ (Accumulated losses)	Total
As at 1 January 2025		10,030,811	276,486	(250)	5,979,068	242,108	1,355,693	994,304	5,007,707	23,885,927
Total comprehensive income for the six months ended 30 June 2025:										-
Profit for the period		-	-	-	-	-	-	-	5,984,644	5,984,644
Other comprehensive income		-	-	-	-	(32,178)	-	(55,202)	-	(87,380)
Total comprehensive income for the period		-	-	-	-	(32,178)	-	(55,202)	5,984,644	5,897,264
Transactions with owners of equity										
Transfer to contingency reserve		-	-	-	1,196,929	-	-	-	(1,196,929)	-
Total transactions with owners of equity		-	-	-	1,196,929	-	-	-	(1,196,929)	-
As at 30 June 2025 and 1 July 2025		10,030,811	276,486	(250)	7,175,997	209,930	1,355,693	939,102	9,795,422	29,783,191
Total comprehensive income for the six months ended 31 December 2025:										
Profit for the period		-	-	-	-	-	-	-	4,858,227	4,858,227
Other comprehensive income		-	-	-	-	246,826	-	(615,468)	-	(368,642)
Total comprehensive income for the period		-	-	-	-	246,826	-	(615,468)	4,858,227	4,489,585
Transactions with owners of equity										
Dividend paid		-	-	-	-	-	-	-	(401,233)	(401,233)
Transfer to contingency reserve		-	-	-	(1,196,929)	-	-	-	1,196,929	-
Total transactions with owners of equity		-	-	-	(1,196,929)	-	-	-	795,696	(401,233)
As at 31 December 2025		10,030,811	276,486	(250)	5,979,068	456,756	1,355,693	323,634	15,449,345	33,871,543
As at 1 January 2026		10,030,811	276,486	(250)	5,979,068	456,756	1,355,693	323,634	15,449,345	33,871,543
Total comprehensive income for the six months ended 30 June 2026:										
Profit for the period		-	-	-	-	-	-	-	3,509,508	3,509,508
Other comprehensive income		-	-	-	-	(25,194)	-	(196,747)	-	(221,941)
Total comprehensive income for the period		-	-	-	-	(25,194)	-	(196,747)	3,509,508	3,287,567
Transactions with owners of equity										
Total transactions with owners of equity		-	-	-	-	-	-	-	-	-
As at 30 June 2026		10,030,811	276,486	(250)	5,979,068	431,562	1,355,693	126,888	18,958,854	37,159,112

The accounting policies and the accompanying notes form an integral part of these financial statements.

MUTUAL BENEFITS ASSURANCE PLC
UNAUDITED CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE 2026

CONSOLIDATED AND SEPARATE STATEMENT OF CASH FLOWS
FOR THE PERIOD ENDED 30 JUNE 2026

		GROUP		COMPANY	
		30 JUN-2026	30 JUN-2025	30 JUN-2026	30 JUN-2025
		YTD	YTD	YTD	YTD
in thousands of Nigerian Naira					
Cash flows from operating activities					
Cash premium received from insurance contract	23.1.1	46,165,273	47,269,021	29,329,455	22,597,786
Cash received from investment contract policy holders	33	8,121,097	6,703,119	-	-
Cash withdrawal by investment contract policy holders	33	(8,436,315)	(7,135,391)	-	-
Additions to deposit for premium	34.1	1,585,940	2,478,556	765,921	2,168,404
Reinsurance premium paid	22.3	(10,058,530)	(13,568,183)	(3,478,485)	(10,802,741)
Claim recoveries from reinsurers	22.3	1,111,186	8,196,177	487,033	5,785,225
Claims paid	32.3.3	(17,035,873)	(22,028,720)	(15,220,852)	(10,976,131)
Other directly attributable expenses	32.3.3	(8,305,522)	(13,501,473)	(7,664,292)	(8,980,471)
Insurance acquisition cash flows	32.3	(9,923,268)	(8,516,063)	(4,587,569)	(4,221,199)
Ceding commission received	22.3	1,144,377	1,924,721	596,994	1,489,092
Payments to non-attributable employees	13	(558,149)	(694,950)	(197,038)	(197,211)
Net other operating cash (paid)/received		(7,817,531)	2,259,362	(2,338,657)	2,505,782
Income tax paid	38	(611,241)	(620,250)	(465,187)	(213,686)
Net cash flows from operating activities		(4,618,556)	2,765,927	(2,772,678)	(845,152)
Investing activities:					
Purchase of intangible assets	28	(33,079)	(20,209)	(6,419)	(9,106)
Purchase of property, plants and equipments	29	(834,642)	(163,091)	(652,680)	(147,900)
Proceeds from sale of properties, plant and equipment		27,000	558	19,000	558
Recapitalisation escrow account with CBN	25	(8,000,000)	-	-	-
Investment income received		3,535,929	3,117,594	641,471	908,437
Dividend Income	10	3,340	6,348	3,340	6,348
Redemption of quoted bonds	20.2.1.1	3,604,174	-	3,604,174	-
Loans and receivables granted	20.3.1.1	(3,125,327)	(7,315,812)	(30,452)	(74,161)
Receipts on loans and receivables	20.3.1.1	2,121,317	6,922,278	64,019	87,350
Purchase of Placements - Maturity above 90 days at amortised cost	20.3.2.1	(5,659,194)	(567,500)	(685,637)	(567,500)
Redemption of Placements - Maturity above 90 days at amortised cost	20.3.2.1	7,021,062	771,545	950,683	547,671
Purchase of treasury bills at amortised cost	20.3.3.1	(16,525,280)	(23,242,193)	(12,532,558)	(10,879,924)
Redemption of treasury bills at amortised cost	20.3.3.1	15,866,576	20,317,827	11,461,343	7,081,522
Purchase of commercial papers at amortised cost	20.3.4.1	(539,653)	(1,734,531)	(245,434)	(609,735)
Redemption of commercial papers at amortised cost	20.3.4.1	1,612,095	264,839	503,139	217,133
Proceeds from sale of investment properties		80,000	-	-	-
Net cash flows from investing activities		(845,683)	(1,642,347)	3,093,988	(3,439,307)
Financing activities					
Increase in non-controlling interest (issue of shares in subsidiary)	48.1	8,000,000	-	-	-
Net cash flows from financing activities		8,000,000	-	-	-
Net increase/(decrease) in cash and cash equivalents		2,535,761	1,123,580	321,311	(4,284,458)
Effects of exchange rate changes on cash and cash equivalents		(596,385)	368,269	(549,417)	368,254
Cash and cash equivalents as at 1 January		39,052,995	49,164,513	12,885,374	19,781,495
Cash and cash equivalents as at period end	19	40,992,371	50,656,362	12,657,268	15,865,291

The accounting policies and the accompanying notes form an integral part of these financial statements.

MUTUAL BENEFITS ASSURANCE PLC
UNAUDITED CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE 2026

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

1. Corporate information

These financial statements are the consolidated and separate financial statements of Mutual Benefits Assurance Plc (“the Company”) and its subsidiaries (hereafter referred to as the ‘the Group’). The address of the registered office is: Aret Adams House, 233 Ikorodu Road, Ilupeju, Lagos.

Mutual Benefits Assurance Plc (“the Company”) (RC 269837) was incorporated as a private limited liability company on 18 April 1995, granted the Certificate of Registration as an insurer by the National Insurance Commission (NAICOM) on September 1995 and commenced operations on 2 October 1995 and became a public liability company on 24 May 2001. Mutual Benefits Assurance Plc is a financial, wealth protection company in Nigeria. The Company is listed on the Nigerian Stock Exchange.

The Company invests policy holders funds and pays claims arising from insurance contract liabilities in line with the provisions of the Nigerian Insurance Industry Reform Act (NIIRA) 2025 and NAICOM prudential guidelines.

The principal activities of the subsidiaries and information of the Group’s structure are disclosed in Note 26. Information on other related party relationships of the Group is provided in Note 49.

The consolidated and separate financial statements of the Company and its subsidiaries were authorised for issue by the Board of Directors on 24 July 2026.

Going Concern

The consolidated and separate financial statements have been prepared on the going concern basis and there is no intention to curtail business operations. Capital adequacy and liquidity ratios are continuously reviewed and appropriate action taken to ensure that there are no going concern threats to the operation of the Group.

The Directors have made assessment of the Group's and the Company’s ability to continue as a going concern and have no reason to believe that the Group and the Company will not remain a going concern in the years ahead.

2.1 Basis of presentation

Statement of compliance with IFRS

These consolidated and separate financial statements of the Company and its subsidiaries have been prepared in accordance with the IFRS Accounting Standards issued by the International Accounting Standards Board (IFRS Accounting Standards) and in the manner required by the Companies and Allied Matters Act (CAMA), 2020, the Financial Reporting Council of Nigeria Act, 2011 (as amended), the Nigeria Insurance Industry Reform Act, 2025 and relevant National Insurance Commission of Nigeria ("NAICOM") Circulars.

The consolidated and separate financial statements comprise of the statements of profit or loss, statements of other comprehensive income, the statements of financial position, the statements of changes in equity, the statements of cash flows, summary of material accounting policies and the notes.

The consolidated and separate financial statements values are presented in Nigerian Naira (₦) rounded to the nearest thousand (₦'000), unless otherwise indicated.

The Group presents its statement of financial position broadly in order of liquidity. An analysis regarding recovery or settlement within twelve months after the reporting date (no more than 12 months) and more than 12 months after the reporting date (more than 12 months) is presented in the respective notes.

(a) Basis of measurement

These consolidated and separate financial statements have been prepared on the historical cost basis, except for the following items, which are measured on an alternative basis on each reporting date:

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FOR THE PERIOD ENDED 31 MARCH 2026

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

Items	Measurement Bases
Item of building (property, plant and equipment)	Revalued amount
Non-derivative assets at fair value through profit or loss (FVPL)	Fair value
Non-derivative assets at fair value through other comprehensive income (FVOCI)	Fair value
Investment properties	Fair value
Insurance contract liabilities	Present value

(b) Use of estimates and judgements

The preparation of the financial statements in conformity with IFRS Accounting Standards requires management to make judgements, estimates and assumptions that affect the application of policies and reported amounts of assets and liabilities, income and expenses. Actual results may differ from these estimates.

Information about significant areas of estimation uncertainties and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements are described in Note 2.3.32.

2.2 Changes in accounting policy and disclosures

2.2.1 Changes in material accounting policies

The Group does not have changes in material accounting policies in the current annual reporting period.

2.2.2 New and Revised Standards issued but not yet effective

At the date of authorisation of the financial statements of the Group (and/or Company) for the period ended 30 June 2026, the following IFRS Accounting Standards, Amendments to IFRS Accounting Standards and Interpretations were in issue but not yet effective.

Except for those IFRS Accounting Standards, Amendments to IFRS Accounting Standards and Interpretations that are not applicable to the entity, all IFRS Accounting Standards, Amendments to IFRS Accounting Standards and Interpretations will be adopted at their effective date unless otherwise indicated.

i. IFRS 18 Presentation and Disclosures in Financial Statements

IFRS 18 Presentation and Disclosure in Financial Statements replaces IAS 1 Presentation of Financial Statements.

The new standard introduces the following key new requirements:

- It promotes a more structured income statement, in particular, it introduces a newly defined ‘operating profit’ subtotal and a requirement for all income and expenses to be classified into three new distinct categories, operating, investing, and financing, based on a company’s main business activities.
- All companies are required to report the newly defined ‘operating profit’ subtotal – an important measure for investors’ understanding of a company’s operating results – i.e. investing and financing results are specifically excluded. This means that the results of equity-accounted investees are no longer part of operating profit and are presented in the ‘investing’ category.
- Management-defined performance measures (MPMs) are disclosed in a single note in the financial statements.
- Enhance guidance is provided on how to group information in the financial statements. This includes guidance on whether information is included in the primary financial statements or is further disaggregated in the notes. Companies are discouraged from labelling items as ‘other’ and will now be required to disclose more information if they continue to do so.
Entities are required to use the operating profit subtotal as the starting point for the statement of cash flows when presenting operating cash flows under the indirect method.
- It also requires Companies to analyse their operating expenses directly on the face of the income statement – either by nature, by function or using a mixed presentation. If any items are presented by function on the face of the income statement (e.g. cost of sales), then a company provides more detailed disclosures about their nature

MUTUAL BENEFITS ASSURANCE PLC
UNAUDITED CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 31 MARCH 2026

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

The Group is still in the process of assessing the impact of the new standard, particularly with respect to the structure of the Group's statement of profit or loss, the statement of cash flows and the additional disclosures required for MPMs. The Group is also assessing the impact on how information is grouped in the financial statements, including for items currently labelled as 'other'.

The directors are of the opinion that the application of the following IFRS Accounting Standards, Amendments to IFRS Accounting Standards and Interpretations will not have a material impact on the financial statements:

- i. Amendments to the Classification and Measurement of Financial Instruments (Amendment to IFRS 9 and IFRS 7)
- ii. Amendments to IFRS 9 and IFRS 7 Contracts Referencing Nature-dependent Electricity
- iii. Annual Improvements to IFRS Accounting Standards (Amendments to IFRS 1, IFRS 7, IFRS 9, IFRS 10 and IAS 7)
- iv. Subsidiaries without Public Accountability: Disclosures (IFRS 19)

2.3. Material accounting policies

The Group has consistently applied the following accounting policies to all periods presented in these financial statements

2.3.1 Basis of Consolidation

The consolidated and separate financial statements comprise the financial statements of the Group and its investees that are considered subsidiaries as at 30 June 2026. Subsidiaries are investees that the Group has control over. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Specifically, the Group controls an investee if, and only if, the Group has:

- (a) Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee);
- (b) Exposure, or rights, to variable returns from its involvement with the investee; and
- (c) The ability to use its power over the investee to affect its returns.

Generally, there is a presumption that a majority of voting rights result in control. To support this presumption and when the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- (a) The contractual arrangement with the other vote holders of the investee
- (b) Rights arising from other contractual arrangements
- (c) The Group's voting rights and potential voting rights

The Group reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date when the Group ceases to control the subsidiary.

Profit or loss and each component of OCI are attributed to the owners of the Group and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance. When necessary adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with the Group's accounting policies. All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction (transactions with owners).

If the Group loses control over a subsidiary, it derecognises the related assets (including goodwill), liabilities, noncontrolling interest and other components of equity, while any resultant gain or loss is recognised in profit or loss. Any investment retained is recognised at fair value.

2.3.2 Product classification

Insurance contracts are those contracts where the Group (the insurer) has accepted significant insurance risk from another party (the policyholders) by agreeing to compensate the policyholders if a specified uncertain future event (the insured event) adversely

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

affects the policyholders. As a general guideline, the Group determines whether it has significant insurance risk, by comparing benefits payable after an insured event with benefits payable if the insured event did not occur. Insurance contracts can also transfer financial risk.

Investment contracts are those contracts that transfer significant financial risk, but not significant insurance risk. Financial risk is the risk of a possible future change in one or more of a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of price or rates, credit rating or credit index or other variable, provided in the case of a non-financial variable that the variable is not specific to a party to the contract.

Once a contract has been classified as an insurance contract, it remains an insurance contract for the remainder of its lifetime, even if the insurance risk reduces significantly during this period, unless all rights and obligations are extinguished or expire. Investment contracts can, however, be reclassified as insurance contracts after inception if insurance risk becomes significant.

2.3.3 Business combinations and goodwill

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred, which is measured at acquisition date fair value, and the amount of any non-controlling interests in the acquiree. For each business combination, the Group elects whether to measure the non-controlling interests in the acquiree at fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred and included in administrative expenses.

When the Group acquires a business, it assesses the financial assets acquired and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions at the acquisition date. This includes the separation of embedded derivatives in host contracts by the acquiree.

Any contingent consideration to be transferred by the acquirer will be recognised at fair value at the acquisition date. Contingent consideration classified as equity is not remeasured and its subsequent settlement is accounted for within equity. Contingent consideration classified as an asset or liability that is a financial instrument and within the scope of IFRS 9 *Financial Instruments*, is measured at fair value with the changes in fair value recognised in the statement of profit or loss in accordance with IFRS 9. Other contingent consideration that is not within the scope of IFRS 9 is measured at fair value at each reporting date with changes in fair value recognised in profit or loss.

Goodwill is initially measured at cost (being the excess of the aggregate of the consideration transferred and the amount recognised for non-controlling interests and any previous interest held over the net identifiable assets acquired and liabilities assumed). If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the Group re-assesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed and reviews the procedures used to measure the amounts to be recognised at the acquisition date. If the reassessment still results in an excess of the fair value of net assets acquired over the aggregate consideration transferred, then the gain is recognised in profit or loss.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

Where goodwill has been allocated to a cash-generating unit (CGU) and part of the operation within that unit is disposed of, the goodwill associated with the disposed operation is included in the carrying amount of the operation when determining the gain or loss on disposal. Goodwill disposed in these circumstances is measured based on the relative values of the disposed operation and the portion of the cash-generating unit retained.

2.3.4 Foreign currency translation

The Group's consolidated financial statements are presented in Naira which is also the parent company's functional currency. Each company in the Group determines its own functional currency and items included in the financial statements of each entity are measured using that functional currency. The Group uses the direct method of consolidation and on disposal of a foreign operation, the gain or loss that is reclassified to profit or loss reflects the amount that arises from using this method.

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UNAUDITED CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
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NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

2.3.4.1 Transactions and balances

Transactions in foreign currencies are initially recorded by the Group's entities at their functional currency spot rate prevailing at the date the transaction first qualifies for recognition. Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rate of exchange at the reporting date.

All differences arising on settlement or translation of monetary items are taken to the statement of profit or loss with the exception of differences on foreign monetary items that form part of a net investment in a foreign operation. These are recognised in OCI until the disposal of the net investment, at which time they are reclassified to profit or loss. Tax charges and credits attributable to exchange differences on these monetary items are also recorded in OCI.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rate as at the date of the initial transaction and are not subsequently restated. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined. The gain or loss arising on translation of non-monetary items measured at fair value is treated in line with the recognition of a gain or loss on change in fair value of the item (i.e., translation differences on items whose fair value gain or loss is recognised in OCI or profit or loss are also recognised in OCI or profit or loss, respectively).

2.3.4.2 Group companies

On consolidation, the assets and liabilities of foreign operations are translated into Naira at the rate of exchange prevailing at the reporting date and their statement of profit or loss is translated at exchange rates prevailing at the date of the transactions. The exchange differences arising on the translation for consolidation are recognised in Statement of Other Comprehensive Income (SOI). On disposal of a foreign operation, the component of SOI relating to that particular foreign operation is reclassified to Statement of Profit or Loss.

Any goodwill arising on the acquisition of a foreign operation and any fair value adjustments to the carrying amounts of assets and liabilities arising on the acquisition are treated as assets and liabilities of the foreign operation and translated at the rate of exchange at the reporting date.

2.3.5 Segment reporting

For management purposes, the Group is organised into business units based on their products and services and has four reportable operating segments; assurance business, real estate, microfinance bank, and oil and gas exploration and production.

A segment is a distinguishable component of the Group that is engaged in providing products or services (business segment), or in providing products or services within a particular economic environment (geographical segment), which is subject to risks and rewards that are different from those of other segments. The Group's primary format for segment reporting is based on business segments i.e. life business, real estate and microfinance.

Segment performance is evaluated based on profit or loss and is measured consistently with profit or loss in the consolidated financial statements.

2.3.6 Revenue recognition

Revenue comprises insurance revenue, insurance finance income, income from reinsurance contracts, investment income, value for services rendered, net of value-added tax, after eliminating revenue within the Group.

2.3.6.1 Insurance revenue

Insurance revenue not measured under the PAA

The Group's insurance revenue represents the provision of coverage and other services arising from a group of insurance contracts at an amount that reflects the consideration to which the Group expects to be entitled in exchange for those services. Insurance revenue from a group of insurance contracts is therefore the relevant portion for the period of the total consideration for the contracts, [i.e., the amount of premiums paid to the Group adjusted for financing effect (the time value of money) and excluding any distinct investment components]. For contracts not measured under the PAA, the total consideration for a group of contracts covers amounts related to the provision of services and is comprised of:

- Insurance service expenses, excluding any amounts allocated to the loss component of the liability for remaining coverage

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- The risk adjustment for non-financial risk, excluding any amounts allocated to the loss component of the liability for remaining coverage
- The CSM release
- Amounts related to insurance acquisition cash flows

Insurance revenue under the PAA

When applying the PAA, the Group recognises insurance revenue for the period based on the passage of time by allocating premium receipts including premium experience adjustments to each period of service. However, when the expected pattern of release from risk during the coverage period differs significantly from the passage of time, then premium receipts are allocated based on the expected pattern of incurred insurance service expense.

At the end of each reporting period, the Group considers whether there was a change in facts and circumstances indicating a need to change, on a prospective basis, the premium receipt allocation due to changes in the expected pattern of claim occurrence for new and existing groups.

2.3.6.1.1 Loss component

The Group has grouped contracts that are onerous at initial recognition separately from contracts in the same portfolio that are not onerous at initial recognition. Groups of insurance contracts that were not onerous at initial recognition can also subsequently become onerous if assumptions and experience change. The Group has established a loss component of the liability for remaining coverage for any onerous group depicting the future losses recognised.

A loss component represents a notional record of the losses attributable to each group of onerous insurance contracts (or contracts profitable at inception that have become onerous). The loss component is released based on a systematic allocation of the subsequent changes in the fulfilment cash flows to:

- (i) the loss component; and
- (ii) the liability for remaining coverage excluding the loss component.

The loss component is also updated for subsequent changes in estimates of the fulfilment cash flows related to future service. The systematic allocation of subsequent changes to the loss component results in the total amounts allocated to the loss component being equal to zero by the end of the coverage period of a group of contracts (since the loss component will have been materialised in the form of incurred claims). The Group uses the proportion on initial recognition to determine the systematic allocation of subsequent changes in future cash flows between the loss component and the liability for remaining coverage excluding the loss component.

2.3.6.1.2 Loss recovery component

When the Group recognises a loss component on initial recognition of an onerous group of underlying insurance contracts or when further onerous underlying insurance contracts are added to a group, the Company establishes a loss-recovery component of the assets for remaining coverage for a group of reinsurance contract held depicting the recovery of the losses.

Where a loss component has been set up subsequent to initial recognition of a group of underlying insurance contracts, the portion of income that has been recognized from related reinsurance contracts held is disclosed as a loss-recovery component.

Where a loss-recovery component has been set up at initial recognition or subsequently, the Company adjusts the loss-recovery component to reflect changes in the loss component of an onerous group of underlying insurance contracts.

The carrying amount of the loss-recovery component must not exceed the portion of the carrying amount of the loss component of the onerous group of underlying insurance contracts that the Company expects to recover from the group of reinsurance contracts held. On this basis, the loss-recovery component recognised at initial recognition is reduced to zero in line with reductions in the onerous group of underlying insurance contracts and is nil when loss component of the onerous group of underlying insurance contracts is nil.

2.3.6.2 Insurance finance income and expense

Insurance finance income or expenses comprise the change in the carrying amount of the group of insurance contracts arising from:

- The effect of the time value of money and changes in the time value of money
- The effect of financial risk and changes in financial risk

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The Company systematically allocates expected total insurance finance income or expenses over the duration of the group of contracts to profit or loss or other comprehensive income as applicable using discount rates determined on initial recognition of the group of contracts.

In the event of transfer of a group of insurance contracts or derecognition of an insurance contract, the Company reclassifies the insurance finance income or expense to profit or loss as a reclassification adjustment to any remaining amounts for the group (or contract) that were previously recognised in other comprehensive income.

2.3.6.3 Income or expenses from reinsurance contracts held

The Group presents separately on the face of the statement of profit or loss and other comprehensive income the income or expenses from a group of reinsurance contracts held and reinsurance finance income or expenses. Income or expenses from reinsurance contracts held are split into the following two amounts:

- Amount recovered from reinsurers.
- An allocation of the reinsurance premiums paid.

The Group presents cash flows that are contingent on claims on the underlying contracts as part of the amount recovered from reinsurers. Ceding commissions that are not contingent on claims of the underlying contracts are presented as a deduction in the premiums to be paid to the reinsurer which is then allocated to profit or loss.

The Group establishes a loss recovery component of the asset for the remaining coverage for a group of reinsurance contracts held. This depicts the recovery of losses recognized on the initial recognition of an onerous group of underlying insurance contracts or on addition of onerous underlying insurance contracts to a group. The loss recovery component adjusts the CSM of the group of reinsurance contracts held. The loss recovery component is then adjusted to reflect:

- Changes in the fulfilment cash flows of the underlying insurance contracts that relate to future service and do not adjust the CSM of the respective groups to which the underlying insurance contracts belong to.
- Reversals of loss recovery component to the extent those reversals are not changes in the fulfilment cash flows of the group of reinsurance contracts held.
- Allocations of the loss recovery component against the amounts recovered from reinsurers reported in line with the associated reinsured incurred claims or expenses.

2.3.6.4 Investment income

Interest income is recognised in the statement of profit or loss as it accrues and is calculated by using the EIR method. Fees and commissions that are an integral part of the effective yield of the financial asset are recognised as an adjustment to the EIR of the instrument.

Investment income also includes dividends when the right to receive payment is established. Rental income arising from operating leases on investment properties is accounted for on a straight line basis over the lease terms.

2.3.6.5 Rendering of services and sales of goods

Revenue from sales of goods arising from property business engaged in by the Group. The revenue recognition is contingent on when control is transferred to buyer.

2.3.6.6 Finance income

Interest income arising from the micro-finance banking services offered by the Group and is recognized in the profit or loss as it accrues and is calculated by using the effective interest rate method.

2.3.7 Expenses recognition

2.3.7.1 Insurance service expenses

Insurance service expenses arising from a group of insurance contracts issued comprises:

- Changes in the LIC related to claims and expenses incurred in the period.
- Changes in the LIC related to claims and expenses incurred in prior periods (related to past service).

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- Other directly attributable insurance service expenses incurred in the period.
- Amortization of insurance acquisition cash flows, which is recognized at the same amount in both insurance service expenses and insurance contract revenue.
- Loss component of onerous groups of contracts initially recognized in the period.
- Changes in the LRC related to future service that do not adjust the CSM, because they are changes in the loss components of onerous groups of contracts.

2.3.7.2 Other expenses

These are expenses other than insurance and investment related expenses. They include non-attributable employee benefits, professional fees, depreciation expenses and other non-operating expenses. Other expenses are accounted for on accrual basis and recognized in the statement of profit or loss upon utilization of the service or at the date of origination.

2.3.7.2 Finance costs

Interest expense arising from the micro-finance banking services offered by the Group is recognized in the profit or loss as it accrues and is calculated by using the effective interest rate method. Accrued interest is included within the carrying value of the interest-bearing financial liability.

2.3.8 Cash and short-term deposits

Cash and short-term deposits in the statement of financial position comprise cash at banks and on hand and short-term deposits with a maturity of three months or less from origination, which are subject to an insignificant risk of changes in value and not subject to any encumbrances.

For the purpose of the consolidated statement of cash flows, cash and cash equivalents consist of cash and short-term deposits, as defined above, net of outstanding bank overdrafts, if any, as they are considered an integral part of the Group's cash management.

2.3.9 Financial Instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

2.3.9.1 Financial assets

2.3.9.1.1 Initial recognition

Financial assets are classified, at initial recognition, as subsequently measured at amortised cost, fair value through other comprehensive income (OCI), and fair value through profit or loss.

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Group's business model for managing them. With the exception of trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient, the Group initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs.

In order for a financial asset to be classified and measured at amortised cost or fair value through OCI, it needs to give rise to cash flows that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level. Financial assets with cash flows that are not SPPI are classified and measured at fair value through profit or loss, irrespective of the business model.

The Group's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both. Financial assets classified and measured at amortised cost are held within a business model with the objective to hold financial assets in order to collect contractual cash flows while financial assets classified and measured at fair value through OCI are held within a business model with the objective of both holding to collect contractual cash flows and selling.

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Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognised on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

Business Model Assessment

Business Model assessment involves determining whether financial assets are held to collect the contractual cashflows (rather than sell the instrument prior to its contractual maturity to realise its fair value changes).

The Group determines its business model at the level that best reflects how it manages groups of financial assets to achieve its business objective.

The Group's business model is not assessed on an instrument-by-instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- Investment strategy for holding or selling the assets
- Past experience on how cash flows for these assets were collected.
- How the asset's performance is evaluated and reported to key management personnel
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed.
- How managers of the business are compensated (for example, whether the compensation is based on the fair value of the assets managed or on the contractual cash flows collected).
- The expected frequency, value and timing of sales are also important aspects of the Group's assessment.

The business model for each portfolio of financial assets are to be categorized into one of the following models:

- Hold-to-collect contractual cash flows: Financial assets held with the sole objective to collect contractual cashflows;
- Hold-to-collect contractual cash flows and sell: Financial assets held with the objective to both collect contractual cashflows and sell;
- Fair value through profit or loss (FVTPL) business model: Financial assets held with neither of the objectives mentioned in the two categories above. They are basically financial assets held with the sole objective to trade and realize fair value changes.

Cash flow characteristics assessment

The assessment aims to identify whether the contractual cash flows are solely payments of principal and interest (SPPI) on the principal amount outstanding. The contractual cash flow characteristics assessment involves assessing the contractual features of an instrument to determine if they give rise to cash flows that are consistent with a basic lending arrangement.

The SPPI test is based on the premise that it is only when the variability in the contractual cash flows arises to maintain the holder's return in line with a 'basic lending arrangement' that the application of the effective interest method provides useful information.

'Principal' for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset due to repayments. Thus the principal is not the legal amount due under the contractual terms of an instrument. This definition allows assets acquired at a discount or premium pass the SPPI test.

The most significant elements of interest within a lending arrangement are typically the consideration for the time value of money and credit risk. To make the SPPI assessment, the Group applies judgement and considers relevant factors such as the currency in which the financial asset is denominated, and the period for which the interest rate is set.

In contrast, contractual terms that introduce a more than de minimis exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely payments of principal and interest on the amount outstanding. In such cases, the financial asset is required to be measured at fair value through profit or loss (FVTPL).

2.3.9.1.2 Financial assets subsequent measurement

For purposes of subsequent measurement, financial assets are classified in four categories:

- Financial assets at amortised cost (debt instruments)
- Financial assets designated at fair value through OCI with no recycling of cumulative gains and losses upon derecognition (equity instruments)
- Financial assets at fair value through profit or loss

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Financial assets at amortised cost (debt instruments)

Financial assets at amortised cost are subsequently measured using the effective interest (EIR) method and are subject to impairment. Gains and losses are recognised in profit or loss when the asset is derecognised, modified or impaired. The Group's financial assets at amortised cost includes short-terms deposits with banks, Loans and advances, and other Debt instruments at amortised cost if both of the following conditions are met

- The instruments are held within a business model with the objective of holding the instrument to collect the contractual cash flows
- The contractual terms of the debt instrument give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding

On derecognition of a financial asset measured at amortised cost, the difference between the asset's carrying amount and the sum of the consideration received and receivable is recognised under other investment (expenses)/income in the Statement of Profit or Loss

Financial assets designated at fair value through OCI (equity instruments)

Upon initial recognition, the Group can elect to classify irrevocably its equity investments as equity instruments designated at fair value through OCI when they meet the definition of equity under IAS 32 *Financial Instruments: Presentation* and are not held for trading. The classification is determined on an instrument-by-instrument basis.

Gains and losses on these financial assets are never recycled to profit or loss. Dividends are recognised as other income in the statement of profit or loss when the right of payment has been established, except when the Group benefits from such proceeds as a recovery of part of the cost of the financial asset, in which case, such gains are recorded in OCI. Equity instruments designated at fair value through OCI are not subject to impairment assessment. Dividend income are recognised in the financial statements net of withholding tax.

The Group elected to classify irrevocably its non-listed equity investments under this category.

Financial assets at fair value through profit or loss

Financial assets in this category are those that are managed in a fair value business model, or that have been designated by management upon initial recognition or are mandatorily required to be measured at fair value under IFRS 9. This category includes debt instruments whose cash flow characteristics fail the SPPI criterion or are not held within a business model whose objective is either to collect contractual cash flows, or to both collect contractual cash flows and sell.

Financial assets at fair value through profit or loss are carried in the statement of financial position at fair value with net changes in fair value recognised in the statement of profit or loss.

This category includes listed equity investments which the Group had not irrevocably elected to classify at fair value through OCI. Dividends on listed equity investments are recognised as investment income in the statement of profit or loss when the right of payment has been established.

2.3.9.1.3 Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognised (i.e., removed from the Group's consolidated statement of financial position) when:

- The rights to receive cash flows from the asset have expired Or
- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Group has transferred substantially all the risks and rewards of the asset, or (b) the Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if, and to what extent, it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Group continues to recognise the

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transferred asset to the extent of its continuing involvement. In that case, the Group also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

2.3.9.1.4 Impairment of financial assets

The Group recognises an allowance for expected credit losses (ECLs) for all debt instruments not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For trade receivables, the Group applies a regulatory no premium no covers impairment approach.

The Group considers a financial asset in default when contractual payments are 90 days past due. However, in certain cases, the Group may also consider a financial asset to be in default when internal or external information indicates that the Group is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Group. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

2.3.9.1.5 The calculation of ECLs

The Group calculates ECLs based on scenarios to measure the expected cash shortfalls, discounted at an appropriate EIR. A cash shortfall is the difference between the cash flows that are due to the Group in accordance with the contract and the cash flows that the entity expects to receive.

When estimating the ECLs the Group considers three scenarios (a base case, an upside, and a downside). When relevant, the assessment of multiple scenarios also incorporates the probability that the defaulted loans will cure.

The mechanics of the ECL calculations are outlined below and the key elements are, as follows:

PD - The Probability of Default is an estimate of the likelihood of default over a given time horizon. It is estimated with consideration of economic scenarios and forward-looking information.

EAD - The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise, and accrued interest from missed payments.

LGD - The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the Company would expect to receive. It is usually expressed as a percentage of the EAD.

The Group allocates its assets subject to ELC calculations into one of these categories, determined as follows:

Stage 1 (12month ECL): The 12mECL is calculated as the portion of LTECLs that represent the ECLs that result from default events on a financial instrument that are possible within 12 months after the reporting date. The Company calculates the 12month ECL allowance based on the expectation of a default occurring in the 12 months following the reporting date. These expected 12-month default probabilities are applied to a forecast EAD and multiplied by the expected LGD and discounted by an appropriate EIR. This calculation is made for each of the three scenarios, as explained above.

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Stage 2 (LTECL): When an instrument has shown a significant increase in credit risk since origination, the Company records an allowance for the LTECLs. The mechanics are similar to those explained above, including the use of multiple scenarios, but PDs and LGDs are estimated over the lifetime of the instrument. The expected losses are discounted by an appropriate EIR.

Stage 3/Impairment (LTECL): For debt instruments considered credit-impaired, the Company recognises the lifetime expected credit losses for these instruments. The method is similar to that for Stage 2 assets, with the PD set at 100%.

2.3.9.1.6 Write-offs

Financial assets are written off either partially or in their entirety only when the Group has stopped pursuing the recovery. If the amount to be written off is greater than the accumulated loss allowance, the difference is first treated as an addition to the allowance that is then applied against the gross carrying amount. Any subsequent recoveries are credited to credit loss expense. There were no write-offs over the periods reported in these financial statements

2.3.9.2 Financial liabilities

2.3.9.2.1 Initial recognition and measurement

Financial liabilities are classified at initial recognition, as borrowing, payables and other payables as appropriate.

All financial liabilities are recognized initially at fair value. The Group's financial liabilities include trade payables, other accrual and payables.

2.3.9.2.2 Subsequent measurement

Subsequent measurement of financial liabilities depends on their classification.

i. Payables and other payables

Subsequent to initial recognition, they are measured at amortized cost using the effective interest rate method. If the due date of the liability is less than one-year discounting is omitted.

ii. Interest bearing loans and borrowings

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fee or costs that are an integral part of the EIR. The EIR amortisation is included in finance cost in the statement of profit or loss.

2.3.9.2.3 Derecognition of financial liabilities

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognised in the profit or loss.

2.3.9.3 Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the consolidated statement of financial position if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

2.3.10 Deposit liabilities

Deposits liabilities include current, term and savings deposits with the Group by depositors. Deposits from customers are initially recognized in liabilities at fair value less transaction cost and subsequently measured at amortised cost.

Interest paid on the deposits is expensed as finance cost in profit or loss' during the period in which the Group has the obligation to pay the interest. Deposits are derecognised when repaid to customers on demand or used to offset amount(s) due from the customer as agreed in the contract.

2.3.11 Fair value measurement

The Group measures financial instruments and non-financial assets such as investment properties at fair value at each reporting

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date. Also, fair values of financial instruments measured at amortised cost are disclosed in Note 3.5.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible to by the Group. The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Group determines whether transfers have occurred between Levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each year.

The Group's management determines the policies and procedures for both recurring fair value measurement, such as investment properties and unquoted equity instruments, and for non-recurring measurement, such as assets held for distribution in discontinued operation.

External valuers are involved for valuation of significant assets, such as investment properties. Involvement of external valuers is decided upon annually by the management after discussion with and approval by the audit committee. Selection criteria include market knowledge, reputation, independence and whether professional standards are maintained.

At each reporting date, the management analyses the movements in the values of assets and liabilities which are required to be re-measured or re-assessed as per the Group's accounting policies. The management, in conjunction with the Group's external valuers, also compares the changes in the fair value of each asset and liability with relevant external sources to determine whether the change is reasonable.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

The fair value of financial instruments that are actively traded in organised financial markets is determined by reference to quoted market bid prices for assets and offer prices for liabilities, at the close of business on the reporting date, without any deduction for transaction costs.

For units in unit trusts and shares in open ended investment companies, fair value is determined by reference to published bid values in an active market.

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For other financial instruments not traded in an active market, the fair value is determined by using appropriate valuation techniques. Valuation techniques include the discounted cash flow method, comparison to similar instruments for which market observable prices exist and other relevant valuation models.

Their fair value is determined using a valuation model that has been tested against prices or inputs to actual market transactions and using the Group's best estimate of the most appropriate model assumptions.

For discounted cash flow techniques, estimated future cash flows are based on management's best estimates and the discount rate used is a market-related rate for a similar instrument. The use of different pricing models and assumptions could produce materially different estimates of fair values.

The fair value of floating rate and overnight deposits with credit institutions is their carrying value. The carrying value is the cost of the deposit and accrued interest. The fair value of fixed interest-bearing deposits is estimated using discounted cash flow techniques. Expected cash flows are discounted at current market rates for similar instruments at the reporting date.

2.3.12 Impairment of non-financial assets

The Group assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's (CGU) fair value less costs to sell and its value in use. The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or Group of assets.

Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, recent market transactions are taken into account, if available. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators.

Impairment losses of continuing operations are recognized in the profit or loss in those expense categories consistent with the function of the impaired asset.

For assets excluding goodwill, an assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the Group makes an estimate of the asset's or CGU's recoverable amount.

A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of amortization, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the profit or loss unless the asset is carried at revalued amount, in which case, the reversal is treated as a revaluation increase.

Intangible assets

Intangible assets with indefinite useful lives are tested for impairment annually at 31 December, either individually or at the cash generating unit level, as appropriate and when circumstances indicate that the carrying value may be impaired.

2.3.13 Pledged assets

Financial assets transferred to external parties that do not qualify for de-recognition are reclassified in the statement of financial position from financial assets to pledged assets, if the transferee has received the right to sell or re-pledge them in the event of default from agreed terms.

Initial recognition of pledged assets is at fair value, whilst subsequent measurement is based on the classification and measurement of the financial asset in accordance with IFRS 9.

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2.3.14 Trade receivables

Trade receivables (premium receivable) represent those for which credit notes issued by brokers are within 30 days, in conformity with the “no premium, no cover” policy. Trade receivables are initially recognized at fair value and subsequently measured at amortized cost less provision for impairment. Discounting is omitted where the effect of discounting is immaterial.

Premium receivables are assessed for impairment using a 12-month expected credit loss model, reflecting the credit risk and ageing profile of outstanding balances. Impairment allowances are determined based on an expected credit loss framework that considers the loss given default for each customer, the probability of default associated with the sectors in which customers operate, and an emergence period, which acts as a trigger for impairment based on the ageing of the receivable.

If in a subsequent period the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognized, the previous recognized impairment loss is reversed to the extent that the carrying value of the asset does not exceed its amortised cost at the reversed date. Any subsequent reversal of an impairment loss is recognized in the profit or loss.

2.3.15 Other receivables and prepayment

Other receivables are made up of prepayments and other amounts due from parties which are not directly linked to insurance or investment contracts. Except prepayment and other receivables that are not financial assets, these are measured at amortised costs. Discounting is omitted where the effect of discounting is immaterial.

2.3.16 Leases

The Group assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Group as a lessee

The Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Group recognises lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

i) Right-of-use assets

The Group recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets.

If ownership of the leased asset transfers to the Group at the end of the lease term or the cost reflects the exercise of a purchase option, depreciation is calculated using the estimated useful life of the asset.

The right-of-use assets are also subject to impairment.

ii) Lease liabilities

At the commencement date of the lease, the Group recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating the lease, if the lease term reflects the Group exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognised as expenses (unless they are incurred to produce inventories) in the period in which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Group uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments (e.g., changes to future payments resulting from a change in an index or rate used to determine such lease payments) or a change in the assessment of an option to purchase the underlying asset.

If any, the Group’s lease liabilities are included in Interest-bearing loans and borrowings.

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iii) Short-term leases and leases of low-value assets

The Group applies the short-term lease recognition exemption to its short-term leases of **buildings and space** (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption to leases of **buildings** that are considered to be low value. Lease payments on short-term leases and leases of low value assets are recognised as expense on a straight-line basis over the lease term.

Group as a lessor

Leases in which the Group does not transfer substantially all the risks and rewards incidental to ownership of an asset are classified as operating leases. Rental income arising is accounted for on a straight-line basis over the lease terms and is included in revenue in the statement of profit or loss due to its operating nature. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as revenue in the period in which they are earned.

2.3.17 Investment properties

Investment properties held for rental income and capital appreciation are measured initially at cost, including transaction costs. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met; and excludes the costs of day-to-day servicing of an investment property. Subsequent to initial recognition, investment properties are stated at fair value, which reflects market conditions at the reporting date. Gains or losses arising from changes in the fair values of investment properties are included in the profit or loss in the year in which they arise.

Fair values are evaluated annually by an accredited external, independent valuer, applying a valuation model.

Investment properties are derecognised either when they have been disposed of, or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the profit or loss in the year of retirement or disposal.

Transfers are made to or from investment property only when there is a change in use evidenced by the end of owner-occupation, commencement of an operating lease to another party or completion of construction or development. For a transfer from investment property to owner-occupied property, the deemed cost for subsequent accounting is the fair value at the date of change in use. If owner-occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under property and equipment up to the date of the change in use.

2.3.18 Investments in subsidiaries

Investments in subsidiaries are carried in the separate statement of financial position at cost less allowance for impairment losses. Where, there has been impairment in the value of investments in subsidiaries, the loss is recognised as an expense in the period in which the impairment is identified. On disposal of an investment, the difference between the net disposal proceeds and the carrying amount is charged or credited to the statement of profit or loss account.

2.3.19 Intangible assets

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses. Internally generated intangible assets, excluding capitalized development costs, are not capitalized and expenditure is reflected in the profit or loss in the year in which the expenditure is incurred.

The useful lives of intangible assets are assessed to be either finite or indefinite.

As part of the incorporation of a subsidiary engaged in oil exploration during the reporting period, the Group recognised exploration and evaluation assets in respect of oil exploration licences in accordance with IFRS 6 – Exploration for and Evaluation of Mineral Resources. Exploration licence costs are capitalised as intangible exploration and evaluation assets once the legal right to explore has been obtained. These costs are initially recognised at cost and include expenditures directly attributable to acquiring exploration rights.

Exploration and evaluation assets are not amortised during the exploration phase. Instead, they are assessed for impairment when facts and circumstances suggest that the carrying amount may exceed the recoverable amount.

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At each reporting date, the Group reviews exploration licence costs for indicators of impairment. Such indicators include, but are not limited to The expiry or planned expiry of the right to explore in the specific area, the absence of substantive expenditure on further exploration and evaluation activities, the lack of discovery of commercially viable quantities of mineral resources, sufficient data indicating that the carrying amount is unlikely to be recovered in full from successful development or by sale. Where impairment indicators exist, the assets are tested for impairment, and any impairment loss is recognised in profit or loss.

If no future exploration or evaluation activity is planned, or the licence has been relinquished or has expired, the carrying amount of the exploration licence is written off to profit or loss. Once technical feasibility and commercial viability of extracting a mineral resource are demonstrable, the related exploration and evaluation assets are reclassified to development or production assets and subsequently accounted for in accordance with the applicable IFRS standards

Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period (five years) and the amortisation method (straight line) for an intangible asset with a finite useful life are reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the profit or loss in the expense category consistent with the function of the intangible asset.

Intangible assets with indefinite useful lives are tested for impairment annually either individually or at the cash generating unit level. Such intangibles are not amortised. The useful life of an intangible asset with an indefinite life is reviewed annually to determine whether indefinite life assessment continues to be supportable. If not, the change in the useful life assessment from indefinite to finite is made on a prospective basis.

An intangible asset is derecognised upon disposal (i.e., at the date the recipient obtains control) or when no future economic benefits are expected from its use or disposal. Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the profit or loss when the asset is derecognized.

2.3.20 Property and equipment

Property and equipment are measured on initial recognition at cost. Subsequently (except for building) they are stated at cost, excluding the costs of day-to-day servicing, less accumulated depreciation and accumulated impairment losses. Replacement or major inspection costs are capitalized when incurred and if it is probable that future economic benefits associated with the item will flow to the entity and the cost of the item can be measured reliably.

Land and building are measured at revalued amount less accumulated depreciation and impairment losses recognised after the date of the revaluation. Valuations are performed at least once in every 5 years or when a major improvement is carried out to ensure that the fair value of a revalued asset does not differ materially from its carrying amount.

Any revaluation surplus is recorded in other comprehensive income and hence, credited to the asset revaluation reserve in equity, except to the extent that it reverses a revaluation decrease of the same asset previously recognised in the profit or loss, in which case, the increase is recognised in the profit or loss. A revaluation deficit is recognized in the profit or loss, except to the extent that it offsets an existing surplus on the same asset recognised in the asset revaluation reserve.

Accumulated depreciation as at the revaluation date is eliminated against the gross carrying amount of the asset and the net amount is restated to the revalued amount of the asset. Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

Depreciation on property, plant and equipment is calculated using the straight-line method to allocate the cost less the residual values over the estimated useful lives as follows;

Leasehold land	Not depreciated
Building	2%
Leasehold improvements	20%
Plant and machinery	20%
Motor vehicles	25%
Furniture and fittings and equipment	20%

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The assets' residual values, and useful lives and method of depreciation are reviewed and adjusted, if appropriate, at each financial year end and adjusted prospectively, if appropriate.

Impairment reviews are performed when there are indicators that the carrying value may not be recoverable. Impairment losses are recognised in the profit or loss as an expense.

An item of property and equipment is derecognized upon disposal or when no further future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the profit or loss in the year the asset is derecognized.

2.3.21 Statutory deposit

Statutory deposit represents fixed deposit with the Central Bank of Nigeria in accordance with the Nigerian Insurance Industry Reform Act (NIIRA) 2025. The deposit is recognised at cost in the statement of financial position being 10% of the statutory minimum capital requirement of N15 billion for General insurance business and of N10 billion for life business. Interest income on the deposit is recognised in the statement of profit or loss in the period the interest is earned.

2.3.22 Deposit for shares

Deposit for shares are amounts that the Company has placed with (asset) or received from subsidiary, associate or another company (liability) for the ultimate purpose of equity investment in the relevant company for which relevant regulatory formalities have not been completed at the reporting date. Deposits for shares are carried at cost less accumulated impairment losses, if any.

2.3.23 Insurance contracts

2.3.23.1 Key types of insurance contracts issued, and reinsurance contracts held

The Group issues the following types of contracts that are accounted for in accordance with IFRS 17 Insurance Contracts:

- (i) Life insurance
- (ii) Non-life insurance
- (iii) Reinsurance contracts held

2.3.23.1.1 Life insurance

For the Life insurance products, the Group offers the following insurance contracts with indication of IFRS 17 methodologies applied on these contracts:

- (a) Individual Life With-profit Policies - These are endowment plans without participating features.

The Group accounts for these policies applying the General Measurement Model (GMM).

- (b) Individual Life Without-profit Policies including:

- (i) Term life insurance contracts providing level or decreasing sum assured coverage for a limited period in exchange for renewable fixed premiums. The Group accounts for these policies applying the GMM.

- (ii) Whole life assurance contracts. The Group accounts for these policies applying the GMM.

- (iii) Term life insurance contracts with contract boundaries of one year or less. The Group accounts for these policies applying the Premium Allocation Approach (PAA).

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(c) Annuity Policies including:

- Fixed annuity contracts providing the annuitant with a guaranteed income payout for a limited period.
- Deferred annuity contracts providing the annuitant with a guaranteed income payout for life, with the first payment due at the end of the deferment period, provided all contractual premiums were paid. The policyholder is entitled to a surrender benefit (a portion of the accumulation balance at a guaranteed interest rate) if premiums are not fully paid.

The Group accounts for these policies applying the GMM.

(d) Life Business – Deposit based policies.

These contracts are individual term assurance plans providing a death benefit with non-distinct investment components.

The Group accounts for these policies applying the GMM.

(e) Group Life Insurance - The Group issues term assurance plans providing death benefits to employees of businesses with coverage of one year or less.

The Group accounts for these contracts applying the PAA.

(f) Health Business: these are plans covering the medical expenses of the policyholders with a duration of one year or less.

The Group accounts for these contracts applying the PAA.

2.3.23.1.2 Non-life insurance

The Group issues non-life insurance to individuals and businesses. Non-life insurance products offered include:

- (i) products with a coverage period of one year or less: these typically include motor, property, marine, fire, general accident, aviation and oil & gas. These products offer protection of policyholder's assets and indemnification of other parties that have suffered damage as a result of a policyholder's accident.

The Group accounts for these contracts applying the PAA.

- (ii) products with a coverage period of over one year: these typically include engineering and bond. These products offer protection of policyholder's assets and indemnification of other parties that have suffered damage as a result of a policyholder's accident.

The Group accounts for these contracts applying the GMM.

2.3.23.1.3 Reinsurance contracts held

The Group also holds the following types of reinsurance contracts to mitigate risk exposure.

- For the life business, the Group holds quota share reinsurance treaties and accounts for these treaties applying the PAA.
- For non-life, the Group holds facultative (excess of individual loss) reinsurance policies and quota share reinsurance contracts accounted for applying the PAA.

2.3.23.2 Insurance and reinsurance contracts definition and classification

The definition of an insurance contract refers to 'insurance risk' which is defined as 'risk, other than financial risk, transferred from the holder of a contract to the issuer'.

Mutual Benefits issues insurance contracts in the normal course of business, under which it accepts significant insurance risk from

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its policyholders. As a general guideline, the Group determines whether it has significant insurance risk, by comparing benefits payable after an insured event with benefits payable if the insured event had not occurred. Insurance contracts can also transfer financial risk.

The Group does not issue any contracts with direct participating features.

2.3.23.3 Insurance and reinsurance contracts accounting treatment

2.3.23.3.1 Separating components from insurance and reinsurance contracts

IFRS 17 requires the Group to identify and separate components in certain circumstances. Such component may be an embedded derivative, an investment component, or a component for services other than insurance contract.

Embedded derivatives are not separated for accounting purposes if the non-derivative host is a financial asset within the scope of IFRS 9 i.e., the classification criteria of IFRS 9 are applied to the financial asset as a whole, otherwise, an embedded derivative will be separated from the host contract if and only if, all criteria below are met:

- a. The economic characteristics and risks of the embedded derivatives are not closely related to the economic characteristics and risks of the host;
- b. A separate instrument with the same terms as embedded derivative would meet the definition of a derivative; and
- c. The hybrid contract is not measured at fair value with changes in fair value recognized in profit or loss.

An investment component is distinct if and only if, both of the following conditions are met:

- (i) The investment component and the insurance components are not highly interrelated
- (ii) contract with equivalent terms is sold, or could be sold, separately in the same market or the same jurisdiction, either by entities that issue insurance contracts or by other parties.

An investment component and an insurance component are highly interrelated if and only if; the Group is unable to measure one component without considering the other or the policyholder is unable to benefit from one component unless the other is also present, for example the lapse and maturity of one component causes the lapse or maturity of the other.

The Group assesses its insurance products to determine whether they contain distinct components which must be accounted for under another IFRS rather than IFRS 17. After separating any distinct components, the Group apply IFRS 17 to all remaining components of the (host) insurance contract.

The deposit-based life endowment contracts issued by the Group include a surrender option under which the surrender value is paid to the policyholder on maturity or earlier lapse of the contract. These surrender options have been assessed to meet the definition of a non-distinct investment component in IFRS 17. IFRS 17 defines investment components as the amounts that an insurance contract requires an insurer to repay to a policyholder even if an insured event does not occur. Investment components which are highly interrelated with the insurance contract of which they form a part are considered non-distinct and are accounted for under IFRS 17 but excluded from the insurance service result (i.e., they are not accounted for as either insurance revenue or insurance service expenses). The surrender options are considered non-distinct investment components as the Group is unable to measure the value of the surrender option component separately from the life insurance portion of the contract.

The Group has also assessed that some of its life contracts have distinct investment components. The Group is able to measure the value of the surrender option component separately from the life insurance portion of the contract. Also, similar contracts with equivalent terms are observed to be sold separately by other insurance companies and financial institutions in Nigeria. The Group accounts for the distinct investment component under IFRS 9 (as indicated in section 2.3.24 on investment contract liabilities) and the risk component under IFRS 17.

2.3.23.3.2 Level of aggregation

IFRS 17 defines the level of aggregation to be used for measuring insurance contracts and their related profitability. This is a key issue in identifying onerous contracts and in determining the recognition of profit or loss and presentation in the financial statements. The starting point for aggregating contracts is to identify portfolios of insurance contracts. A portfolio comprises contracts that are subject to similar risks and managed together.

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IFRS 17 requires an entity to determine the level of aggregation for applying its requirements. The level of aggregation for the Group is determined firstly by dividing the business written into portfolios.

Portfolios comprise groups of contracts with similar risks which are managed together. Portfolios are further divided based on expected profitability at inception into three categories: onerous contracts, contracts with no significant risk of becoming onerous, and the remainder.

This means that, for determining the level of aggregation, the Group identifies a contract as the smallest 'unit' i.e., the lowest common denominator. However, the Group makes an evaluation of whether a series of contracts can be treated together in making the profitability assessment based on reasonable and supportable information, or whether a single contract contains components that need to be separated and treated as if they were stand-alone contracts. As such, what is treated as a contract for accounting purposes may differ from what is considered as a contract for other purposes (i.e., legal or management). IFRS 17 also notes that no group for level of aggregation purposes may contain contracts issued more than one year apart. The Group has defined portfolios of insurance contracts based on its product lines, namely Individual savings and pension plan, mutual education guarantee plan, keyman assurance, mortgage protection, group life assurance, term assurance, endowment assurance, insurvisa policy, directors' liability, micro personal investment contracts due to the fact that the products are subject to similar risks and managed together. The portfolios are further divided by year of issue and profitability for recognition and measurement purposes. The expected profitability of these portfolios at inception is determined based on the existing actuarial valuation models which take into consideration existing and new business. Hence, within each year of issue, portfolios of contracts are divided into three groups, as follows:

- A group of contracts that are onerous at initial recognition
- A group of contracts that at initial recognition have no significant possibility of becoming onerous subsequently
- A group of the remaining contracts in the portfolio

The reinsurance contracts held portfolios are further divided into:

- A group of contracts on which there is a net gain on initial recognition
- A group of contracts that have no significant possibility of a net gain arising subsequent to initial recognition
- A group of the remaining contracts in the portfolio

The Group has elected to include in the same group, contracts where its ability to set prices or levels of benefits for policyholders with different characteristics is constrained by regulation. Currently, there is no law or regulation that constrains the Group's practical ability to set a different price or level of benefits for policyholder with different characteristics.

IFRS 17 also requires that contracts are grouped based on the Group's expectations of profitability at contract inception. The Group has concluded that all contracts measured using premium allocation approach (PAA) as non-onerous contracts, will be classified as having a significant possibility of becoming onerous subsequently, i.e., classified into a group of the type specified in IFRS 17 as a group of the remaining contracts in the portfolio. This means that the Group will allocate PAA contracts for each portfolio-cohort combination into groups of contracts that are onerous at initial recognition and groups of the remaining contracts in the portfolio. This is due to the inherent volatility of performance expected on individual insurance contracts (e.g., impact of large claims and claim inflation on short term contracts) in the Group jurisdictional market as well as the fact that charging premiums such that there is no significant possibility of losses would not be considered competitive.

For contracts measured under the PAA, the Group assume that no contracts in a portfolio of insurance contracts are onerous at initial recognition unless facts and circumstances indicate otherwise and there has been an approval through an official process to implement commercial actions which include promotional discounts on premium rates, selling loss leaders to gain market shares or no claims discount on renewal of policies, which could result into a group of contracts being onerous.

For subsequent measurement, the onerous contract assessment is only required if facts and circumstances indicate that a group of contracts is onerous. Possible reasons/indicators of onerous contracts include:

- Unfavorable combined ratio exceeding 100%.
- Relevant market-wide based information indicating that the portfolio of business is unprofitable
- Unfavorable experience trends
- Unfavorable changes in external conditions
- Any other changes that affect the marketability and/or claim experience of the portfolio.

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2.3.23.3.3 Contract boundary

A contract is an arrangement that binds one or both of the parties involved. If both parties are bound equally, the boundary of the contract is generally clear. Similarly, if neither party is bound, it is clear that no genuine contract exists. Thus:

- The outer limit of the existing contract is the point at which the entity is no longer required to provide coverage and the policyholder has no right of renewal. Beyond that outer limit, neither party is bound.
- The Group is no longer bound by the existing contract at the point at which the contract confers on the Group the practical ability to reassess the risk presented by a policyholder and, as a result, the right to set a price that fully reflects that risk.

The measurement of a group of insurance contracts includes all the cash flows expected to result from the contracts in the group, reflecting estimates of policyholder behavior. Thus, to identify the future cash flows that will arise as the entity fulfils its obligations, it is necessary to determine the contract boundary that distinguishes whether future premiums, and the resulting benefits and claims, arise from:

- Existing insurance contracts. If so, those future premiums, and the resulting benefits and claims, are included in the measurement of the group of insurance contracts

Or

- Future insurance contracts. If so, those future premiums, and the resulting benefits and claims, are not included in the measurement of the group of existing insurance contracts

As such, the Group does not recognize a liability or asset relating to expected premiums or expected claims outside the boundary as such amounts relates to future insurance contracts. However, the Group recognizes an asset for acquisition cash flows paid before the related group of insurance contracts is recognized.

The Group includes in the measurement of a group of insurance contracts all the future cash flows within the boundary of each contract in the group. Cash flows are within the boundary of an insurance contract if they arise from substantive rights and obligations that exist during the reporting period in which the Group can compel the policyholder to pay the premiums, or in which the Group has a substantive obligation to provide the policyholder with insurance contract services. A substantive obligation to provide insurance contract services ends when:

- The Group has the practical ability to reassess the risks of the particular policyholder and, as a result, can set a price or level of benefits that fully reflects those risks

Or

Both of the following criteria are satisfied:

- The Group has the practical ability to reassess the risks of the portfolio of insurance contracts that contain the contract and, as a result, can set a price or level of benefits that fully reflects the risk of that portfolio
- The pricing of the premiums up to the date when the risks are reassessed does not take into account the risks that relate to periods after the reassessment date.

A liability or asset relating to expected premiums or claims outside the boundary of the insurance contract is not recognized. Such amounts relate to future insurance contracts.

The Group has set contract boundaries based on the end of the policy terms.

For contracts with renewal periods, the Group assesses whether premiums and related cash flows that arise from the renewed contract are within the contract boundary. The pricing of the renewals is established by the Group by considering all the risks covered for the policyholder by the Group, when underwriting equivalent contracts on the renewal dates for the remaining coverage. The Group reassess contract boundary of each group at the end of each reporting period.

2.3.23.3.4 Recognition

2.3.23.3.4.1 Initial recognition for insurance contracts issued

The Group recognises groups of insurance contracts that it issues from the earliest of the following:

- The beginning of the coverage period of the group of contracts,
- The date when the first payment from a policyholder in the group is due, or when the first payment is received if there is no due date
- For a group of onerous contracts, as soon as facts and circumstances indicate that the group is onerous

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2.3.23.3.4.2 Initial recognition for reinsurance contracts held

The Group recognises a group of reinsurance contracts held, for which it has entered, from the earliest of the following:

- The beginning of the coverage period of the group of reinsurance contracts held. However, the Group delays the recognition of a group of reinsurance contracts held that provide proportionate coverage until the date when any underlying insurance contract is initially recognised, if that date is later than the beginning of the coverage period of the group of reinsurance held.
- The date the Group recognises an onerous group of underlying insurance contracts if the Group entered into the related reinsurance contract held in the group of reinsurance contracts held at or before that date

The reinsurance contracts held by the Group provide proportionate cover. Therefore, the Group does not recognize a proportional reinsurance contract held until at least one underlying direct insurance contract has been recognized. Groups of reinsurance contracts held are recognized when the coverage of the first underlying contract starts. The Group adds new contracts to the group when they are issued or initiated.

The issue date of a contract is when an entity has a contractual obligation to accept risk. The issue date is typically before the beginning of coverage and due date for the initial premium. However, the Group only recognises issued insurance contracts before these dates if facts and circumstances indicate that the contracts in the group to which the PAA applies are onerous.

The recognition requirements for reinsurance contracts held that provide proportionate coverage are intended to simplify recognition for proportionate reinsurance contracts held. Circumstances in which the first underlying attaching contract is issued, shortly after the reinsurance contracts are written, will result in similar timing of recognition for proportionate and 'other-than-proportionate' reinsurance contracts. In other cases, there may be a greater difference in the timing of recognition.

If there is no contractual due date, the first payment from the policyholder is deemed to be due when it is received. The Group determines whether any contracts form a group of onerous contracts before the earlier of the first two dates above (i.e., before the earlier of the beginning of the coverage period and the date when the first payment from a policyholder in the group is due) if facts and circumstances indicate there is such a group.

Non-Performance Risk (NPR) For Reinsurers

Non-Performance Risk (NPR)—this is the risk that a reinsurer may default or otherwise fail to fulfil its contractual obligations, including potential recovery shortfalls, delays, or litigation costs—that is **not included** in the risk adjustment for non-financial risk. Instead, IFRS 17 requires that NPR be incorporated directly into the **expected future cash flows** of reinsurance contracts held.

In accordance with IFRS 17 paragraph 63, estimates of reinsurance recoveries must reflect the reinsurer's non-performance risk, after taking into account collateral, trusts, letters of credit, or any other credit-enhancement mechanisms.

Methodology for Measuring Non-Performance Risk

The reinsurer's default risk is incorporated by reducing the present value of expected reinsurance recoveries based on a credit-risk loss estimate. This is often expressed as:

$$\text{NPR} = \text{PD} \times \text{LGD} \times \text{EAD}$$

Where:

- **Probability of Default (PD):** The likelihood that the reinsurer will default over the expected recovery horizon, typically sourced from credit-rating agency default tables or market-implied measures.
- **Loss Given Default (LGD):** The proportion of the exposure not recoverable in the event of default, after allowing for collateral, security arrangements, or contractual protections.
- **Exposure at Default (EAD):** The expected value of reinsurance recoveries (i.e., claims recoveries or CSM offsets) that would be outstanding at the point of default.

PDs are based on reinsurer credit ratings, using publicly available default statistics from recognized credit-rating agencies.

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2.3.23.3.4.3 Initial recognition of insurance acquisition cash flows

Insurance acquisition cash flows are cash flows arising from the costs of selling, underwriting and starting a group of insurance contracts that are directly attributable to the portfolio of insurance contracts to which the group belongs. Such cash flows include cash flows that are not directly attributable to individual contracts or groups of insurance contracts within the portfolio.

The Group has aggregated its directly attributable expenses into the following classes including administrative expense, claims processing and payment, corporate service expense, finance charges, legal and directors expenses, personnel costs (staff salaries in claims, staff training and development and related cost), agency cost and related expenses, fixed and variable overheads incurred directly attributable to cost centres (e.g. salaries for IT staff, repairs and maintenance), business development and Commission.

The Group recognises an asset for insurance acquisition cash flows paid (or insurance acquisition cash flows for which a liability has been recognised under another IFRS standard) before the related group of insurance contracts is recognised, unless it elects to expense those acquisition cash flows as incurred for premium allocation approach (PAA) contracts. The Group recognises such an asset for each related group of insurance contracts and allocates insurance acquisition cash flows to an existing or future group of insurance contracts using a systematic and rational method.

Any insurance acquisition cash flow paid at the date of initial recognition of the group of insurance contracts are recognised as part of the contractual service margin of the group of insurance contracts. Any insurance acquisition cash flows the Group expects to pay after the related group of insurance contracts is recognised as part of the fulfilment cash flows of the group of insurance contracts.

The systematic and rational method of allocating insurance acquisition cash flows to groups of contracts shall be used to allocate;

- Insurance acquisition cash flows that are directly attributable to a group of insurance contracts:
 - To that group; and
 - To groups that will include insurance contracts that are expected to arise from renewals of the insurance contracts in that group
- Insurance acquisition cash flows directly attributable to a portfolio of insurance contracts that are not directly attributable to individual contracts or groups of contracts to groups in the portfolio.

2.3.23.3.4.4 Initial recognition of investment contracts with discretionary participation features

The date of initial recognition of an investment contract with discretionary participation features is the date that the entity becomes party to the contract. This is consistent with the requirements for recognition of a financial instrument in IFRS 9 and is likely to be earlier than the date of initial recognition for an insurance contract. Currently the Group does not issue investment contracts with discretionary participation features.

2.3.23.3.4.5 Onerous groups of contracts

The Group issues some contracts before the coverage period starts and the first premium becomes due. Therefore, the Group has determined whether any contracts issued form a group of onerous contracts before the earlier of the beginning of the coverage period and the date when the first payment from a policyholder in the group is due. The Group looks at facts and circumstances to identify if a group of contracts are onerous based on:

- Historical loss ratios
- Relevant risk factors such as age, gender, occupation, geographical location and the size of the sum assured
- Environmental factors such as a change in market experience or regulations

For groups of contracts measured using the premium allocation approach (PAA), the Group assumes all groups of insurance contracts to be non-onerous unless the Board has approved the sales of loss-making contracts through an official process. The Group will assess the probability of non-onerous contracts becoming onerous in the future based on expert judgement of the projected combined ratio.

For subsequent measurement, the Group uses combined ratio as facts and circumstances hence, a group of contracts will be deemed onerous if there has been a combined ratio of over 100% in two (2) subsequent annual reporting periods.

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2.3.23.4 Measurement of insurance contracts

2.3.23.4.1 General Measurement Model (GMM)

2.3.23.4.1.1 Insurance contract – Initial Measurement

The general model measures a group of insurance contracts as the sum of the following components, or ‘building blocks’, for each group of insurance contracts:

Fulfilment cash flows, which comprise:

- Estimates of expected future cash flows over the life of the contract
- An adjustment to reflect the time value of money and the financial risks related to the future cash flows to the extent that the financial risks are not included in the estimates of the future cash flows
- A risk adjustment for non-financial risk

A contractual service margin representing unearned profit an entity will recognise as it provides service under the insurance contracts in the group.

Fulfilment Cashflows (FCF)

Fulfilment cash flows comprise unbiased and probability-weighted estimates of future cash flows, discounted to present value to reflect the time value of money and financial risks, plus a risk adjustment for non-financial risk.

The Group’s objective in estimating future cash flows is to determine the expected value, or the probability-weighted mean, of the full range of possible outcomes, considering all reasonable and supportable information available at the reporting date without undue cost or effort. The Group estimates future cash flows considering a range of scenarios which have commercial substance and give a good representation of possible outcomes. The cash flows from each scenario are probability-weighted and discounted using current assumptions.

When estimating future cash flows, the Group includes all cash flows that are within the contract boundary including:

- Premiums and related cash flows
- Claims and benefits, including reported claims not yet paid, incurred claims not yet reported and expected future claims
- Payments to policyholders resulting from embedded surrender value options
- An allocation of insurance acquisition cash flows attributable to the portfolio to which the contract belongs
- Claims handling costs
- Policy administration and maintenance costs, including recurring commissions that are expected to be paid to intermediaries
- Transaction-based taxes including; premium taxes, value added taxes
- Payments by the Group in a fiduciary capacity to meet tax obligations incurred by policyholder
- Allocation of fixed and variable overheads directly attributable to fulfilling insurance contracts
- Cost that the Group incurs in providing investment- related services for investment contracts without direct participation features
- Any other costs specifically chargeable to the policyholder under the term of the contract

The Group incorporates, in an unbiased way, all reasonable and supportable information available without undue cost or effort about the amount, timing and uncertainty of those future cash flows. The Group estimates the probabilities and amounts of future payments under existing contracts based on information obtained, including:

- Information about claims already reported by policyholders
- Other information about the known or estimated characteristics of the insurance contracts
- Historical data about the Group’s own experience, supplemented when necessary with data from other sources. Historical data is adjusted to reflect current conditions
- Current pricing information, when available

The measurement of fulfilment cash flows-includes insurance acquisition cash flows which are allocated based on rational and systematic manner as prescribed in section **2.3.23.3.3** above.

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Discount Rate

The time value of money and financial risk is measured separately from expected future cash flows with changes in financial risks recognized in profit or loss at the end of each reporting period unless the Group has elected the accounting policy to present the time value of money separately in profit or loss and other comprehensive income. The Group measures the time value of money using discount rates that reflect the liquidity characteristics of the insurance contracts and the characteristics of the cash flows, consistent with observable current market prices. They exclude the effect of factors that influence such observable market prices but do not affect the future cash flows of the insurance contracts (e.g., credit risk).

In determining discount rates for cash flows, the Group uses the 'bottom-up approach' to estimate discount rates starting from a risk-free rate with similar characteristics, plus an illiquidity premium where applicable. Risk free rates are determined by reference to the yields of highly liquid FGN Bonds. The illiquidity premium is determined by reference to observable market rates, including sovereign debt, corporate debt and market swap rates.

Risk adjustment for non-financial risk

The Group measures the compensation it would require for bearing the uncertainty about the amount and timing of cash flows arising from insurance contracts, other than financial risk, separately as an adjustment for non-financial risk.

The Group adopts the Value at Risk (Confidence level) approach in estimating the risk adjustment. For the long-term individual life business measured under GMM, the risk adjustment is estimated using the Provision for Adverse deviation (PAD). The approach is based on South African Solvency Assessment and Management (SAM) framework and entails stressing the various non-financial assumptions underlying the best estimate cashflows by SAM IFRS 17 shock factors. The SAM IFRS 17 Shock factors adopted are in respect of non-financial risk only and represents a 97% confidence level.

The Group uses the VAR Mack Method to measure risk adjustment for life contracts / portfolios measured under the PAA. Risk adjustment under the Mack Method is derived as the difference between the claims reserve computed under the log-normally distributed estimate at a selected percentile and the chain ladder reserve. This provides an aggregated risk adjustment amount, which is then allocated across IFRS 17 groups of contracts using an allocation model.

For its non-life business, the Group uses a Value at Risk approach to calibrate the size of the risk adjustment per class and convert this to a factor (or percentage) which is applied to the present value of future cashflows for each class. The Group adopted a 75% confidence level for the risk adjustment determination.

Expense allocation

IFRS 17 requires that costs which do not relate to the fulfilment of contracts be excluded in the estimation of fulfilment cashflows. It further requires that overhead costs are allocated to group of contracts using methods that are systematic and rational and are consistently applied to all costs that have similar characteristics.

The Group has adopted an expense allocation policy which splits the Group's expenses into attributable and non-attributable expenses.

Contractual Service Margin (CSM)

The Group's CSM is a component of the asset or liability for the group of insurance contracts that represents the unearned profit the Group will recognise as it provides services in the future. The Group measures the CSM on initial recognition at an amount that, unless the group of contracts is onerous, results in no income or expenses arising from:

- Initial recognition of the fulfilment cash flows
- Derecognition at the date of initial recognition of any asset or liability recognised for insurance acquisition cash flows
- Any cash flows arising from the contracts in the group at that date

For groups of contracts assessed as onerous, the Group has recognised a loss in profit or loss for the net outflow, resulting in the carrying amount of the liability for the group being equal to the fulfilment cash flows and the CSM of the group being zero. A loss component has been established by the Group for the liability for remaining coverage for an onerous group depicting the losses recognized for additional disclosures on the loss component.

The liability for remaining coverage is the Group's obligation to investigate and pay valid claims for insured events that have not yet occurred (i.e., the obligation that relates to the unexpired portion of the coverage period) and at initial recognition, comprises

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all remaining expected future cash inflows and cash outflows under an insurance contract plus the CSM for that contract.

The liability for incurred claims is the Group's obligation to investigate and pay valid claims for insured events that have already occurred, including events that have occurred but for which claims have not been reported, and other incurred insurance expenses. At initial recognition of a group of contracts, the liability for incurred claims is usually nil as no insured events have occurred.

Deferred acquisition costs (DAC)

Under IFRS 17, insurance acquisition cash flows are allocated to existing and future groups of insurance contracts on a systematic and rational basis. For insurance contracts measured under the GMM, on initial recognition of a group of contracts, the allocated insurance acquisition cash flows decrease the CSM and are thus implicitly deferred within the CSM, leading to a lower amount of CSM amortisation recognised in revenue in future reporting periods as services are rendered. However, for presentation purposes, directly attributable acquisition costs allocated to a group of contracts are amortised as an insurance service expense in a systematic way on the basis of the passage of time, with an equal amount recognised as insurance revenue.

Under the PAA, the Group recognised insurance acquisition cash flows in the liability for remaining coverage (LRC) and amortised insurance acquisition cash flows as insurance service expenses.

2.3.23.4.1.2. Insurance contracts – subsequent measurement

The CSM at the end of the reporting period represents the profit in the group of insurance contracts that has not yet been recognised in profit or loss, because it relates to future service to be provided.

For a group of insurance contracts, the carrying amount of the CSM of the group at the end of the reporting period equals the carrying amount at the beginning of the reporting period adjusted, as follows:

- The effect of any new contracts added to the group
- Interest accreted on the carrying amount of the CSM during the reporting period, measured at the discount rates at initial recognition
- The changes in fulfilment cash flows relating to future service, except to the extent that:
 - Such increases in the fulfilment cash flows exceed the carrying amount of the CSM, giving rise to a loss
 - OR
 - Such decreases in the fulfilment cash flows are allocated to the loss component of the liability for remaining coverage
- The effect of any currency exchange differences on the CSM
- The amount recognised as insurance revenue because of the transfer of services in the period, determined by the allocation of the CSM remaining at the end of the reporting period (before any allocation) over the current and remaining coverage period

The locked-in discount rate is the weighted average of the rates applicable at the date of initial recognition of contracts that joined a group over a 12-month period. The discount rate used for accretion of interest on the CSM is determined using the bottom-up approach at inception.

The changes in fulfilment cash flows relating to future service that adjust the CSM comprise of:

- Experience adjustments that arise from the difference between the premium receipts (and any related cash flows such as insurance acquisition cash flows and insurance premium taxes) and the estimate, at the beginning of the period, of the amounts expected. Differences related to premiums received (or due) related to current or past services are recognised immediately in profit or loss while differences related to premiums received (or due) for future services are adjusted against the CSM
- Changes in estimates of the present value of future cash flows in the liability for remaining coverage, except those relating to the time value of money and changes in financial risk (recognised in the statement of profit or loss and other comprehensive income rather than adjusting the CSM)
- Differences between any investment component expected to become payable in the period and the actual investment component that becomes payable in the period. Those differences are determined by comparing (i) the actual investment

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component that becomes payable in the period with (ii) the payment in the period that was expected at the start of the period plus any insurance finance income or expenses related to that expected payment before it becomes payable.

- Changes in the risk adjustment for non-financial risk that relate to future service

Except for changes in the risk adjustment, adjustments to the CSM noted above are measured at discount rates that reflect the characteristics of the cash flows of the group of insurance contracts at initial recognition.

Where, during the coverage period, a group of insurance contracts becomes onerous, the Group recognises a loss in profit or loss for the net outflow, resulting in the carrying amount of the liability for the group being equal to the fulfilment cash flows. The group establishes a loss component for the liability for remaining coverage for such onerous group depicting the losses recognised.

The Group measures the carrying amount of a group of insurance contracts at the end of each reporting period as the sum of:

- (i) the liability for remaining coverage comprising fulfilment cash flows related to future service allocated to the group at that date and the CSM of the group at that date; and
- (ii) the liability for incurred claims for the Group comprised the fulfilment cash flows related to past service allocated to the group at that date.

2.3.23.4.1.3 Reinsurance contracts held – initial measurement

The measurement of reinsurance contracts held follows the same principles as those for insurance contracts issued, with the exception of the following:

- Measurement of the cash flows include an allowance on a probability-weighted basis for the effect of any non-performance by the reinsurers, including the effects of collateral and losses from disputes
- The Group determines the risk adjustment for non-financial risk so that it represents the amount of risk being transferred to the reinsurer
- The Group recognises both day 1 gains and day 1 losses at initial recognition in the statement of financial position as a CSM and releases this to profit or loss as the reinsurer renders services, except for any portion of a day 1 loss that relates to events before initial recognition

Where the Group recognises a loss on initial recognition of an onerous group of underlying insurance contracts or when further onerous underlying insurance contracts are added to a group, it establishes a loss-recovery component of the asset for remaining coverage for a group of reinsurance contracts held depicting the recovery of losses.

The loss recovery component adjusts the carrying amount of the asset for remaining coverage. When the Group enters into reinsurance contracts held which provide coverage relating to events that occurred before the purchase of the reinsurance, such cost is recognised in the profit or loss on initial recognition.

2.3.23.4.1.4 Reinsurance contracts held – Subsequent measurement

The measurement of reinsurance contracts held follows the same principles as those for insurance contracts issued, with the exception of the following:

- Changes in the fulfilment cash flows are recognised in profit or loss if the related changes arising from the underlying ceded contracts have been recognised in profit or loss. Alternatively, changes in the fulfilment cash flows adjust the CSM.
- Changes in the fulfilment cash flows that result from changes in the risk of non-performance by the issuer of a reinsurance contract held do not adjust the contractual service margin as they do not relate to future service.

Any change in the fulfilment cash flows of a retroactive reinsurance contract held due to the changes of the liability for incurred

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claims of the underlying contracts is taken to profit and loss and not the contractual service margin of the reinsurance contract held.

Where a loss component has been set up subsequent to initial recognition of a group of underlying insurance contracts, the portion of income that has been recognised from related reinsurance contracts held is disclosed as a loss-recovery component.

2.3.23.4.2 Premium Allocation Approach (PAA)

Insurance contracts

This is a simplification of the general model. The Group applies the Premium Allocation Approach (PAA) permitted by IFRS 17 to measure the liability for remaining coverage for insurance contracts that meet the eligibility criteria in IFRS 17.64–69.

Annual Eligibility Assessment

At initial recognition of a group of contracts, the Group assesses PAA eligibility as follows:

- The coverage period of each contract in the group is one year or less; or
- For contracts with a coverage period exceeding one year, the Group assesses whether the PAA would produce a liability for remaining coverage that does not differ materially from the liability that would arise under the General Measurement Model (GMM). The Group considers differences to be immaterial if they are less than 5% of the GMM liability.

Measurement under the PAA

- On initial recognition, the liability for remaining coverage is measured as premiums received less any insurance acquisition cash flows paid (or an amount equal to acquisition cash flows expected to be paid if they are not paid at inception), because the Group has elected not to expense acquisition cash flows as incurred (IFRS 17.59(a)).
- The Group has concluded that its insurance contracts do not contain a significant financing component. Consequently, for contracts with a coverage period of one year or less, the Group does not discount the liability for remaining coverage or accrete interest.
- At subsequent measurement, the carrying amount of the liability for remaining coverage is increased by premiums received in the period, reduced by insurance acquisition cash flows paid, reduced by the amount recognized as insurance revenue for services provided in the period, and increased for interest accretion where a financing component exists.

Acquisition cash flows are not presented as a separate asset on the balance sheet; instead they are included within the insurance contract liability.

Premium experience adjustments and similar items that relate to current or past service are recognized immediately in insurance revenue and insurance service expenses in profit or loss.

The liability for incurred claims is measured under the General Measurement Model (i.e., fulfilment cash flows comprising discounted probability-weighted cash flows and a risk adjustment for non-financial risk).

Reinsurance Contracts Held

For reinsurance contracts held that are eligible for the PAA, the Group applies the same principles. The asset for remaining coverage on initial recognition is measured as premiums paid less acquisition cash flows (if the Group elects to recognize them immediately). The Group has determined that there is no significant financing component in its reinsurance contracts held with a coverage period of one year or less.

Insurance acquisition cash flows

Insurance acquisition cash flows arise from the costs of selling, underwriting and starting a group of insurance contracts that are directly attributable to the portfolio of insurance contracts to which the group belongs. These include direct and indirect costs incurred in originating insurance contracts, including cashflows related to unsuccessful efforts to obtain new business.

Under the PAA, an entity can choose to immediately expense insurance acquisition cash flows in the profit or loss when incurred if and only if each insurance contract in a group has a coverage period of one year or less. The Group has opted not to expense acquisition cash flows immediately when incurred.

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Alternatively, an entity can recognize insurance acquisition cash flows in the measurement of liability for remaining coverage (LRC) and amortize insurance acquisition cash flows in the profit or loss (systematically - in line with earning pattern of premium revenue OR passage of time, with the former being the method adopted by the Group.

Under IFRS 17, if acquisition costs are paid before the related insurance groups are recognized, an entity shall recognize an asset. These assets are derecognized when the group of insurance contracts are recognized. If insurance acquisition cash flows are expected to be paid after the related group is recognized, then they are included as part of the measurement of insurance contracts (LRC).

IFRS 17 allows for the deferral of acquisition costs to smooth out the recognition of profits. Paid acquisition costs are an asset that is amortized (or derecognized) when they are included in the measurement of the related group of insurance contracts. The Group has chosen to defer all insurance acquisition cash flows and recognize them over the coverage period of contracts or groups they are attributed to. Therefore, acquisition costs and related revenue are recognized over the same periods and in the same pattern, based on the passage of time.

It must be noted that IFRS 17 requires allocation to future renewals if the acquisition cashflows are judged to support future renewals. Also the expensing acquisition costs policy choice only applies for contracts with coverage period one year or less.

For contracts measured under PAA in the Group, insurance acquisition costs comprise of costs that are directly attributable to individual contracts or groups of contracts in a portfolio or the portfolio to which the group belongs; with the costs being allocated to groups on a systematic and rationale method e.g., Activity-Based Costing method or based on GWP proportions or claims cost etc.

2.3.23.4.3 Insurance contracts – modification and derecognition

A contract which the Group has assessed and determined to qualify as an insurance contract remains so until all rights and obligations are extinguished (i.e., discharged, cancelled or expired) unless the contract is derecognised because of a contract modification. Hence, the Group derecognizes a contract as a result of extinguishment which could be caused by lapse, claim or outright termination of insurance policy, modification due to surrender, change in sum assured, changes to attaching riders and transfer (which is the transfer of the full risk to a reinsurer).

An insurance contract may be modified, either by agreement between the parties or as a result of regulation. If the terms are modified, the Group derecognises the original insurance contract and recognise the modified contract as a new contract, if and only if, any of the conditions listed below are satisfied.

- If the modified terms were included at contract inception:
 - The modified contract would have been excluded from the scope of IFRS 17.
 - The Group would have separated different components from the host insurance contract resulting in a different insurance contract to which IFRS 17 would have applied.
 - The modified contract would have had a substantially different contract boundary
 - The modified contract would have been included in a different group of contracts at initial recognition (e.g., the contracts would have been onerous at initial recognition rather than having no significant possibility of being onerous subsequently)
- The entity applied the premium allocation approach to the original contract, but the modifications mean that the contract no longer meets the eligibility criteria for that approach.

When a contract modification does not meet any of the conditions above for derecognition, the Group treats any changes in cash flows caused by the modification as changes in the estimates of the fulfilment cash flows.

The Group derecognises insurance contracts when:

- The rights and obligations relating to the contract are extinguished (i.e., discharged, cancelled or expired)
- Or
- Any of the conditions for modifications which result in derecognition are met.

When an insurance contract is extinguished, the Group is no longer at risk and not required to transfer economic resources to satisfy the contract. Therefore, the settlement of the last claim outstanding on a contract does not necessarily result in derecognition

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of the contract, although it may result in the remaining fulfilment cash flows under a contract being immaterial. For derecognition to occur, all obligations of the Group relating to the contract must have been discharged or cancelled. When the Group purchases reinsurance, it derecognizes the underlying insurance contracts only when those underlying insurance contracts are extinguished.

The Group derecognises an insurance contract from within a group of insurance contracts by applying the following requirements:

- The fulfilment cash flows allocated to the group for both the liability for remaining coverage and the liability for incurred claims are adjusted to eliminate the present value of the future cash flows and risk adjustment for non-financial risk relating to the rights and obligations that have been derecognised from the group
- The contractual service margin of the group is adjusted for the change in fulfilment cash flows described above, to the extent required by the general model
- The number of coverage units for expected remaining insurance contract services is adjusted to reflect the coverage units derecognised from the group, and the amount of the contractual service margin recognised in profit or loss in the period is based on that adjusted number to reflect services provided in the period.

2.3.23.5 Presentation

The Group has presented separately in the statement of financial position the carrying amount of groups of insurance contracts issued that are assets, groups of insurance contracts issued that are liabilities, reinsurance contracts held that are assets and groups of reinsurance contracts held that are liabilities.

Any assets or liabilities for insurance acquisition cash flows recognised before the corresponding insurance contracts are recognised, are included in the carrying amount of the related groups of insurance contracts issued. The Group disaggregates the amounts recognised in the statement of profit or loss and other comprehensive income into an insurance service result, comprising insurance revenue and insurance service expenses, and insurance finance income or expenses. See section 2.3.6.1 for accounting policies on Revenue.

The Group does not disaggregate the change in risk adjustment for non-financial risk between a financial and non-financial portion and includes the entire change as part of the insurance service result. The Group separately presents income or expenses from reinsurance contracts held from the income or expenses from insurance contracts issued.

2.3.24 Investment contract liabilities

Investment contract liabilities are recognised when contracts are entered into and premiums are charged. These liabilities are initially recognised at fair value, this being the transaction price excluding any transaction costs directly attributable to the issue of the contract. Subsequent to initial recognition, the investment contract liabilities are measured at amortized cost.

Deposits and withdrawals are recorded directly as an adjustment to the liability in the statement of financial position and are not recognised as gross premium in the statement of profit or loss.

The liability is derecognised when the contract expires, is discharged or is cancelled. For a contract that can be cancelled by the policyholder, the account value cannot be less than the surrender value.

When contracts contain both a financial risk component and a significant insurance risk component and the cash flows from the two components are distinct and can be measured reliably, the underlying amounts are unbundled. Any premiums relating to the insurance risk component are accounted for on the same basis as insurance contracts and the remaining element is accounted for as a deposit through the statement of financial position as described above.

However, when contracts contain both financial risk component and significant insurance risk component and cash flows from the two components are not distinct and cannot be measured reliably, the underlying amounts are not unbundled but are recognized in the statement of financial position account as insurance contract liabilities.

Profit from investment contracts is recognised in the Statement of Profit or Loss. It represents the income generated from assets backing investment contract funds, net of finance costs arising on investment contract liabilities, which are calculated using the effective interest rate method

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2.3.25 Deferred revenue

Rental income

Rental income arising from operating leases on investment properties is accounted for on a straight line basis over the lease terms and is included in investment income.

2.3.26 Taxes

2.3.26.1 Current income tax

Current income tax assets and liabilities for the current period are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

Current income tax assets and liabilities also include adjustments for tax expected to be payable or recoverable in respect of previous periods. Current income tax relating to items recognised directly in equity or other comprehensive income is recognised in equity or other comprehensive income and not in the profit or loss.

Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions, where appropriate tax/back duty assessments are recognized when assessed and agreed to by the Group with the Tax authorities, or when appealed, upon receipt of the results of the appeal.

2.3.26.2 Minimum tax

In accordance with the provisions of the Company Income Tax Act, Cap C21, Laws of the Federation of Nigeria 2004 (CITA), minimum tax is computed where the income tax based on taxable profit is lower than the statutory minimum tax determined on the prescribed basis.

The Group assesses, at each reporting date, the applicability of minimum tax for its Nigerian entities by comparing the tax computed on taxable profits with the minimum tax computed in line with the CITA and recognises the higher of the two amounts.

Minimum tax which is based on a gross amount is outside the scope of IAS 12 and therefore, are not presented as part of income tax expense in the profit or loss but recognized in the profit or loss presented above the income tax line as Minimum tax.

2.3.26.3 Deferred tax

Deferred tax is provided using the liability method in respect of temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

Deferred tax liabilities are recognized for all taxable temporary differences, except:

- When the deferred tax liability arises from the initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.
- In respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint arrangements, when the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax assets are recognized for all deductible temporary differences, carry forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilized except:

- Where the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.
- In respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint arrangements deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilized

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The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax relating to items recognized outside profit or loss is recognized outside profit or loss. Deferred tax items are recognized in correlation to the underlying transaction either in other comprehensive income or directly in equity.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off current tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

2.3.27 Provisions

General

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Where the Group expects some or all of a provision to be reimbursed, the reimbursement is recognized as a separate asset, but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the profit or loss net of any reimbursement. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability.

Contingent liabilities are possible obligations that arise from past events whose existence will be confirmed only by the occurrence, or non-occurrence, of one or more uncertain future events not wholly within Group's control. Contingent liabilities are not recognized in the financial statements but are disclosed.

Onerous contracts

A provision is recognized for onerous contracts in which the unavoidable costs of meeting the obligations under the contract exceed the expected economic benefits expected to be received under it. The unavoidable costs reflect the least net cost of exiting the contract, which is the lower of the cost of fulfilling it and any compensation or penalties arising from failure to fulfil it.

2.3.28 Trade payable

Trade payable (Insurance payables) are recognised when due and measured on initial recognition at fair value of the consideration received less directly attributable transaction costs. Subsequent to initial recognition, they are measured at amortised cost using the EIR method. Discounting is omitted where the effect of discounting is immaterial.

2.3.29 Equity

2.3.29.1 Share capital

Shares are classified as equity when there is no obligation to transfer cash or other assets. Incremental costs directly attributable to the issue of equity instruments are recognised in equity, net of tax as a deduction from the proceeds. Where any member of the Group purchases the Company's equity share capital (treasury shares), the consideration paid, including any directly attributable incremental costs, is reported as a separate component of equity attributable to the Company's equity holders. Where such shares are subsequently sold, reissued or otherwise disposed of, any consideration received is included in equity attributable to the Company's equity holders, net of any directly attributable incremental transaction costs and the related income tax effects.

2.3.29.2 Share premium

Share premium represents surplus on the par value of shares issued. The share premium is classified as an equity instrument in the statement of financial position.

2.3.29.3 Treasury shares

When shares recognised as equity are repurchased, the amount of the consideration paid, which includes directly attributable costs, is recognised as a deduction from equity. Repurchased shares are classified as treasury shares and are presented in the treasury shares reserve. When treasury shares are sold or reissued subsequently, the amount received is recognised as an increase in equity and the resulting surplus or deficit on the transaction is presented within share premium.

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2.3.29.4 Foreign currency translation reserve

The assets and liabilities of foreign operations are translated to Naira at closing functional currency rates at the reporting date. The income and expenses of foreign operations are translated to Naira at spot rates at the dates of the transactions. Foreign currency differences on the translation of foreign operations are recognized in other comprehensive income and accumulated in foreign currency translation reserves in the statement of financial position.

2.3.29.5 Contingency reserve

Under the Nigerian Insurance Industry Reform Act, 2025 (NIIRA 2025), the treatment of contingency (statutory) reserves is retained as a mandatory prudential requirement, but with an important structural shift: the Act itself sets the obligation, while the detailed percentages and thresholds are to be prescribed and updated by NAICOM through regulations and guidelines rather than being rigidly hard-coded in the statute.

Current guidelines from NAICOM states that the business does not need to raise additional transfers to contingency reserves going forward, as it is now taken care of by the minimum capital requirements in the NIIRA 2025.

2.3.29.6 Revaluation reserve

Revaluation reserve represents the fair value differences on the revaluation of items of property, plant and equipment as at the statement of financial position date. If an asset's carrying amount is increased as a result of a revaluation, the increase is recognised in other comprehensive income and accumulated in revaluation reserve. The increase is recognised in profit or loss to the extent that it reverses a revaluation decrease of the same asset previously recognised in profit or loss. If an assets carrying amount is decreased as a result of a revaluation, the decrease is recognised in profit or loss, however, the decrease shall be recognised in other comprehensive income to the extent of any credit balance existing in the revaluation surplus in respect of that asset.

The revaluation surplus in respect of an item of property, plant and equipment is transferred to retained earnings when the asset is derecognised. This involves transferring the whole of the surplus when the asset is retired or disposed. The amount of the surplus transferred is the difference between depreciation based on the revalued carrying amount of the asset and the depreciation based on the asset's original cost. Transfers from revaluation reserve to retained earnings are not made through profit or loss.

2.3.29.7 Fair value reserve

Fair value reserve represents increases or decreases in fair value of equity instruments measured at FVOCI reported directly in other comprehensive income. Gains and losses on these equity instruments are never recycled to profit or loss. The group transfers amounts from this reserve to retained earnings when the relevant equity securities are derecognized.

2.3.29.8 Insurance finance reserve

The insurance finance reserve comprises the cumulative insurance finance income and expenses recognised in other comprehensive income.

2.3.29.9 Retained earnings / (accumulated losses)

This account accumulates profits or losses from operations and reduced by dividends declared alongside other transfers to reserves in line with regulatory requirements.

2.3.30 Earnings per share

The Group presents basic earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period excluding treasury shares held by the Company.

Diluted earnings per share amounts are calculated by dividing the net profit by the weighted number of ordinary shares outstanding during the year plus the weighted number of ordinary shares that would be issued on conversion of all the dilutive potential ordinary shares into ordinary shares.

2.3.31 Retirement obligations and Employee benefits

The Group operates the following contribution and benefit schemes for its employees:

2.3.31.1 Defined contribution pension scheme

The Group operates a defined contributory pension scheme for eligible employees. The Company contributes 10% and the employees contribute 8% of the employees' Basic, Housing and Transport allowances in line with the provisions of the Pension Reform Act 2014. The Company pays the contributions to pension fund administrators. The Company has no further payment

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obligations once the contributions have been paid. The contributions are recognised as employee benefits expense when they are due. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in the future payments is available.

2.3.31.2 Short-term benefits

Wages, salaries, annual leave, bonuses and non-monetary benefits are recognised as employee benefit expenses in the statement of profit or loss and paid in arrears when the associated services are rendered by the employees of the Company.

2.3.32 Significant accounting judgements, estimates and assumptions

The preparation of financial statements requires management to make judgments, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities, income and expenses. Actual results may differ from these estimates under different assumptions and conditions. The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised prospectively. Information about significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognized in the financial statements are described below:

2.3.32.1 Insurance and reinsurance contracts – Life Business

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. The Company based its assumptions and estimates on parameters available when the financial statements were prepared.

Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

i) The methods used to measure insurance contracts future cash flows

The Company adopted best estimate assumptions to project its future cashflows. It applies discount rates that considers the time value of money and financial risks. In determining the estimates within the contract boundary, the Company considers the expected future lifetime of the policyholder as well as the term of the policy.

The following assumptions were used when estimating future cash flows for different class of the Company's portfolio:

Individual life

The following assumptions are used to estimate the best estimate cashflows:

Mortality assumption

Assumptions are based on standard industry and national tables, according to the type of contract written and the territory in which the insured person resides. They reflect recent historical experience and are adjusted when appropriate to reflect the Company's own experiences. An appropriate, but not excessive, allowance is made for expected future improvements. The Company currently uses best estimate mortality for life business of 90% of the A67/70 life tables.

An increase in expected mortality and morbidity rates will increase the expected claim cost which will reduce future expected profits of the Company.

Expense and expense inflation

Operating expenses assumptions reflect the projected costs of maintaining and servicing in-force policies and associated overhead expenses. The current level of expenses is taken as an appropriate expense base, adjusted for expected expense inflation which is derived based on the Group's outlook of long-term inflation derived from the Consumer Price Index in Nigeria.

Lapse and surrender rate

A lapse and surrender rate analysis is carried out on the Group's policies to derive best estimate surrender and lapse rates at different durations. The Company derives assumptions about surrender rates based on the Company's own historical experience. Historical surrender rates are derived from the Company's policy administration data. An analysis is then performed based on a 1-year average and on a count, basis compared to the existing long-term rate.

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Group life and other one year coverage policy.

Group life policies, Mutual dignity plan, Mutual term assurance, Mutual mutlishield plan, Mutual school fees guarantee scheme, Mutual micro term plus, Mutual multilife plus, credit life assurance are policies with a maximum term of one year and therefore all qualify for valuation under the Premium Allocation Approach (PAA).

Under the Premium Allocation Approach assumptions are required to derive the liability for remaining coverage (LRC) and the liability for incurred claims (LIC).

The LRC is assumed to run down uniformly with the passage of time. At initial recognition it will be equal to the premium received (less acquisition cost if amortised). Therefore, no explicit assumptions are required for the LRC under group life. However, it is influenced by the size of the premium which is determined by the pricing basis.

The LIC at initial and subsequent recognition will be the sum of outstanding claims provisions and Incurred but not Reported (IBNR) reserves. No assumptions are required for the outstanding claims provisions as these are known at the date of reporting. Claims development triangles are used to derive the IBNR reserves. Assumptions regarding future claims development and ultimate losses will be required and driven by past experience. Currently the chain ladder method and the bornhuetter- Ferguson (BF) method are employed to derive the IBNR reserve.

ii) Discount rate

The Group's insurance contract liabilities are calculated by discounting expected future cash flows at a risk-free rate, plus an illiquidity premium where applicable. Risk free rates are determined by reference to the yields published by the Nigerian Actuarial Society of highly rated sovereign securities in the currency of the life insurance contract liabilities. The illiquidity premium is determined by reference to observable market rates, including sovereign debt and corporate debt rates.

iii) Risk adjustment for non-financial risk

The risk adjustment for non-financial risk represents the compensation that the Company requires for bearing the uncertainty about the amount and timing of the cash flows of groups of insurance contracts and covers insurance risk, lapse risk and expense risk. The risk adjustment reflects an amount that an insurer would rationally pay to remove the uncertainty that future cash flows will exceed the best estimate amount.

The Company has estimated the risk adjustment using a confidence level (value at risk) approach in which a full IFRS 17 liability distribution is generated across all non-financial risks and risk adjustment is calculated as the difference between the best estimate liability and the liability value at the chosen confidence level.

iv) Amortisation of the Contractual Service Margin (CSM)

The CSM is a component of the asset or liability for the group of insurance contracts that represents the unearned profit the Company will recognise as it provides services in the future. An amount of the CSM for a group of insurance contracts is recognised in profit or loss as insurance revenue in each period to reflect the insurance contract services provided under the group of insurance contracts in that period. The amount is determined by:

- Identifying the coverage units in the group
- Allocating the CSM at the end of the period (before recognising any amounts in profit or loss to reflect the insurance contract services provided in the period) equally to each coverage unit provided in the current period and expected to be provided in the future
- Recognising in profit or loss the amount allocated to coverage units provided in the period

The number of coverage units in a group is the quantity of insurance contract services provided by the contracts in the group, determined by considering the quantity of the benefits provided and the expected coverage period. For groups of the Company's life insurance contracts, the quantity of benefits is the contractually agreed sum assured over the period of the contracts. The total coverage units of each group of insurance contracts are reassessed at the end of each reporting period to adjust for the reduction of remaining coverage for claims paid, expectations of lapses and cancellation of contracts in the period. They are then allocated based on probability-weighted average duration of each coverage unit provided in the current period and expected to be provided in the future.

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v) Assets for insurance acquisition cashflows

The Company applies judgement in determining the inputs used in the methodology to systematically and rationally allocate insurance acquisition cash flows to groups of insurance contracts. This includes judgements about whether insurance contracts are expected to arise from renewals of existing insurance contracts and, where applicable, the amount to be allocated to groups including future renewals and the volume of expected renewals from new contracts issued in the period.

2.3.32.2 Insurance and reinsurance contracts – Non- Life Business

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Company. Such changes are reflected in the assumptions when they occur. The Company applies the premium allocation approach (PAA) to simplify the measurement of insurance contracts. For cashflows that are not expected to be settled more than one year after the claims is incurred, the company has elected not to discount such cashflows.

i) Liability for remaining coverage

The company uses the following key assumption for its liability for remaining coverage. Earnings pattern for LRC (Liability for Remaining coverage) includes two (2) options under the PAA, they are: Pro rata temporis (passage of time) or Risk based curve. For insurance contracts which automatically qualify for PAA (i.e., with coverage period not exceeding 1 year), the passage of time or pro-rata temporis pattern will be used. However, contracts which automatically qualify for PAA does not necessarily imply that the uniform earnings curve will be appropriate. For example, seasonality of claim incidence under certain class of policy would normally require calibration of the earnings curve. But the default curve will be uniform unless facts and circumstances indicate otherwise, i.e. there is sufficient credible data and grounds that the incidence of risk may not be linear.

For contracts with coverage period exceeding 1-year, actuarial investigations will be conducted by deriving the claims incidence pattern using historical claims data. Actual observed claims incidence curve is tested for goodness of fit by applying standard statistical techniques. In the absence of credible claims data, an equivalent risk incidence curve will be sourced from our international reinsurers. If external risk curve is not available, then by default a uniform earnings curve will apply.

The selected earnings curve was applied to both insurance and reinsurance contract.

ii) Claims payment pattern for liability for incurred claims

In estimating the claims payment pattern for liability for incurred claims, the company sets:

- An assumption regarding the future timing of claim settlement is required as the IFRS 17 requires the determination of probability weighted future cash flows. Weighted future cash flows will include expected claim payment, expected cost of settling the claims, unallocated claim expenses that are integral to the claim cost but due to system limitations they cannot be allocated to individual claims (e.g. cost of pool of contract cars), legal costs incurred or expected to be incurred for litigated claims, motor recoveries from third party insurers, salvage and subrogation and directly attributable maintenance expenses. For reinsurers' LIC, same cashflows shall apply as described above but the cashflows are apportioned according to reinsurance arrangement. Run off triangles are used to project future claims payment generated by direct insurance contracts and claim recovered from reinsurance contracts. Actual claims paid and outstanding claim reserves are grouped by accident year cohorts. Methodology used for claims reserving is defined by the Company's Reserving Policy and Reserving Guidance, and it relies on the Basic Chain Ladder as well as the Bornhuetter- Ferguson method. Same methodology is applied to claims generated by direct contracts and claim recovered from reinsurance contracts.
- Claim payment pattern will be derived for each reserving class or portfolio (portfolio if there is only one reserving class).
- Basically, the payment pattern provides probabilities to project the settlement of claims in future time periods
- For a given portfolio or reserving class, same payment pattern will be applied to project the payment of OCR (outstanding claim reserve), IBNR reserve and Risk Adjustment estimates over future time periods.
- Existing reserving models (primarily the Basic Chain Ladder) will be used to derive the payment probabilities from the link ratios obtained from paid triangles
- Pattern will be derived once a year, that is, at the year-end valuation. It is expected that same payment pattern will be used in the LIC cashflow modelling for interim valuation periods and roll forward.
- However, for reserving class or portfolios which exhibit significant volatility, payment pattern might be reviewed and revised more frequently and also pattern used in LIC model will need to be updated. A change in payment pattern will

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lead to a change in fulfilment cashflows arising from non-financial assumption change. This change or delta in fulfilment cashflow will be accounted for as an insurance service expense.

- Changes of payment pattern during a financial year will only be considered if justified by facts and circumstances. Examples of facts and circumstances could be as follows:
 - i. major changes in claim reporting and settlement processes that would invalidate existing payment pattern (e.g. non-life claims backlog can be quite common arising from dispute in settlement amount or change in policy administration system.
 - ii. occurrence of major external systemic events such as a pandemic related lockdown will impact the development factors- hence invalidate existing payment pattern
- It is to be noted that, for consistency, the same payment pattern as used for claim projection will be applied in the projection of Risk Adjustment estimates. The same approach would be used to derive the payment pattern for modelling the LIC cashflows for a portfolio of reinsurance contracts.

iii) Discount rate

The discounting of reserves was conducted using the bottom-up approach. The discount rates were determined based on the yield curve of the government bonds as at year end. Discounting was only applied to the liabilities for incurred claims

iv) Risk adjustment for non-financial risk

The Group has adopted a Value at Risk (VaR) approach to calibrate the size of the Risk Adjustment per class and convert this to a factor which is applied to the present value of future cashflows for each class. The Group adopted a 75% confidence level for the Risk Adjustments determination. For classed of business where the historical claims information was not sufficient to allow for the estimation of the Risk Adjustments in line with the adopted methods, a minimum rate of 10% was adopted for these classes. The minimum rate was approximated based on the overall risk adjustment of the Group's abilities.

2.3.32.3 Expense Allocation

IFRS 17 requires that costs which do not relate to the fulfilment of contracts be excluded in the estimation of fulfilment cashflows. It further requires that overhead costs are allocated to group of contracts using methods that are systematic and rational and are consistently applied to all costs that have similar characteristics.

The Group has adopted an expense allocation policy which splits the Group's expenses into attributable and non-attributable expenses.

2.3.32.4 Fair value of investment property

The valuation of investment properties is based on the price for which comparable land and properties are being exchanged hands or are being marketed for sale. Therefore, the market-approach Method of Valuation. By nature, detailed information on concluded transactions is difficult to come by. The past transactions and recent adverts are being relied upon in deriving the value of the subject properties. At least, eight properties have been analysed and compared with the subject property.

2.3.32.5 Impairment losses on financial assets

The measurement of impairment losses both under IFRS 9 across all categories of financial assets requires judgement, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses and the assessment of a significant increase in credit risk. These estimates are driven by a number of factors, changes in which can result in different levels of allowances.

The Group's ECL calculations are outputs of complex models with a number of underlying assumptions regarding the choice of variable inputs and their interdependencies. Elements of the ECL models that are considered accounting judgements and estimates include:

The Group's internal credit grading model, which assigns PDs to the individual grades

- The Group's criteria for assessing if there has been a significant increase in credit risk and so allowances for financial assets should be measured on a LTECL basis and the qualitative assessment
- The segmentation of financial assets when their ECL is assessed on a collective basis
- Development of ECL models, including the various formulas and the choice of inputs
- Determination of associations between macroeconomic scenarios and, economic inputs, such as unemployment levels and collateral values, and the effect on PDs, EADs and LGDs
- Selection of forward-looking macroeconomic scenarios and their probability weightings, to derive the economic inputs

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into the ECL models

2.3.32.6 Fair value of financial instruments using valuation techniques

The Directors use their judgment in selecting an appropriate valuation technique. Where possible, financial instruments are marked at prices quoted in active markets. In the current market environment, such price information is typically not available for all instruments and the company uses valuation techniques to measure such instruments. These techniques use “market observable inputs” where available, derived from similar assets in similar and active markets, from recent transaction prices for comparable items or from other observable market data. For positions where observable reference data are not available for some or all parameters the company estimates the non-market observable inputs used in its valuation models.

Other financial instruments are valued using a discounted cash flow analysis based on assumptions supported, where possible, by observable market prices or rates although some assumptions are not supported by observable market prices or rates.

2.3.32.7 Recoverability of Deferred tax assets

Deferred tax assets are recognized for deductible temporary differences, unused tax losses and unused tax credits to the extent that it is probable that taxable profit will be available against which the losses can be utilized. Management judgement is required to determine the amount of deferred tax assets that can be recognized, based on the likely timing and level of future taxable profits, together with future tax planning strategies. In determining the timing and level of future taxable profits together with future tax planning strategies, the Group assessed the probability of expected future taxable profits.

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3 Segment information

3.1 The segment information provided by the Management Underwriting Investment Committee (MUIC) for the reporting segments as at 30 June 2026 is as follows:

Group <i>in thousands of Nigerian Naira</i>	Assurance business				Real estate	Microfinance	Oil & Gas	Elimination adjustment	Total
	Mutual Plc Nigeria	Mutual Ltd Nigeria	Mutual Niger	Mutual Liberia	Mutual Homes	Mutual Microfinance	Mutual Exp. & Prod. Ltd		
		LIFE	MBN	MBL	MHP	MFB	MEPL		
Cash and cash equivalents	12,657,268	7,211,420	19,458,344	1,390,218	261	414,676	42,492	(182,308)	40,992,371
Financial assets at fair value through OCI	625,470	436,817	-	48,678	-	-	-	(48,678)	1,062,287
Financial assets at fair value through profit or loss	532,039	-	-	-	-	-	-	-	532,039
Financial assets at amortised cost	29,868,048	57,211,866	-	3,901,047	-	3,047,016	-	(477,958)	93,550,018
Financial assets held for trading pledged as collateral	878,135	-	-	-	-	-	-	-	878,135
Trade receivables	1,267,092	1,029,770	1,429,239	44,377	-	-	-	-	3,770,478
Reinsurance contract Assets	13,422,951	5,704,481	3,361,928	-	-	-	-	-	22,489,360
Other receivables and prepayments	2,542,586	2,093,120	1,080,551	77,471	-	90,175	2,216	(548,022)	5,338,097
Insurance contract assets	-	300	-	-	-	-	-	-	300
Recapitalisation escrow account with CBN	-	8,000,000	-	-	-	-	-	-	8,000,000
Investment properties	1,100,000	3,170,000	-	-	-	-	-	-	4,270,000
Intangible assets	162,789	144,289	20,742	-	-	1,754	12,498,652	-	12,828,226
Property, plant and equipment	2,956,123	395,446	2,743,141	1,241,228	-	90,911	5,034	-	7,431,883
Investments in subsidiaries	6,227,238	13,636,172	-	-	-	-	-	(19,863,410)	-
Statutory deposit	1,500,000	1,000,000	-	-	-	-	-	-	2,500,000
Deferred tax assets	95,467	258,949	-	-	-	1,447	932	-	356,795
Total assets	73,835,206	100,292,630	28,093,946	6,703,020	261	3,645,979	12,549,326	(21,120,377)	203,999,989
Insurance contract liabilities	32,050,514	20,528,449	7,121,464	6,102,008	-	-	-	-	65,802,435
Reinsurance contract liabilities	1,894,231	3,083,358	-	156,826	-	-	-	-	5,134,414
Investment contract liabilities	-	37,494,332	-	-	-	-	-	-	37,494,332
Trade payables	765,921	280,626	430,575	-	-	-	-	-	1,477,122
Other liabilities	958,542	2,513,372	775,529	640,438	203,328	97,425	27,169	(548,022)	4,667,781
Deposit liabilities	-	-	-	-	-	2,325,893	-	(606,013)	1,719,880
Borrowings	400,870	-	-	-	-	-	-	-	400,870
Current income tax liabilities	386,068	232,043	308,992	83,702	50,786	1,908	66	-	1,063,566
Deferred tax liabilities	219,948	-	-	-	8	-	973	-	220,929
Total liabilities	36,676,094	64,132,180	8,636,561	6,982,973	254,121	2,425,226	28,209	(1,154,035)	117,981,329
Share capital	10,030,811	9,820,682	1,295,010	488,421	20,000	690,000	100,000	(12,414,113)	10,030,811
Treasury shares	(250)	-	-	-	-	-	-	-	(250)
Share premium	276,486	6,181,818	-	-	-	-	12,447,613	(18,629,431)	276,486
Foreign currency translation reserve	-	-	14,375,984	4,052,556	-	-	-	(3,092,470)	15,336,070
Contingency reserve	5,979,068	2,005,549	-	-	-	-	-	-	7,984,617
Fair value reserve	431,562	(434,914)	-	(87,020)	-	-	-	(22,179)	(112,551)
Revaluation reserve	1,355,693	-	139,140	74,003	-	-	-	(32,407)	1,536,429
Insurance finance reserves	126,888	902,149	90,303	(9,193)	-	-	-	(219,842)	890,306
Retained Earnings	18,958,854	16,842,213	3,432,730	(4,797,876)	(273,860)	518,109	(26,496)	1,721,566	36,375,241
Shareholders fund	37,159,112	35,317,498	19,333,167	(279,108)	(253,860)	1,208,109	12,521,117	(32,688,876)	72,317,158
Owners of the parent	37,159,112	35,317,498	19,333,167	(279,108)	(253,860)	1,208,109	12,521,117	(32,688,876)	72,317,158
Non-controlling interests in equity	-	842,952	124,218	(846)	-	12,644	-	12,722,534	13,701,502
Total equity	37,159,112	36,160,450	19,457,385	(279,954)	(253,860)	1,220,753	12,521,117	(19,966,342)	86,018,660
Total liabilities and equity	73,835,206	100,292,630	28,093,946	6,703,020	261	3,645,979	12,549,326	(21,120,377)	203,999,989

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3.2 Segment information - Continued

The segment information provided by the Management Underwriting Investment Committee (MUIC) for the reporting segments for the period ended 30 June 2026 is as follows:

Group <i>in thousands of Nigerian Naira</i>	Assurance business				Real estate	Microfinance	Oil & Gas	Elimination adjustment	Total
	Mutual Plc Nigeria	Mutual Ltd Nigeria	Mutual Niger	Mutual Liberia	Mutual Homes	Mutual Microfinance	Mutual Exp. & Prod. Ltd		
Insurance revenue	25,851,098	9,939,436	6,030,318	432,448	-	-	-	-	42,253,300
Insurance service expense	(26,053,432)	(8,830,401)	(5,604,976)	(377,290)	-	-	-	-	(40,866,099)
Insurance service result before reinsurance contracts held	(202,334)	1,109,035	425,342	55,158	-	-	-	-	1,387,201
Net income/(expenses) from reinsurance contracts held	1,161,309	402,520	1,747,343	(63,177)	-	-	-	-	3,247,995
Net income / (expenses) from reinsurance contracts held	1,161,309	402,520	1,747,343	(63,177)	-	-	-	-	3,247,995
Insurance service result	958,975	1,511,555	2,172,685	(8,019)	-	-	-	-	4,635,196
Profit/(loss) on investment contracts	-	1,977,777	-	-	-	-	-	-	1,977,777
Interest revenue calculated using the effective interest method	3,167,689	2,103,718	397,690	40,616	-	-	-	-	5,709,713
Net fair value gain on assets at FVTPL	269,491	-	-	-	-	-	-	-	269,491
Impairment loss on financial assets	(860)	-	2,246	796	-	-	-	(8,325)	(6,143)
Net foreign exchange (losses)/gains	(549,417)	(46,968)	-	-	-	-	-	-	(596,385)
Other investment income	5,887	-	-	-	-	-	-	-	5,887
Net investment income	2,892,790	4,034,527	399,936	41,412	-	-	-	(8,325)	7,360,340
Net finance expenses from insurance contracts issued	(626,915)	(883,414)	(108,906)	(34,368)	-	-	-	-	(1,653,602)
Net finance income from reinsurance contracts held	846,701	79,074	-	124	-	-	-	-	925,899
Net insurance finance expenses	219,786	(804,340)	(108,906)	(34,244)	-	-	-	-	(727,703)
Net insurance and Investment results	4,071,551	4,741,742	2,463,715	(850)	-	-	-	(8,325)	11,267,833
Other income	19,176	8,862	33,978	-	1,111	70,388	8,372	-	141,887
Other employee benefit expenses	(197,038)	(85,447)	(167,302)	(4,345)	(560)	(94,709)	(8,748)	-	(558,149)
Other operating expenses	(161,282)	(112,219)	(388,557)	(9,112)	(601)	(113,114)	(26,318)	-	(811,203)
Other finance costs	-	-	-	-	-	(18,470)	-	-	(18,470)
Other finance income	-	-	-	-	-	330,301	-	-	330,301
Profit/(Loss) before income tax	3,732,407	4,552,938	1,941,834	(14,308)	(50)	174,396	(26,694)	(8,325)	10,352,199
Income tax expense	(222,899)	(55,756)	(308,992)	(11,593)	(8)	-	-	-	(599,249)
Profit/(Loss) for the year	3,509,508	4,497,182	1,632,842	(25,901)	(58)	174,396	(26,694)	(8,325)	9,752,950
Profit attributable to:									
Owners of the parent	3,509,508	3,665,203	1,012,362	(24,606)	(58)	161,752	(26,694)	(8,325)	8,289,143
Non-controlling interests	-	831,979	620,480	(1,295)	-	12,644	-	-	1,463,807
	3,509,508	4,497,182	1,632,842	(25,901)	(58)	174,396	(26,694)	(8,325)	9,752,950
Other comprehensive (loss)/income (net of tax):									
Items that may be reclassified to the profit or loss in subsequent period:									
Exchange differences on translation of foreign operations	-	-	(1,200,772)	8,986	-	-	-	-	(1,191,786)
Finance income / (expenses) from insurance contracts issued	14,799	74,419	(105,180)	-	-	-	-	-	(15,962)
Finance income / (expenses) from reinsurance contracts held	(211,546)	-	-	-	-	-	-	-	(211,546)
	(196,747)	74,419	(1,305,952)	8,986	-	-	-	-	(1,419,294)
Items not to be reclassified to profit or loss in subsequent periods									
Net revaluation (losses)/gains on equity instrument at FVOCI	(25,194)	(15,103)	-	-	-	-	-	-	(40,297)
	(25,194)	(15,103)	-	-	-	-	-	-	(40,297)
Total other comprehensive (loss)/income for the period, net of tax	(221,941)	59,316	(1,305,952)	8,986	-	-	-	-	(1,459,591)
Total comprehensive income/(loss) for the period, net of tax	3,287,567	4,556,498	326,890	(16,915)	(58)	174,396	(26,694)	(8,325)	8,293,359
Total comprehensive income/(loss) attributable to:									
Owners of the parent	3,287,567	3,713,546	202,672	(16,070)	(58)	161,752	(26,694)	(8,325)	7,314,391
Non-controlling interests	-	842,952	124,218	(846)	-	12,644	-	-	978,968
	3,287,567	4,556,498	326,890	(16,915)	(58)	174,396	(26,694)	(8,325)	8,293,359

4 Insurance Service Result

4.1 Insurance Revenue

	Notes	GROUP		COMPANY	
		30 JUN-2026 YTD	30 JUN-2025 YTD	30 JUN-2026 YTD	30 JUN-2025 YTD
in thousands of Nigerian Naira					
Contracts not measured under the PAA					
Amounts relating to the changes in the LRC:					
Expected incurred claims and other expenses after loss component allocation		82,553	785,090	(927)	703,016
Changes in the risk adjustment for non-financial risk for the risk expired after loss component allocation		11,870	155,809	-	144,139
CSM recognised in profit or loss for the services provided		359,990	411,674	3,048	60,743
Insurance acquisition cash flows recovery		126,197	323,467	5,108	204,417
Insurance revenue from contracts not measured under the PAA		580,609	1,676,039	7,228	1,112,316
Insurance revenue from contracts measured under the PAA		41,672,690	39,519,433	25,843,870	23,957,213
Total Insurance Revenue		42,253,299	41,195,472	25,851,098	25,069,528

4.1.1 The breakdown of insurance revenue by major product line is presented below:

Group	30 JUN-2026YTD										Life				
in thousands of Nigerian Naira	Notes	Agrie	Aviation	Bond	Engineering	Non-Life	General Accident	Marine	Motor	Oil & Gas	Group Life	Individual Life	Annuity	Medical	Total
Contracts not measured under the PAA															
Amounts relating to the changes in the liability for remaining coverage:															
Expected incurred claims and other expenses after loss component allocation		-	-	0	(927)	-	-	-	-	-	-	82,560	920	-	82,553
Changes in the risk adjustment for non-financial risk for the risk expired after loss component allocation		-	-	-	-	-	-	-	-	-	-	11,827	43	-	11,870
CSM recognised for the services provided		-	-	106	2,942	-	-	-	-	-	-	356,767	175	-	359,990
Insurance acquisition cash flows recovery		-	-	9	5,098	-	-	-	-	-	-	121,089	-	-	126,197
Insurance revenue from contracts not measured under the PAA		-	-	115	7,113	-	-	-	-	-	-	572,243	1,138	-	580,609
Insurance revenue from contracts measured under the PAA		12,607	114,417	48,410	1,315,269	5,746,159	2,468,327	3,330,106	13,583,111	3,888,160	7,068,806	107,092	-	3,990,227	41,672,690
Total Insurance Revenue		12,607	114,417	48,525	1,322,382	5,746,159	2,468,327	3,330,106	13,583,111	3,888,160	7,068,806	679,334	1,138	3,990,227	42,253,299
30 JUN-2025YTD															
in thousands of Nigerian Naira	Notes	Agrie	Aviation	Bond	Engineering	Fire	General Accident	Marine	Motor	Oil & Gas	Group Life	Individual Life	Annuity	Medical	Total
Contracts not measured under the PAA															
Amounts relating to the changes in the liability for remaining coverage:															
Expected incurred claims and other expenses after loss component allocation		-	-	18,696	684,320	-	-	-	-	-	-	81,170	904	-	785,090
Changes in the risk adjustment for non-financial risk for the risk expired after loss component allocation		-	-	1,838	142,301	-	-	-	-	-	-	11,628	42	-	155,809
CSM recognised for the services provided		-	-	34,824	25,919	-	-	-	-	-	-	350,758	172	-	411,674
Insurance acquisition cash flows recovery		-	-	5,554	198,864	-	-	-	-	-	-	119,049	-	-	323,467
Insurance revenue from contracts not measured under the PAA		-	-	60,912	1,051,404	-	-	-	-	-	-	562,605	1,119	-	1,676,039
Insurance revenue from contracts measured under the PAA		-	1,136,443	-	62,698	4,928,465	2,267,655	4,175,321	12,056,402	3,914,393	6,949,748	105,288	-	3,923,021	39,519,433
Total Insurance Revenue		-	1,136,443	60,912	1,114,101	4,928,465	2,267,655	4,175,321	12,056,402	3,914,393	6,949,748	667,893	1,119	3,923,021	41,195,472
30 JUN-2026YTD															
in thousands of Nigerian Naira	Notes	Agrie	Aviation	Bond	Engineering	Fire	General Accident	Marine	Motor	Oil & Gas	Group Life	Individual Life	Annuity	Medical	Total
Contracts not measured under the PAA															
Amounts relating to the changes in the liability for remaining coverage:															
Expected incurred claims and other expenses after loss component allocation		-	-	0	(927)	-	-	-	-	-	-	-	-	-	(927)
Changes in the risk adjustment for non-financial risk for the risk expired after loss component allocation		-	-	106	2,942	-	-	-	-	-	-	-	-	-	3,048
CSM recognised in profit or loss for the services provided		-	-	9	5,098	-	-	-	-	-	-	-	-	-	5,108
Insurance acquisition cash flows recovery		-	-	115	7,113	-	-	-	-	-	-	-	-	-	7,228
Insurance revenue from contracts not measured under the PAA		-	-	115	7,113	-	-	-	-	-	-	-	-	-	7,228
Insurance revenue from contracts measured under the PAA		12,607	114,417	48,410	1,251,497	5,527,391	1,957,370	3,306,040	9,737,977	3,888,160	-	-	-	-	25,843,870
Total Insurance Revenue		12,607	114,417	48,525	1,258,611	5,527,391	1,957,370	3,306,040	9,737,977	3,888,160	-	-	-	-	25,851,098
30 JUN-2025YTD															
in thousands of Nigerian Naira	Notes	Agrie	Aviation	Bond	Engineering	Fire	General Accident	Marine	Motor	Oil & Gas	Group Life	Individual Life	Annuity	Medical	Total
Contracts not measured under the PAA															
Amounts relating to the changes in the liability for remaining coverage:															
Expected incurred claims and other expenses after loss component allocation		-	-	18,696	684,320	-	-	-	-	-	-	-	-	-	703,016
Changes in the risk adjustment for non-financial risk for the risk expired after loss component allocation		-	-	1,838	142,301	-	-	-	-	-	-	-	-	-	144,139
CSM recognised in profit or loss for the services provided		-	-	34,824	25,919	-	-	-	-	-	-	-	-	-	60,743
Insurance acquisition cash flows recovery		-	-	5,554	198,864	-	-	-	-	-	-	-	-	-	204,417
Insurance revenue from contracts not measured under the PAA		-	-	60,912	1,051,404	-	-	-	-	-	-	-	-	-	1,112,316
Insurance revenue from contracts measured under the PAA		-	1,136,443	-	-	4,713,381	1,765,304	4,151,661	8,276,030	3,914,393	-	-	-	-	23,957,213
Total Insurance Revenue		-	1,136,443	60,912	1,051,404	4,713,381	1,765,304	4,151,661	8,276,030	3,914,393	-	-	-	-	25,069,528

4.2 Insurance Service Expense

in thousands of Nigerian Naira	Notes	GROUP		COMPANY	
		30 JUN-2026	30 JUN-2025	30 JUN-2026	30 JUN-2025
		YTD	YTD	YTD	YTD
Incurred claims		42,389,544	30,431,184	27,521,621	25,329,983
Other directly attributable expenses		8,305,522	13,501,473	7,664,292	7,383,286
		50,695,066	43,932,657	35,185,913	32,713,269
Changes that relate to past service - adjustments to the LIC		(18,840,221)	(22,025,562)	(12,932,581)	(17,779,923)
Losses on onerous contracts and reversal of the losses		370,884	262,752	646	(5,924)
Insurance acquisition cash flows amortisation		8,640,370	7,324,173	3,799,455	3,808,269
Total Insurance Service Expenses		40,866,099	29,494,020	26,053,432	18,735,691

4.2.1 The breakdown of insurance service expenses by major product line is presented below:

Group	30 JUN-2026YTD														
<i>in thousands of Nigerian Naira</i>	Notes	Agrie	Aviation	Bond	Engineering	Fire	General Accident	Marine	Motor	Oil & Gas	Group Life	Individual Life	Annuity	Medical	Total
Incurred claims		15,937	1,759,824	872,647	1,702,394	4,539,931	6,173,871	3,319,881	5,587,286	6,327,300	7,757,912	138,231	5	4,194,325	42,389,544
Other directly attributable expenses		33,329	298,635	50,157	273,157	1,060,547	408,313	930,092	3,902,400	833,525	164,771	243,856	257	106,483	8,305,522
Changes that relate to past service - adjustments to the LIC	(17,027)	(552,447)	(934,499)	(881,337)	(1,215,294)	(4,829,876)	(2,462,698)	(1,917,039)	(1,552,961)	(3,431,439)	(86,376)	-	-	(959,229)	(18,840,221)
Losses on onerous contracts and reversal of the losses	14,135	299	(181)	(927)	(3,207)	(276)	(583)	(9,191)	-	58,803	396,868	(69,100)	(15,784)	-	370,884
Insurance acquisition cash flows amortisation	1,858	22,637	5,031	198,032	1,094,245	422,967	593,951	1,465,124	598,043	3,621,170	126,081	-	-	491,230	8,640,370
Total Insurance Service Expenses	48,232	1,528,949	(6,845)	1,291,319	5,476,222	2,174,999	2,380,672	9,028,580	6,205,907	8,171,217	818,661	(15,522)	-	3,763,710	40,866,099

30 JUN-2025YTD															
<i>in thousands of Nigerian Naira</i>	Notes	Agrie	Aviation	Bond	Engineering	Fire	General Accident	Marine	Motor	Oil & Gas	Group Life	Individual Life	Annuity	Medical	Total
Incurred claims		-	1,843,061	480,642	347,669	3,100,291	6,380,823	2,301,273	4,953,725	4,712,896	3,966,335	184,072	131	2,160,266	30,431,184
Other directly attributable expenses		-	817,715	213,248	154,251	1,375,513	2,830,994	1,021,011	2,197,830	2,090,982	1,759,753	81,668	58	958,450	13,501,473
Changes that relate to past service - adjustments to the LIC		-	(1,584,692)	(705,484)	(152,126)	(1,493,024)	(1,257,784)	(2,158,783)	(1,652,571)	(9,769,455)	(2,492,228)	(62,734)	-	(696,681)	(22,025,562)
Losses on onerous contracts and reversal of the losses		-	(18,686)	(0)	(63,797)	48,969	26,314	1,231	(354)	-	42,567	288,183	(11,464)	(50,211)	262,752
Insurance acquisition cash flows amortisation		-	238,177	5,554	204,259	921,285	361,699	668,497	1,243,866	602,475	2,630,018	91,568	-	356,775	7,324,173
Total Insurance Service Expenses		-	1,295,575	(6,040)	490,256	3,953,034	8,342,047	1,833,228	6,742,497	(2,363,102)	5,906,444	582,757	(11,275)	2,728,599	29,494,020

Company	30 JUN-2026YTD														
<i>in thousands of Nigerian Naira</i>	Notes	Agrie	Aviation	Bond	Engineering	Fire	General Accident	Marine	Motor	Oil & Gas	Group Life	Individual Life	Annuity	Medical	Total
Incurred claims		15,937	1,759,824	83,956	1,702,394	4,537,170	6,138,886	3,284,219	3,671,933	6,327,300	-	-	-	-	27,521,621
Other directly attributable expenses		33,329	298,635	50,157	273,157	1,054,858	394,629	917,011	3,808,991	833,525	-	-	-	-	7,664,292
Changes that relate to past service - adjustments to the LIC		(17,027)	(552,447)	(83,802)	(881,337)	(1,215,294)	(4,829,346)	(2,462,698)	(1,337,669)	(1,552,961)	-	-	-	-	(12,932,581)
Losses on onerous contracts and reversal of the losses		14,135	299	(181)	(927)	(3,207)	(276)	(553)	(8,643)	-	-	-	-	-	646
Insurance acquisition cash flows amortisation		1,858	22,637	5,031	190,603	1,068,632	360,359	591,190	961,101	598,043	-	-	-	-	3,799,455
Total Insurance Service Expenses		48,232	1,528,949	55,162	1,283,890	5,442,158	2,064,252	2,329,169	7,095,713	6,205,907	-	-	-	-	26,053,432

30 JUN-2025YTD															
<i>in thousands of Nigerian Naira</i>	Notes	Aviation	Bond	Engineering	Fire	General Accident	Marine	Motor	Oil & Gas	Group Life	Individual Life	Annuity	Medical	Total	
Incurred claims	-	2,060,246	93,745	388,638	3,460,877	7,105,368	2,545,043	4,407,802	5,268,263	-	-	-	-	25,329,983	
Other directly attributable expenses	-	600,529	27,325	113,282	1,008,790	2,071,102	741,840	1,284,804	1,535,615	-	-	-	-	7,383,286	
Changes that relate to past service - adjustments to the LIC	-	(1,584,692)	(87,629)	(152,126)	(1,493,024)	(1,257,400)	(2,158,783)	(1,276,815)	(9,769,455)	-	-	-	-	(17,779,923)	
Losses on onerous contracts and reversal of the losses	-	(18,686)	0	(63,797)	48,969	26,314	1,231	45	-	-	-	-	-	(5,924)	
Insurance acquisition cash flows amortisation	-	238,177	5,554	198,864	902,682	316,228	666,492	877,798	602,475	-	-	-	-	3,808,269	
Total Insurance Service Expenses	-	1,295,575	38,995	484,860	3,928,294	8,261,612	1,795,822	5,293,634	(2,363,102)	-	-	-	-	18,735,691	

4.3 Net income/(expenses) from reinsurance contracts held

in thousands of Nigerian Naira	Notes	GROUP		COMPANY	
		30 JUN-2026	30 JUN-2025	30 JUN-2026	30 JUN-2025
		YTD	YTD	YTD	YTD
Allocation of reinsurance premiums		(7,437,830)	(6,297,376)	(6,319,425)	(5,197,808)
Amounts recoverable for incurred claims and other expenses		7,002,883	13,122,234	712,741	12,771,289
Changes to amounts recoverable for incurred claims		3,682,942	-	6,767,992	(10,311,333)
Loss-recovery on onerous underlying contracts and adjustments		-	(67,519)	-	(67,519)
Total net (expenses)/income from reinsurance contracts held		3,247,995	(3,726,117)	1,161,309	(2,805,370)

4.3.1 The breakdown of net income/(expenses) from reinsurance contracts held by measurement component:

in thousands of Nigerian Naira	Notes	GROUP		COMPANY	
		30 JUN-2026	30 JUN-2025	30 JUN-2026	30 JUN-2025
		YTD	YTD	YTD	YTD
Reinsurance income/(expenses) - contracts not measured under the PAA:					
Amounts relating to changes in the remaining coverage:					
Expected claims and other expenses recovery		-	2,446	-	2,446
Changes in the risk adjustment recognised for the risk expired		-	575	-	575
CSM recognised for the services received		(13,424)	(302,608)	(13,424)	(302,608)
Reinsurance expenses from contracts not measured under the PAA		(13,424)	(299,587)	(13,424)	(299,587)
Amounts recoverable from reinsurers for incurred claims:					
Claims recovered		255,644	776,018	255,644	776,018
Changes that relate to past service - adjustments to incurred claims		382,562	(722,478)	382,562	(722,478)
Amounts recoverable from reinsurers for incurred claims		638,207	53,540	638,207	53,540
Reinsurance income/(expenses) - contracts not measured under the PAA		624,783	(246,047)	624,783	(246,047)
Reinsurance income/(expenses) - contracts measured under the PAA:					
Allocation of reinsurance premiums					
		(7,424,406)	(5,997,789)	(6,306,000)	(4,898,221)
Amounts recoverable from reinsurers for incurred claims:					
Claims recovered		6,747,239	12,346,216	457,097	11,995,271
Movement in Loss Recovery Component adjustment to Reinsurance CSM/ARC (PAA)		-	(67,519)	-	(67,519)
Changes that relate to past service - adjustments to incurred claims		3,300,380	(9,760,978)	6,385,430	(9,588,855)
Amounts recoverable from reinsurers for incurred claims		10,047,619	2,517,719	6,842,527	2,338,898
Reinsurance income/(expenses) - contracts measured under the PAA		2,623,213	(3,480,070)	536,527	(2,559,323)
Total net (expenses)/income from reinsurance contracts held		3,247,995	(3,726,117)	1,161,309	(2,805,370)

4.3.2 The breakdown of net income expenses from reinsurance contracts held by major product line is presented below:

Group	30 JUN-2026YTD														
in thousands of Nigerian Naira	Notes	Agric	Aviation	Bond	Engineering	Fire	General Accident	Marine	Motor	Oil & Gas	Group Life	Individual Life	Annuity	Medical	Total
Amounts relating to changes in the remaining coverage - for contracts not measured under the PAA:															
CSM recognised for the services received	-	-	-	-	(13,424)	-	-	-	-	-	-	-	-	-	(13,424)
Reinsurance expenses from contracts not measured under the PAA	-	-	-	-	(13,424)	-	-	-	-	-	-	-	-	-	(13,424)
Allocation of reinsurance premiums - contracts measured under the PAA	(3,798)	-	(1,564)	(783,312)	(2,110,081)	(1,175,425)	(1,378,209)	(324,758)	(1,029,438)	(610,207)	(7,613)	-	-	-	(7,424,406)
Allocation of reinsurance premiums	(3,798)	-	(1,564)	(796,737)	(2,110,081)	(1,175,425)	(1,378,209)	(324,758)	(1,029,438)	(610,207)	(7,613)	-	-	-	(7,437,830)
Amounts recoverable from reinsurers for incurred claims:															
Claims recovered	(11,607)	155,991	2,798	255,644	506,049	(3,064,250)	(1,312,224)	1,488,991	3,243,227	4,506,353	-	-	-	1,231,910	7,002,883
Movement in Loss Recovery Component adjustment to Reinsurance CSM/ARC (PAA)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Changes that relate to past service - Adjustments to incurred claims	10,148	19,809	-	382,562	642,713	3,168,493	1,808,016	159,229	577,021	(3,085,050)	-	-	-	-	3,682,942
Amounts recoverable from reinsurers for incurred claims	(1,459)	175,800	2,798	638,207	1,148,762	104,243	495,793	1,648,221	3,820,248	1,421,302	-	-	-	1,231,910	10,685,826
Total net income/(expenses) from reinsurance contracts held	(5,256)	175,800	1,233	(158,530)	(961,318)	(1,071,182)	(882,417)	1,323,462	2,790,811	811,095	(7,613)	-	-	1,231,910	3,247,995
30 JUN-2025YTD															
in thousands of Nigerian Naira	Notes	Agric	Aviation	Bond	Engineering	Fire	General Accident	Marine	Motor	Oil & Gas	Group Life	Individual Life	Annuity	Medical	Total
Amounts relating to changes in the remaining coverage - for contracts not measured under the PAA:															
Expected claims and other expenses recovery	-	-	-	2,446	-	-	-	-	-	-	-	-	-	-	2,446
Changes in the risk adjustment recognised for the risk expired	-	-	-	575	-	-	-	-	-	-	-	-	-	-	575
CSM recognised for the services received	-	-	(1,136)	(301,472)	-	-	-	-	-	-	-	-	-	-	(302,608)
Reinsurance expenses from contracts not measured under the PAA	-	-	(1,136)	(298,451)	-	-	-	-	-	-	-	-	-	-	(299,587)
Allocation of reinsurance premiums - contracts measured under the PAA															
Allocation of reinsurance premiums	-	(257,149)	-	(11,842)	(1,768,205)	(863,998)	(1,121,318)	(299,081)	(1,068,781)	(599,929)	(7,485)	-	-	-	(5,997,789)
Allocation of reinsurance premiums	-	(257,149)	(1,136)	(310,293)	(1,768,205)	(863,998)	(1,121,318)	(299,081)	(1,068,781)	(599,929)	(7,485)	-	-	-	(6,297,376)
Amounts recoverable from reinsurers for incurred claims:															
Claims recovered	-	35,094	-	776,018	1,680,763	5,793,598	1,014,918	529,722	2,971,967	251,422	-	-	-	68,732	13,122,234
Movement in Loss Recovery Component adjustment to Reinsurance CSM/ARC (PAA)	-	(10,063)	-	-	(18,450)	(39,004)	-	(3)	-	-	-	-	-	-	(67,519)
Changes that relate to past service - adjustments to incurred claims	-	(297,776)	5,879	(728,357)	(623,613)	(491,309)	(1,294,608)	(176,361)	(6,705,187)	(172,124)	-	-	-	-	(10,483,456)
Amounts recoverable from reinsurers for incurred claims	-	(272,745)	5,879	47,661	1,038,700	5,263,285	(279,690)	353,359	(3,733,221)	79,298	-	-	-	68,732	2,571,259
Total net income/(expenses) from reinsurance contracts held	-	(529,894)	4,743	(262,632)	(729,505)	4,399,287	(1,401,009)	54,278	(4,802,002)	(520,631)	(7,485)	-	-	68,732	(3,726,117)

Company	30 JUN-2026YTD														
in thousands of Nigerian Naira	Notes	Agrie	Aviation	Bond	Engineering	Fire	General Accident	Marine	Motor	Oil & Gas	Group Life	Individual Life	Annuity	Medical	Total
Amounts relating to changes in the remaining coverage - for contracts not measured under the PAA:															
CSM recognised for the services received		-	-	-	(13,424)	-	-	-	-	-	-	-	-	-	(13,424)
Reinsurance expenses from contracts not measured under the PAA		-	-	-	(13,424)	-	-	-	-	-	-	-	-	-	(13,424)
Allocation of reinsurance premiums - contracts measured under the PAA		(3,798)	-	(1,564)	(771,268)	(2,043,269)	(1,058,207)	(1,375,955)	(22,502)	(1,029,438)	-	-	-	-	(6,306,000)
Allocation of reinsurance premiums		(3,798)	-	(1,564)	(784,692)	(2,043,269)	(1,058,207)	(1,375,955)	(22,502)	(1,029,438)	-	-	-	-	(6,319,425)
Amounts recoverable from reinsurers for incurred claims:															
Claims recovered		(11,607)	155,991	2,798	255,644	506,049	(3,070,083)	(1,389,359)	1,020,080	3,243,227	-	-	-	-	712,741
Changes that relate to past service - adjustments to incurred claims		10,148	19,809	-	382,562	642,713	3,168,493	1,808,016	159,229	577,021	-	-	-	-	6,767,992
Amounts recoverable from reinsurers for incurred claims		(1,459)	175,800	2,798	638,207	1,148,762	98,410	418,657	1,179,310	3,820,248	-	-	-	-	7,480,734
Total net income/(expenses) from reinsurance contracts held		(5,256)	175,800	1,233	(146,485)	(894,507)	(959,797)	(957,298)	1,156,808	2,790,811	-	-	-	-	1,161,309
30 JUN-2025YTD															
in thousands of Nigerian Naira	Notes	Agrie	Aviation	Bond	Engineering	Fire	General Accident	Marine	Motor	Oil & Gas	Group Life	Individual Life	Annuity	Medical	Total
Amounts relating to changes in the remaining coverage - for contracts not measured under the PAA:															
Expected claims and other expenses recovery		-	-	-	2,446	-	-	-	-	-	-	-	-	-	2,446
Changes in the risk adjustment recognised for the risk expired		-	-	-	575	-	-	-	-	-	-	-	-	-	575
CSM recognised for the services received		-	-	(1,136)	(301,472)	-	-	-	-	-	-	-	-	-	(302,608)
Reinsurance expenses from contracts not measured under the PAA		-	-	(1,136)	(298,451)	-	-	-	-	-	-	-	-	-	(299,587)
Allocation of reinsurance premiums - contracts measured under the PAA		-	(257,149)	-	-	(1,702,519)	(748,754)	(1,119,102)	(1,916)	(1,068,781)	-	-	-	-	(4,898,221)
Allocation of reinsurance premiums		-	(257,149)	(1,136)	(298,451)	(1,702,519)	(748,754)	(1,119,102)	(1,916)	(1,068,781)	-	-	-	-	(5,197,808)
Amounts recoverable from reinsurers for incurred claims:															
Claims recovered		-	35,094	-	776,018	1,680,763	5,793,272	1,010,614	503,561	2,971,967	-	-	-	-	12,771,289
Movement in Loss Recovery Component adjustment to Reinsurance CSM/ARC (PAA)		-	(10,063)	-	-	(18,450)	(39,004)	-	(3)	-	-	-	-	-	(67,519)
Changes that relate to past service - adjustments to incurred claims		-	(297,776)	5,879	(728,357)	(623,613)	(491,309)	(1,294,608)	(176,361)	(6,705,187)	-	-	-	-	(10,311,333)
Amounts recoverable from reinsurers for incurred claims		-	(272,745)	5,879	47,661	1,038,700	5,262,960	(283,994)	327,197	(3,733,221)	-	-	-	-	2,392,438
Total net income/(expenses) from reinsurance contracts held		-	(529,894)	4,743	(250,790)	(663,818)	4,514,205	(1,403,096)	325,282	(4,802,002)	-	-	-	-	(2,805,370)

5 Profit on investment contracts

		GROUP		COMPANY	
		30 JUN-2026 YTD	30 JUN-2025 YTD	30 JUN-2026 YTD	30 JUN-2025 YTD
<i>in thousands of Nigerian Naira</i>	Notes				
Interest income		3,491,985	3,305,517	-	-
Surrender fee		236,104	344,811	-	-
Net rental income derived from investment properties		69,727	10,163	-	-
Income earned on Investment contracts funds		3,797,816	3,660,491	-	-
Acquisition cost on investment policies		(792,149)	(540,683)	-	-
Guaranteed interest		(1,027,890)	(1,038,718)	-	-
		1,977,777	2,081,090	-	-

6 Interest revenue calculated using the effective interest method

6.1 Interest income from Insurance contracts:

Interest income calculated using the effective interest method:

Interest income on loans and advances	175	563	175	506
Interest income on fixed term deposits	1,506,881	1,441,768	576,065	586,419
Interest from current accounts with banks	17,451	50	12,668	50
Interest income from treasury bills	3,262,419	2,941,661	2,411,580	1,561,378
Interest income from commercial papers	49,707	71,900	49,707	71,900
	4,836,633	4,455,942	3,050,195	2,220,253

6.2 Interest income from Shareholders funds:

Interest income calculated using the effective interest method:

Interest income on fixed term deposits	580,003	401,149	85,154	343,592
Interest income on statutory deposit	32,340	48,623	32,340	29,174
Interest from current accounts with banks	-	6,854	-	-
Interest income from treasury bills	260,737	32,779	-	-
Interest income from commercial papers	-	2,766	-	2,766
	873,080	492,171	117,494	375,532
	5,709,713	4,948,113	3,167,689	2,595,785

7 Net fair value gain/(loss) on assets at FVTPL

		GROUP		COMPANY	
		30 JUN-2026 YTD	30 JUN-2025 YTD	30 JUN-2026 YTD	30 JUN-2025 YTD
<i>in thousands of Nigerian Naira</i>	Notes				
Fair value gains/(losses) on quoted equity shares	20.2.2	69,851	12,086	69,851	12,086
Fair value gains/(losses) on financial assets held for trading pledged as collateral	21	225,334	42,728	225,334	42,728
Fair value gains/(losses) on Quoted Bonds	20.2.1.1	(25,694)	-	(25,694)	-
		269,491	54,814	269,491	54,814

8 Impairment loss/(reversal) on financial assets

Financial assets at amortised cost - Loans and receivables	20.3.1.3	-	27,483	-	-
Other receivables	24.5	6,143	4,860	860	-
		6,143	32,343	860	-

9 Net foreign exchange gains

		GROUP		COMPANY	
		30 JUN-2026 YTD	30 JUN-2025 YTD	30 JUN-2026 YTD	30 JUN-2025 YTD
<i>in thousands of Nigerian Naira</i>	Notes				
Net foreign exchange gain on bank balances		(596,385)	368,269	(549,417)	368,254
		(596,385)	368,254	(549,417)	368,254

10 Other investment income

Dividend income	3,340	6,348	3,340	6,348
Rental income	2,547	4,290	2,547	4,290
	5,887	10,638	5,887	10,638

11 Insurance finance income and expenses

	Notes	GROUP		COMPANY	
		30 JUN-2026	30 JUN-2025	30 JUN-2026	30 JUN-2025
		YTD	YTD	YTD	YTD
11.1 Finance income/(expenses) from insurance contracts issued:					
Interest accreted		(2,143,973)	(1,780,639)	(912,460)	(207,137)
Effect of changes in interest rates and other financial assumptions		472,093	(83,348)	300,343	996
Effect of changes in FCF at current rates when CSM is unlocked at locked in rates		2,315	(159,515)	-	(4,692)
Finance income/(expenses) from insurance contracts issued:		(1,669,565)	(2,023,501)	(612,116)	(210,833)
Summary of the amounts recognised in profit or loss		(1,653,602)	(1,197,071)	(626,915)	(125,591)
Summary of the amounts recognised in OCI		(15,962)	(826,430)	14,799	(85,242)
		(1,669,565)	(2,023,501)	(612,116)	(210,833)
11.2 Finance (expenses)/income from reinsurance contracts held:					
Interest accreted		1,329,386	307,518	1,236,285	108,707
Effect of changes in interest rates and other financial assumptions		(173,529)	3,156	(159,625)	(739)
Change of risk of non-performance of reinsurer		(441,505)	-	(441,505)	-
Effect of changes in FCF at current rates when CSM is unlocked at locked in rates		-	1,198	-	1,198
Finance (expenses)/income from reinsurance contracts held:		714,352	311,873	635,155	109,167
Summary of the amounts recognised in profit or loss		925,899	198,801	846,701	79,127
Summary of the amounts recognised in OCI		(211,546)	113,071	(211,546)	30,040
		714,352	311,873	635,155	109,167

11.3 The breakdown of insurance finance income and expenses by major product line is presented below:

(i) Group	30 JUN-2026YTD														
	Notes	Agrie	Aviation	Bond	Engineering	Fire	General Accident	Marine	Motor	Oil & Gas	Group Life	Individual Life	Annuity	Medical	Total
in thousands of Nigerian Naira															
Finance income/(expenses) from insurance contracts issued:															
Interest accreted		(1,000)	(46,170)	(966,124)	(79,473)	(72,116)	(417,814)	(219,055)	194,467	19,285	(483,146)	(524,774)	(26,441)	478,387	(2,143,973)
Effect of changes in interest rates and other financial assumptions		64	14,415	193	24,642	26,578	103,998	64,828	22,556	42,292	61,906	155,493	10,306	(55,177)	472,093
Effect of changes in FCF at current rates when CSM is unlocked at locked in rates		-	-	-	-	-	-	-	-	-	-	1,955	361	-	2,315
Finance (expenses)/income from insurance contracts issued:		(936)	(31,755)	(965,932)	(54,831)	(45,537)	(313,817)	(154,226)	217,023	61,577	(421,240)	(367,327)	(15,774)	423,210	(1,669,565)
Finance income/(expenses) from reinsurance contracts held:															
Interest accreted		1,377	8,354	137	73,865	131,601	472,631	281,416	56,374	210,654	92,978	-	-	-	1,329,386
Effect of changes in interest rates and other financial assumptions		(38)	(517)	-	(10,696)	(14,056)	(68,232)	(47,594)	(2,777)	(15,714)	(13,904)	-	-	-	(173,529)
Change of risk of non-performance of reinsurer		(305)	(5,629)	(88)	(28,856)	(52,442)	(111,116)	(75,240)	(31,400)	(136,430)	-	-	-	-	(441,505)
Finance income/(expenses) from reinsurance contracts held:		1,034	2,208	49	34,312	65,103	293,283	158,582	22,197	58,510	79,074	-	-	-	714,352
Net insurance finance (expenses)/income		98	(29,547)	(965,883)	(20,518)	19,566	(20,534)	4,355	239,220	120,087	(342,166)	(367,327)	(15,774)	423,210	(955,213)
The breakdown of finance income or expenses & OCI per portfolio is presented below:															
Summary of the amounts recognised in profit or loss															
Net finance expenses from insurance contracts issued		(718)	(27,709)	(557,890)	(42,831)	(59,203)	(234,050)	(118,283)	101,930	(78,164)	(421,240)	(440,015)	(22,159)	246,731	(1,653,602)
Net finance income from reinsurance contracts held		944	6,869	568	53,170	92,746	296,421	185,376	41,466	169,478	79,074	-	-	(214)	925,899
Net insurance finance income/(expenses)		226	(20,841)	(557,323)	10,339	33,543	62,371	67,093	143,396	91,314	(342,166)	(440,015)	(22,159)	246,517	(727,704)
Summary of the amounts recognised in OCI															
Finance (expenses)/income from insurance contracts issued		(218)	(4,046)	(408,038)	(12,000)	13,666	(79,766)	(35,943)	115,092	139,741	-	72,689	6,385	176,475	(15,962)
Finance income from reinsurance contracts held		90	(4,661)	(39)	(18,858)	(27,643)	(3,138)	(26,794)	(19,537)	(110,967)	-	-	-	-	(211,546)
Other comprehensive (expense)/income		(128)	(8,706)	(408,076)	(30,858)	(13,977)	(82,904)	(62,738)	95,556	28,774	-	72,689	6,385	176,475	(227,509)

30 JUN-2025YTD

<i>in thousands of Nigerian Naira</i>	Notes	Agric	Aviation	Bond	Engineering	Fire	General Accident	Marine	Motor	Oil & Gas	Group Life	Individual Life	Annuity	Medical	Total
Finance income/(expenses) from insurance contracts issued:															
Interest accreted	-	-		(299,518)	(190,052)	-	(438)	-	84,413	-	(805,385)	(676,278)	(33,921)	140,539	(1,780,639)
Effect of changes in interest rates and other financial assumptions	-	-		(1,123)	2,119	-	-	-	(229)	-	(15,762)	(64,733)	11,223	(14,843)	(83,348)
<i>Effect of changes in FCF at current rates when CSM is unlocked at locked in rates</i>	-	-		(233)	(4,459)	-	-	-	-	-	-	(154,935)	112	-	(159,515)
Finance (expenses)/income from insurance contracts issued:	-	-		(300,875)	(192,392)	-	(438)	-	84,185	-	(821,147)	(895,946)	(22,586)	125,696	(2,023,501)
Finance income/(expenses) from reinsurance contracts held:															
Interest accreted	-	-		517	108,191	-	-	-	83,031	-	115,780	-	-	-	307,518
Effect of changes in interest rates and other financial assumptions	-	-		118	(857)	-	-	-	-	-	3,895	-	-	-	3,156
Effect of changes in FCF at current rates when CSM is unlocked at locked in rates	-	-		-	1,198	-	-	-	-	-	-	-	-	-	1,198
Finance (expenses)/income from reinsurance contracts held	-	-		635	108,532	-	-	-	83,031	-	119,675	-	-	-	311,873
Net insurance finance (expenses)/income	-	-		(300,240)	(83,860)	-	(438)	-	167,216	-	(701,472)	(895,946)	(22,586)	125,696	(1,711,629)
The breakdown of finance income or expenses & OCI per portfolio is presented below:															
<i>Summary of the amounts recognised in profit or loss</i>															
Net finance expenses from insurance contracts issued	-	-		(523,357)	(112,808)	-	(791)	-	152,186	-	(484,669)	(434,418)	(20,445)	227,230	(1,197,071)
Net finance income from reinsurance contracts held	-	-		286	78,840	-	-	-	(83,017)	-	202,692	-	-	-	198,801
Net insurance finance (expenses)/income	-	1,434		(23,235)	8,095	18,219	1,760	(10,200)	(23,231)	(1,170)	(15,772)	(123,931)	(8,665)	(13,738)	(998,270)
<i>Summary of the amounts recognised in OCI</i>															
Finance (expenses)/income from insurance contracts issued	-	0		222,482	(79,584)	(0)	354	0	(68,002)	(0)	(336,478)	(461,528)	(2,140)	(101,534)	(826,430)
Finance (expenses)/income from reinsurance contracts held	-	-		349	29,691	-	-	-	166,048	-	(83,017)	-	-	-	113,071
Other comprehensive (expense)/income	-	21,110		75,050	(18,479)	(15,798)	(6,560)	(47,611)	16,679	(304,145)	58,461	(89,174)	28,884	(10,039)	(713,359)

(ii) *Company*

30 JUN-2026YTD

<i>in thousands of Nigerian Naira</i>	Notes	Agric	Aviation	Bond	Engineering	Fire	General Accident	Marine	Motor	Oil Gas	Total
Finance income/(expenses) from insurance contracts issued:											
Interest accreted	(1,000)	(46,170)	(4,737)	(79,473)	(72,116)	(416,324)	(219,055)	(92,870)	19,285	-	(912,460)
Effect of changes in interest rates and other financial assumptions	64	14,415	193	24,642	26,578	103,998	64,828	23,333	42,292	-	300,343
Finance expenses from insurance contracts issued	(936)	(31,755)	(4,545)	(54,831)	(45,537)	(312,326)	(154,226)	(69,537)	61,577	-	(612,116)
Finance income/(expenses) from reinsurance contracts held:											
Interest accreted	1,377	8,354	137	73,865	131,601	472,631	281,416	56,250	210,655	-	1,236,285
Effect of changes in interest rates and other financial assumptions	(38)	(517)	-	(10,696)	(14,056)	(68,232)	(47,594)	(2,777)	(15,714)	-	(159,625)
Change of risk of non-performance of reinsurer	(305)	(5,629)	(88)	(28,856)	(52,442)	(111,116)	(75,240)	(31,400)	(136,430)	-	(441,505)
Finance income from reinsurance contracts held	1,034	2,208	49	34,312	65,103	293,283	158,582	22,073	58,511	-	635,155
Net insurance finance (expenses)	98	(29,547)	(4,496)	(20,518)	19,566	(19,043)	4,355	(47,464)	120,088	-	23,039
The breakdown of finance income or expenses & OCI per portfolio is presented below:											
<i>Summary of the amounts recognised in profit or loss</i>											
Net finance expenses from insurance contracts issued	(718)	(27,709)	(3,499)	(42,831)	(59,203)	(233,191)	(118,283)	(63,317)	(78,164)	-	(626,915)
Net finance income from reinsurance contracts held	944	6,869	88	53,170	92,746	296,421	185,376	41,609	169,478	-	846,701
Net insurance finance expenses	226	(20,841)	(3,411)	10,339	33,543	63,230	67,093	(21,708)	91,314	-	219,785
<i>Summary of the amounts recognised in OCI</i>											
Finance expenses from insurance contracts issued	(218)	(4,046)	(1,046)	(12,000)	13,666	(79,135)	(35,943)	(6,219)	139,741	-	14,799
Finance income from reinsurance contracts held	90	(4,661)	(39)	(18,858)	(27,643)	(3,138)	(26,794)	(19,537)	(110,967)	-	(211,546)
Other comprehensive expense	(128)	(8,706)	(1,085)	(30,858)	(13,977)	(82,273)	(62,738)	(25,756)	28,774	-	(196,747)

30 JUN-2025YTD											
<i>in thousands of Nigerian Naira</i>	Notes	Agric	Aviation	Bond	Engineering	Fire	General Accident	Marine	Motor	Oil Gas	Total
Finance income/(expenses) from insurance contracts issued:											
Interest accreted	-	-	(17,085)	(190,052)	-	-	-	-	-	-	(207,137)
Effect of changes in interest rates and other financial assumptions	-	-	(1,123)	2,119	-	-	-	-	-	-	996
<i>Effect of changes in FCF at current rates when CSM is unlocked at locked in rates</i>	-	-	(233)	(4,459)	-	-	-	-	-	-	(4,692)
Finance expenses from insurance contracts issued	-	(0)	(18,441)	(192,392)	(0)	0	0	0	(0)	-	(210,833)
Finance income/(expenses) from reinsurance contracts held:											
Interest accreted	-	-	517	108,191	-	-	-	-	-	-	108,707
Effect of changes in interest rates and other financial assumptions	-	-	118	(857)	-	-	-	-	-	-	(739)
Effect of changes in FCF at current rates when CSM is unlocked at locked in rates	-	-	-	1,198	-	-	-	-	-	-	1,198
Finance (expenses)/income from reinsurance contracts held	-	-	635	108,532	-	-	-	-	-	-	109,167
Net insurance finance expenses	-	(0)	(17,806)	(83,860)	(0)	0	0	0	(0)	-	(101,666)
The breakdown of finance income or expenses & OCI per portfolio is presented below:											
<i>Summary of the amounts recognised in profit or loss</i>											
Net finance expenses from insurance contracts issued	-	-	(12,783)	(112,808)	-	-	-	-	-	-	(125,591)
Net finance income from reinsurance contracts held	-	-	286	78,840	-	-	-	-	-	-	79,127
Net insurance finance expenses	-	-	(12,497)	(33,967)	-	-	-	-	-	-	(46,464)
<i>Summary of the amounts recognised in OCI</i>											
Finance expenses from insurance contracts issued	-	0	(5,658)	(79,584)	(0)	0	0	0	(0)	-	(85,242)
Finance (expenses)/income from reinsurance contracts held	-	-	349	29,691	-	-	-	-	-	-	30,040
Other comprehensive expense	-	0	(5,309)	(49,892)	(0)	0	0	0	(0)	-	(55,202)

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12 Other income

	Notes	GROUP		COMPANY	
		30 JUN-2026 YTD	30 JUN-2025 YTD	30 JUN-2026 YTD	30 JUN-2025 YTD
Profit on sale of property, plant and equipment		27,000	558	19,000	558
Management fees		44,335	19,756	12	18,756
Micro finance fees and commission		70,388	60,102	-	-
Insurance claim received		164	1,732	164	1,732
		141,887	82,148	19,176	21,046

13 Other employee benefit expenses

	Notes	GROUP		COMPANY	
		30 JUN-2026 YTD	30 JUN-2025 YTD	30 JUN-2026 YTD	30 JUN-2025 YTD
<i>in thousands of Nigerian Naira</i>					
Wages and salaries		532,474	677,020	193,093	192,500
Defined contribution pension costs	13.1	25,675	17,930	3,945	4,711
		558,149	694,950	197,038	197,211

13.1 In line with the provisions of the Pension Reform Act 2014, the Company instituted a contributory pension scheme for all its employees. Its employees each contributes 8% of employees' annual insurable earnings (basic pay, transport and housing allowance), while the employer contributes 10% to the scheme. Staff contributions to the scheme are funded through payroll deductions while the entity's contribution is charged each year to the statement of profit or loss as staff cost.

14 Other operating expenses

	Notes	GROUP		COMPANY	
		30 JUN-2026 YTD	30 JUN-2025 YTD	30 JUN-2026 YTD	30 JUN-2025 YTD
<i>in thousands of Nigerian Naira</i>					
Amortisation of intangible assets	14.1	6,783	12,690	-	-
Repairs and maintenance		94,208	270,202	-	-
Directors fee and allowances		50,924	139,123	-	-
Legal and consultancy fees		82,137	185,189	-	-
Training and recruitment		25,641	36,504	10,789	21,972
Rents and Rates		12,555	25,275	-	-
Transport and travelling		45,534	81,701	-	-
NAICOM supervisory fee		18,980	196,289	-	-
Bank charges		21,788	34,157	-	-
Public relations and advertising		75,341	181,156	13,517	11,782
Medical expenses		16,531	12,059	9,959	-
Motor vehicle running expenses		13,046	24,350	-	-
Telecommunication expenses		21,031	41,508	-	-
Other expenses		14,567	43,446	-	-
Depreciation of property, plant and equipment	14.1	12,380	21,086	-	-
Business promotion expenses		74,131	85,343	41,748	39,878
Computer repairs and maintenance		33	-	-	-
Utilities		25,748	73,337	-	-
Printing and stationery		36,289	104,132	-	-
Marketing and donations		30,518	69,165	4,364	-
Auditors' remuneration		7,913	20,606	-	-
Insurance		4,139	10,230	-	-
Security expenses		40,064	41,045	25,864	10,053
Subscriptions		62,438	19,899	54,820	12,542
Fines and penalties		18,224	53,607	50	53,607
Newspapers and periodicals		260	220	171	132
		811,203	1,782,319	161,282	149,966

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14.1 The breakdown of amortisation and depreciation to its attributable and non-attributable components is analysed below:

		GROUP		COMPANY	
		30 JUN-2026	30 JUN-2025	30 JUN-2026	30 JUN-2025
<i>in thousands of Nigerian Naira</i>	Notes	YTD	YTD	YTD	YTD
Amortisation of intangible assets (attributable)		55,664	47,034	32,076	31,214
Amortisation of intangible assets (non-attributable)	14	6,783	12,690	-	-
	28	62,447	59,724	32,076	31,214
Depreciation of PPE (attributable)		232,922	156,856	181,789	130,570
Depreciation of PPE (non-attributable)	14	12,380	21,086	-	-
	29	245,302	177,942	181,789	130,570

15 Other finance costs

Interest expense calculated using the effective interest method:

		GROUP		COMPANY	
		30 JUN-2026	30 JUN-2025	30 JUN-2026	30 JUN-2025
<i>in thousands of Nigerian Naira</i>	Notes	YTD	YTD	YTD	YTD
Interest charge on deposits		18,470	129,583	-	-
Other charges		-	1,151	-	-
		18,470	130,734	-	-

16 Other finance income

Interest income calculated using the effective interest method:

Interest income on Micro loans	274,908	395,050	-	-
Interest income on overdraft	1,256	1,783	-	-
Interest income on treasury bills	54,137	6,711	-	-
	330,301	403,544	-	-

17 Income tax expense

17.1 Current income tax charge

Minimum tax	274,795	166,887	219,039	138,482
Company income tax	320,594	423,550	-	-
Information technology tax	-	100,621	-	61,927
Police Trust Fund	-	503	-	310
Total current income tax expense	595,389	691,561	219,039	200,719

17.2 Deferred tax

Origination and reversal of temporary differences - DTL	39.1	(137,653)	-	(138,592)	-
Origination and reversal of temporary differences - DTA	31	141,513	-	142,452	-
Total deferred tax expense/(credit)		3,860	-	3,860	-
Total income tax expense		599,249	691,561	222,899	200,719

17.2 Reconciliation of income tax charge

Profit before income tax	10,352,199	12,285,319	3,732,407	6,185,363
Tax at Nigerian's statutory income tax rate of 30% (2024: 30%)	3,105,660	3,685,596	1,119,722	1,855,609
Effect of:				
Net tax exempt income/expenses	(2,785,066)	(3,262,045)	(1,119,722)	(1,855,609)
Change in deferred tax assets	141,513	-	142,452	-
Change in deferred tax liabilities	(137,653)	-	(138,592)	-
Information technology tax	-	100,621	-	61,927
Minimum tax	274,795	166,887	219,039	138,482
Police Trust Fund	-	503	-	310
	599,249	691,561	222,899	200,719
Effective Tax Rate	6%	6%	6%	3%

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18 Earnings per share

18.1 Earnings per share - Basic

Basic earnings per share is calculated by dividing the profit for the period attributable to ordinary equity holders of the Company by the weighted average number of ordinary shares in issue during the period, excluding ordinary shares purchased by the Company and held as treasury shares.

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 JUN-2026 YTD	30 JUN-2025 YTD	30 JUN-2026 YTD	30 JUN-2025 YTD
Profit attributable to equity holders		8,289,143	11,273,113	3,509,508	5,984,644
Weighted average number of ordinary shares for basic earnings per share	18.2	20,061,122	20,061,122	20,061,122	20,061,122
Basic earnings per ordinary share (kobo)		41	56	17	30

18.2 Weighted average number of ordinary shares - basic

Issued ordinary shares at 1 January	20,061,622	20,061,622	20,061,622	20,061,622
Effect of treasury shares held at 1 January	(500)	(500)	(500)	(500)
As at period end	20,061,122	20,061,122	20,061,122	20,061,122

18.3 Earnings per share- Diluted

The calculation of diluted earnings per share has been based on the profit attributable to ordinary shareholders and the weighted-average number of ordinary shares outstanding after adjustment for the effects of all dilutive potential ordinary shares.

The Company has no potential dilutive ordinary shares during the period (2025: Nil). Hence, the weighted average number of ordinary shares for basic and dilutive is the same so also the Dilutive and Basic earnings/loss per share.

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19 Cash and cash equivalents

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Cash on hand		11,916	144,832	8,349	89,596
Cash in banks	19.1	24,255,408	18,545,439	1,377,317	1,292,931
Short-term deposits	19.1	16,844,456	20,482,133	11,317,610	11,548,855
		41,111,780	39,172,404	12,703,276	12,931,382
Expected credit loss allowance		(119,409)	(119,409)	(46,008)	(46,008)
		40,992,371	39,052,995	12,657,268	12,885,374
Current		40,992,371	39,052,995	12,657,268	12,885,374
		40,992,371	39,052,995	12,657,268	12,885,374

19.1 Cash and cash equivalents

Cash at banks earns interest at floating rates based on daily bank deposit rates. Short-term deposits are made for varying periods of between one day and three months, depending on the immediate cash requirements of the Group.

For the purpose of the statement of cash flows, the cash and cash equivalents consist of cash and short-term deposits, as defined above and are subject to insignificant change in fair value, and used by the Group to manage its short term cash commitments.

20 Financial assets

The Group's financial assets are summarized below by measurement category:

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Financial assets at fair value through OCI	20.1	1,062,287	741,207	625,470	650,664
Financial assets at FVTPL	20.2	532,039	4,092,056	532,039	4,092,056
Financial assets at amortised cost	20.3	93,550,018	86,989,796	29,868,048	26,824,386
		95,144,344	91,823,059	31,025,557	31,567,106
Current		93,480,643	90,477,663	29,816,910	30,397,771
Non-current		1,663,701	1,345,396	1,208,647	1,169,335
		95,144,344	91,823,059	31,025,557	31,567,106

20.1 Financial assets at fair value through OCI

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Equity instruments at fair value through OCI	20.1.1	625,470	650,664	625,470	650,664
Debt instruments at fair value through OCI	20.1.2	436,817	90,543	-	-
		1,062,287	741,207	625,470	650,664

20.1.1 Equity instruments at fair value through OCI

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
WAICA Reinsurance Corporation Plc		625,470	650,664	625,470	650,664
		625,470	650,664	625,470	650,664
Non-current		625,470	650,664	625,470	650,664
		625,470	650,664	625,470	650,664

20.1.2 Debt instruments at fair value through OCI

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Federal Government of Nigeria Bonds		436,817	90,543	-	-
		436,817	90,543	-	-
Non-current		436,817	90,543	-	-
		436,817	90,543	-	-
<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
The movement in Quoted Bonds					
Balance at 1 January		90,543	-	-	-
Additions during the year		359,650	90,543	-	-
Accrued interest income		1,728	-	-	-
Fair value adjustments through OCI		(15,103)	-	-	-
		436,817	90,543	-	-

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20.1.1.1 Movement in equity instrument at fair value through OCI

Group

<i>in thousands of Nigerian Naira</i>	Balance as at 1 January 2026	Additions during the year	Disposals during the year	Fair value Movement	Balance as at 30 June 2026
WAICA Reinsurance Corporation Plc	650,664	-	-	(25,194)	625,470
	650,664	-	-	(25,194)	625,470

<i>in thousands of Nigerian Naira</i>	Balance as at 1 January 2025	Additions during the year	Disposals during the year	Fair value Movement	Balance as at 31 December 2025
Avanage Nigeria Ltd.	93,373	-	-	(93,373)	-
WAICA Reinsurance Corporation Plc	436,016	-	-	214,648	650,664
	529,389	-	-	121,275	650,664

Company

<i>in thousands of Nigerian Naira</i>	Balance as at 1 January 2026	Additions during the year	Disposals during the year	Fair value Movement	Balance as at 30 June 2026
WAICA Reinsurance Corporation Plc	650,664	-	-	(25,194)	625,470
	650,664	-	-	(25,194)	625,470

<i>in thousands of Nigerian Naira</i>	Balance as at 1 January 2025	Additions during the year	Disposals during the year	Fair value Movement	Balance as at 31 December 2025
WAICA Reinsurance Corporation Plc	436,016	-	-	214,648	650,664
	436,016	-	-	214,648	650,664

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20.2 Financial assets at FVTPL

<i>in thousands of Nigerian Naira</i>		GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Quoted Bonds	20.2.1	-	3,629,868	-	3,629,868
Quoted equity shares	20.2.2	532,039	462,188	532,039	462,188
		532,039	4,092,056	532,039	4,092,056

20.2.1 Quoted Bonds

<i>in thousands of Nigerian Naira</i>		GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
FGN Eurobond Feb. 2030		-	3,596,139	-	3,596,139
Fair value adjustment		-	33,729	-	33,729
		-	3,629,868	-	3,629,868
Current		-	3,629,868	-	3,629,868
		-	3,629,868	-	3,629,868

20.2.1.1 The movement in Quoted Bonds

		GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
At 1 January		3,629,868	-	3,629,868	-
Additions during the year		-	3,589,488	-	3,589,488
Interest earned at effective interest rate method		-	6,651	-	6,651
Redemption at maturity or disposal		(3,604,174)	-	(3,604,174)	-
Fair value adjustments through profit or loss	7	(25,694)	33,729	(25,694)	33,729
At end of the period		-	3,629,868	-	3,629,868

20.2.2 Quoted Equity Shares

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Quoted shares		532,039	462,188	532,039	462,188

20.2.2 Movement in quoted equity shares

At 1 January		462,188	348,636	462,188	348,636
Fair value gains	7	69,851	113,552	69,851	113,552
Balance as at period/year end		532,039	462,188	532,039	462,188
Non-current		532,039	462,188	532,039	462,188
		532,039	462,188	532,039	462,188

20.2.3 Analysis of investments in listed entities

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Africa Prudential Registrars Plc		2,609	2,544	2,609	2,544
Access Bank of Nigeria Plc		10,174	9,330	10,174	9,330
Cadbury Plc		7,679	8,213	7,679	8,213
Ecobank Transnational Inc		1,640	722	1,640	722
First Bank Holdings Plc		123,312	100,113	123,312	100,113
First City Monument Bank Plc		1,328	1,666	1,328	1,666
Guaranty Trust Bank Plc		29,384	20,985	29,384	20,985
Sterling Bank Plc		58,497	53,213	58,497	53,213
United Bank for Africa Plc		112,049	118,148	112,049	118,148
UBA Capital Plc		17,639	19,371	17,639	19,371
Universal Insurance Company Plc		4,550	6,050	4,550	6,050
Wema Bank Plc		833	2,720	833	2,720
Lafarge WAPCO Plc		50,478	21,901	50,478	21,901
Coronation Insurance Plc		41	62	41	62
FTN Cocoa Processors Plc		3,600	2,500	3,600	2,500
Fidelity Bank Plc		72,758	75,335	72,758	75,335
Zenith International Bank Plc		35,469	19,313	35,469	19,313
		532,039	462,188	532,039	462,188

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20.3 Financial assets at amortised cost

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Loans and receivables	20.3.1	6,501,242	5,471,557	94,680	128,072
Placements - Maturity above 90 days	20.3.2	8,199,213	8,852,469	733,846	922,633
Treasury bills	20.3.3	78,276,162	71,112,761	28,780,353	25,285,678
Commercial Papers	20.3.4	573,401	1,553,009	259,169	488,003
		93,550,018	86,989,796	29,868,048	26,824,386

20.3.1 Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market other than those that the Group intends to sell in the short term or that it has designated as at fair value through profit or loss or available for sale. Details of balances of loans and receivables at the year end are as presented below:

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Term loans	20.3.1.2	6,442,489	5,307,657	3,946	6,000
Overdrafts		66,150	5,398	-	-
Staff loans		155,812	321,711	119,338	150,676
Gross loans and advances		6,664,451	5,634,766	123,284	156,676
Expected credit loss allowance	20.3.1.3	(163,209)	(163,209)	(28,604)	(28,604)
		6,501,242	5,471,557	94,680	128,072
Current		6,431,867	5,329,556	43,542	71,589
Non-current		69,375	142,001	51,138	56,483
		6,501,242	5,471,557	94,680	128,072

20.3.1.1 The movement in gross loans and receivables:

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Balance as at 1 January		5,634,766	17,277,540	156,676	129,609
Additions during the year		3,125,327	6,289,747	30,452	192,301
Accrued interest on loan		25,675	14,571	175	864
Conversion of Loan to Prime Exploration & Production Limited to equity investment in Mutual Exploration and Production Limited		-	(12,498,652)	-	-
Payments received		(2,121,317)	(5,448,441)	(64,019)	(166,098)
Balance as at period/year end		6,664,451	5,634,766	123,284	156,676

20.3.1.2 Term loans

The Group granted loans to staff, related companies and third parties for income generation, the break down of loans and receivables granted are as stated below:

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Staff mortgage loan		3,946	6,000	3,946	6,000
Other loans to corporates and individuals*		6,438,543	5,301,657	-	-
Gross term loans		6,442,489	5,307,657	3,946	6,000

*Other loans to corporate and individuals include micro and SME loans granted by Mutual Benefits Microfinance Bank and various loans within the investment portfolios of Mutual Benefits Assurance Company Liberia and Mutual Benefits Assurance Niger SA.

20.3.1.3 Impairment on loans and receivables

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Balance as at 1 January		163,209	331,742	28,604	28,727
Expected credit loss charge/(reversal)	8	-	(168,533)	-	(123)
Balance as at period/year end		163,209	163,209	28,604	28,604

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20.3.1.4 **Loans concentration**

The Group monitors concentration of credit risk by borrowers; individual or corporate.

<i>in thousands of Nigerian Naira</i>	GROUP		
	Individuals	Loans to corporate	Total
30 June 2026			
Gross	1,584,960	5,079,491	6,664,451
Expected credit loss allowance	(28,604)	(134,605)	(163,209)
Net Balance	1,556,356	4,944,886	6,501,242
31 December 2025			
Gross	1,194,880	4,439,886	5,634,766
Expected credit loss allowance	(28,604)	(134,605)	(163,209)
Net Balance	1,166,276	4,305,281	5,471,557

<i>in thousands of Nigerian Naira</i>	COMPANY		
	Individuals	Loans to corporate	Total
30 June 2026			
Gross	123,284	-	123,284
Expected credit loss allowance	(28,604)	-	(28,604)
Net Balance	94,680	-	94,680
31 December 2025			
Gross	156,676	-	156,676
Expected credit loss allowance	(28,604)	-	(28,604)
Net Balance	128,072	-	128,072

20.3.2 **Placements - Maturity above 90 days**

<i>in thousands of Nigerian Naira</i>	GROUP		COMPANY	
	30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Abbey Mortgage Bank Plc	126,176	115,830	-	-
Access Bank Plc	157,659	-	-	-
Creditville Finance Limited	31,726	-	-	-
Eco Bank	-	305,126	-	-
FCMB Plc	383,227	1,632,288	-	-
Fidelity Bank Limited	728,807	676,299	-	-
Financial Care Advisers Ltd	258,753	-	258,753	-
First Bank of Nigeria Ltd	143,486	136,196	143,486	136,196
Greenwich Merchant Bank Ltd	694,532	483,498	-	182,374
Guaranty Trust Bank Ltd.	58,470	58,470	58,470	58,470
Kayvee Microfinance Bank Ltd	311,178	583,634	311,178	583,634
Providus Bank Plc	151,397	28,064	-	-
Radix Capital Partners Ltd	2,135,956	2,000,822	-	-
Sterling Bank Plc	1,133,510	1,045,296	-	-
Wema Bank Plc	2,005,913	1,908,525	-	-
	8,320,791	8,974,046	771,887	960,674
Expected credit loss allowance	(121,578)	(121,578)	(38,041)	(38,041)
	8,199,213	8,852,468	733,846	922,633
Current	8,199,213	8,852,468	733,846	922,633
	8,199,213	8,852,468	733,846	922,633

20.3.2.1 The movement in placements - maturity above 90 days

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Balance as at 1 January		8,852,468	1,203,572	922,633	896,688
Additions during the period		5,659,194	16,478,464	685,637	923,118
Accrued interest		708,613	704,440	76,259	37,555
Redemption at maturity		(7,021,062)	(9,645,590)	(950,683)	(1,112,858)
Expected credit loss charge		-	111,582	-	178,130
Balance as at period/year end		8,199,213	8,852,468	733,846	922,633

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20.3.3 Treasury bills

<i>in thousands of Nigerian Naira</i>	GROUP		COMPANY	
	30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Federal Government of Nigeria Treasury Bills	78,295,895	71,132,494	28,792,465	25,297,790
	78,295,895	71,132,494	28,792,465	25,297,790
Expected credit loss (ECL) allowance	(19,733)	(19,733)	(12,112)	(12,112)
20.3.3.1	78,276,162	71,112,761	28,780,353	25,285,678
Current	78,276,162	71,112,761	28,780,353	25,285,678
	78,276,162	71,112,761	28,780,353	25,285,678

20.3.3.1 The movement in treasury bills

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Balance as at 1 January		71,112,761	48,545,900	25,285,678	12,496,193
Additions during the year		16,525,280	107,667,191	12,532,558	37,816,082
Accrued interest		6,504,696	6,290,474	2,423,459	1,321,432
Redemption at maturity		(15,866,576)	(91,398,357)	(11,461,343)	(26,343,054)
Expected credit loss reversal/(charge)		-	7,553	-	(4,976)
Balance as at period/year end		78,276,162	71,112,761	28,780,353	25,285,678

20.3.4 Commercial papers

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Coleman Technical Industries Ltd		473,113	-	259,626	-
Dangote Cement Plc.		-	425,098	-	123,041
Dangote Sugar Refinery Plc		-	100,393	-	100,393
Stanbic Ibte Bank Plc		-	98,805	-	98,805
First City Monument Bank (FCMB) Ltd		-	386,501	-	43,498
Providus Bank Plc		-	239,459	-	122,722
Mecure Industries Plc		101,126	303,591	-	-
		574,240	1,553,848	259,626	488,460
Expected credit loss (ECL) allowance		(839)	(839)	(457)	(457)
		573,401	1,553,009	259,169	488,003
Current		573,401	1,553,009	259,169	488,003
		573,401	1,553,009	259,169	488,003

20.3.4.1 The movement in commercial papers

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Balance as at 1 January		1,553,009	697,360	488,003	480,621
Additions during the year		539,653	2,013,332	245,434	727,499
Accrued interest		92,833	281,389	28,871	62,717
Redemption at maturity		(1,612,095)	(1,441,464)	(503,139)	(784,508)
Expected credit loss reversal/(charge)		-	2,393	-	1,674
Balance as at period/year end		573,401	1,553,009	259,169	488,003

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21 Financial assets held for trading pledged as collateral

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Listed equity instrument balance at 1 January		652,802	363,988	652,802	363,988
Fair value gains	7	225,333	288,814	225,333	288,814
Balance as at period/year end		878,135	652,802	878,135	652,802
Non-current		878,135	652,802	878,135	652,802
		878,135	652,802	878,135	652,802

These are quoted financial instruments held on lien by the Guaranty Trust Bank, the provider of short-term borrowings, for the purpose of securing the debt. The debt provider maintains possession of the quoted instruments but does not have ownership unless there is a default. Pledged assets are measured at fair value as at year-end.

Mutual Benefits Assurance Plc purchased quoted shares of ₦400 million with a Margin facility granted by Guaranty Trust Bank Plc (see Note 36). There is an on-going litigation on this investment arising from the additional investment cover requested for by the Bank due to the fall in the value of the shares purchased which was rejected by the Company.

The directors, having sought the advice of professional counsel, are of the opinion that no significant liability will crystallise from this litigation therefore, fair value gain/(loss) has been recognized in the consolidated and separate financial statements.

The movement in the carrying amount is the fair value change in respect of the market price as at year end.

22 Reinsurance contracts

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Assets for Remaining Coverage		4,335,978	2,858,420	(1,228,224)	2,208,476
Assets for Incurred Claims		18,153,382	12,125,060	14,651,175	7,039,820
Total reinsurance contract assets	22.1	22,489,360	14,983,480	13,422,951	9,248,296
Liabilities for Remaining Coverage (LRC)	22.2	(5,134,414)	(3,182,325)	(1,894,231)	(2,447,676)
Net reinsurance contract assets		17,354,945	11,801,155	11,528,720	6,800,620

22.1 Roll-forward of reinsurance contract assets showing the Assets for Remaining Coverage (ARC) and the Assets for Incurred Claims (AIC) per measurement basis

		GROUP		COMPANY	
<i>in thousands of Nigerian Naira</i>	Notes	30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
<u>Contracts measured using PAA</u>					
Excluding loss recovery components		3,932,121	2,442,373	(1,632,081)	1,792,428
Loss recovery components		0	0	0	0
Assets for Remaining Coverage (ARC)		3,932,121	2,442,373	(1,632,081)	1,792,428
Present value of future cash flows		16,009,313	10,738,187	12,133,633	5,863,637
Risk Adjustment		1,086,616	967,627	1,460,089	756,937
Assets for Incurred Claims (AIC)		17,095,929	11,705,814	13,593,722	6,620,574
Total contracts measured using PAA		21,028,050	14,148,186	11,961,641	8,413,003
<u>Contracts measured using GMM</u>					
Excluding loss recovery components		403,857	416,047	403,857	416,047
Loss recovery components		0	0	0	0
Assets for Remaining Coverage (ARC)		403,858	416,048	403,858	416,048
AIC for contracts not under PAA		1,057,453	419,246	1,057,453	419,246
Assets for Incurred Claims (AIC)		1,057,453	419,246	1,057,453	419,246
Total contracts measured using GMM		1,461,310	835,293	1,461,310	835,293
Total Reinsurance contract assets	22.3	22,489,360	14,983,480	13,422,951	9,248,296

22.2 Roll-forward of reinsurance contract liabilities showing the Liabilities for Remaining Coverage (LRC) per measurement basis

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Liabilities for remaining coverage - contracts measured using PAA		(4,944,991)	(3,182,213)	(1,704,808)	(2,447,564)
Liabilities for remaining coverage - contracts measured using GMM		(189,423)	(112)	(189,423)	(112)
Total reinsurance contract liabilities		(5,134,414)	(3,182,325)	(1,894,231)	(2,447,676)

22.3 Reconciliation of Assets for Remaining coverage and Assets for incurred claims - All Segments - Entity level

The following tables show the reconciliation of Reinsurance contract assets (On an aggregate level) from Opening to Closing for All Contracts.

GROUP - 30 June 2026					
	Asset for remaining coverage		AIC for contracts not under PAA	AIC - measured under PAA	
	Excluding loss recovery component	Loss recovery component		Present value of Future cash flows	Risk Adjustment
					30 Jun 26
Opening Reinsurance Contract Liabilities	(3,182,325)	-	-	-	(3,182,325)
Opening Reinsurance Contract Assets	2,858,420	0	419,246	10,738,187	967,627
Net reinsurance contract assets / (liabilities) opening balance	(323,905)	0	419,246	10,738,187	967,627
Allocation of reinsurance premiums	(7,437,830)	-	-	-	(7,437,830)
Amounts recoverable from reinsurers for incurred claims	-	-	638,207	9,928,629	118,990
Amounts recoverable for incurred claims and other expenses	-	-	255,644	6,747,239	-
Changes to amounts recoverable for incurred claims	-	-	382,562	3,181,390	118,990
Loss-recovery on onerous underlying contracts and adjustments	-	-	-	-	-
Reinsurance investment components	-	-	-	-	-
Net income or expense from reinsurance contracts held	(7,437,830)	-	638,207	9,928,629	118,990
Reinsurance finance income	1,234	-	-	713,117	-
Foreign currency translation adjustments	-	-	-	-	-
Total changes in the statement of comprehensive income	(7,436,596)	-	638,207	10,641,746	118,990
Cash flows					
Reinsurance premiums paid	10,058,530	-	-	-	10,058,530
Ceding commission received	(1,144,377)	-	-	-	(1,144,377)
Claim recoveries from reinsurers	-	-	-	(1,111,186)	-
Total cash flows	8,914,154	-	-	(1,111,186)	7,802,968
Non-cash flow items					
Reinsurance premiums payable	(1,952,089)	-	-	-	(1,952,089)
Total non-cash flows	(1,952,089)	-	-	-	(1,952,089)
Net reinsurance contract assets / (liabilities) closing balance	(798,436)	0	1,057,453	20,268,747	1,086,617
Closing Reinsurance Contract Liabilities	(5,134,414)	-	-	-	(5,134,414)
Closing Reinsurance Contract Assets	4,335,978	0	1,057,453	16,009,313	1,086,616
Net reinsurance contract assets / (liabilities) closing balance	(798,436)	0	1,057,453	16,009,313	1,086,616

COMPANY - 30 June 2026					
	Asset for remaining coverage		AIC for contracts not under PAA	AIC - measured under PAA	
	Excluding loss recovery component	Loss recovery component		Present value of Future cash flows	Risk Adjustment
					30 Jun 26
Opening Reinsurance Contract Liabilities	(2,447,676)	-	-	-	(2,447,676)
Opening Reinsurance Contract Assets	2,208,476	0	419,246	5,863,637	756,937
Net reinsurance contract assets / (liabilities) opening balance	(239,200)	0	419,246	5,863,637	756,937
Allocation of reinsurance premiums	(6,319,425)	-	-	-	(6,319,425)
Amounts recoverable from reinsurers for incurred claims	-	-	638,207	5,756,813	703,152
Amounts recoverable for incurred claims and other expenses	-	-	255,644	457,097	-
Changes to amounts recoverable for incurred claims	-	-	382,562	5,299,716	703,152
Loss-recovery on onerous underlying contracts and adjustments	-	-	-	-	-
Reinsurance investment components	-	-	-	-	-
Net income or expense from reinsurance contracts held	(6,319,425)	-	638,207	5,756,813	703,152
Reinsurance finance income	1,234	-	-	633,920	-
Foreign currency translation adjustments	-	-	-	-	-
Total changes in the statement of comprehensive income	(6,318,190)	-	638,207	6,390,733	703,152
Cash flows					
Reinsurance premiums paid	3,478,485	-	-	-	3,478,485
Ceding commission received	(596,994)	-	-	-	(596,994)
Claim recoveries from reinsurers	-	-	-	(487,033)	-
Total cash flows	2,881,491	-	-	(487,033)	2,394,458
Non-cash flow items					
Reinsurance premiums payable	553,445	-	-	-	553,445
Total non-cash flows	553,445	-	-	-	553,445
Net reinsurance contract assets / (liabilities) closing balance	(3,122,455)	0	1,057,453	11,767,337	1,460,089
Closing Reinsurance Contract Liabilities	(1,894,231)	-	-	-	(1,894,231)
Closing Reinsurance Contract Assets	(1,228,224)	0	1,057,453	12,133,633	1,460,089
Net reinsurance contract assets / (liabilities) closing balance	(3,122,455)	0	1,057,453	12,133,633	1,460,089

GROUP - 31 December 2025					
	Asset for remaining coverage		AIC for contracts not under PAA	AIC - measured under PAA	
	Excluding loss recovery component	Loss recovery component		Present value of Future cash flows	Risk Adjustment
					31 Dec 25
Opening Reinsurance Contract Liabilities	(2,147,782)	-	-	-	(2,147,782)
Opening Reinsurance Contract Assets	2,674,799	67,519	737,275	7,480,199	938,923
Net reinsurance contract assets / (liabilities) opening balance	527,017	67,519	737,275	7,480,199	938,923
Allocation of reinsurance premiums	(14,402,497)	-	-	-	(14,402,497)
Amounts recoverable from reinsurers for incurred claims	-	(67,519)	627,776	13,459,340	(43,051)
Amounts recoverable for incurred claims and other expenses	-	(47,360)	1,518,841	20,095,571	-
Changes to amounts recoverable for incurred claims	-	-	(891,065)	(6,636,231)	(43,051)
Loss-recovery on onerous underlying contracts and adjustments	-	(20,158)	-	-	-
Reinsurance investment components	-	-	-	-	-
Net income or expense from reinsurance contracts held	(14,402,497)	(67,519)	627,776	13,459,340	(43,051)
Reinsurance finance income	19,554	-	157,857	1,729,800	71,755
Foreign currency translation adjustments	-	-	-	-	-
Total changes in the statement of comprehensive income	(14,382,944)	(67,519)	785,633	15,189,140	28,704
Cash flows					
Reinsurance premiums paid	19,122,403	-	-	-	19,122,403
Ceding commission received	(4,555,564)	-	-	-	(4,555,564)
Claim recoveries from reinsurers	-	-	(1,103,662)	(11,912,794)	-
Total cash flows	14,566,839	-	(1,103,662)	(11,912,794)	1,550,382
Non-cash flow items					
Reinsurance premiums payable	(807,249)	-	-	(615)	-
Total non-cash flows	(807,249)	-	-	(615)	(807,864)
Net reinsurance contract assets / (liabilities) closing balance	(96,338)	0	419,246	10,755,930	967,627
Closing Reinsurance Contract Liabilities	(3,182,325)	-	-	-	(3,182,325)
Closing Reinsurance Contract Assets	2,858,420	0	419,246	10,738,187	967,627
Net reinsurance contract assets / (liabilities) closing balance	(323,905)	0	419,246	10,738,187	967,627

COMPANY - 31 December 2025					
	Asset for remaining coverage		AIC for contracts not under PAA	AIC - measured under PAA	
	Excluding loss recovery component	Loss recovery component		Present value of Future cash flows	Risk Adjustment
					31 Dec 25
Opening Reinsurance Contract Liabilities	(1,643,580)	-	-	-	(1,643,580)
Opening Reinsurance Contract Assets	2,049,181	67,519	737,275	6,035,822	700,491
Net reinsurance contract assets / (liabilities) opening balance	405,601	67,519	737,275	6,035,822	700,491
Allocation of reinsurance premiums	(10,882,493)	-	-	-	(10,882,493)
Amounts recoverable from reinsurers for incurred claims	-	(67,519)	627,776	7,932,564	56,446
Amounts recoverable for incurred claims and other expenses	-	(47,360)	1,518,841	15,659,053	-
Changes to amounts recoverable for incurred claims	-	-	(891,065)	(7,726,489)	56,446
Loss-recovery on onerous underlying contracts and adjustments	-	(20,158)	-	-	-
Reinsurance investment components	-	-	-	-	-
Net income or expense from reinsurance contracts held	(10,882,493)	(67,519)	627,776	7,932,564	56,446
Reinsurance finance income	19,554	-	157,857	1,504,421	-
Foreign currency translation adjustments	-	-	-	-	-
Total changes in the statement of comprehensive income	(10,862,940)	(67,519)	785,633	9,436,985	56,446
Cash flows					
Reinsurance premiums paid	14,485,337	-	-	-	14,485,337
Ceding commission received	(3,463,102)	-	-	-	(3,463,102)
Claim recoveries from reinsurers	-	-	(1,103,662)	(9,609,170)	-
Total cash flows	11,022,235	-	(1,103,662)	(9,609,170)	309,402
Non-cash flow items					
Reinsurance premiums payable	(804,096)	-	-	-	(804,096)
Total non-cash flows	(804,096)	-	-	-	(804,096)
Net reinsurance contract assets / (liabilities) closing balance	(239,200)	0	419,246	5,863,637	756,937
Closing Reinsurance Contract Liabilities	(2,447,676)	-	-	-	(2,447,676)
Closing Reinsurance Contract Assets	2,208,476	0	419,246	5,863,637	756,937
Net reinsurance contract assets / (liabilities) closing balance	(239,200)	0	419,246	5,863,637	756,937

22.4 Reconciliation of Assets for Remaining coverage and Assets for incurred claims-PAA- Entity level

The following tables show the reconciliation of Reinsurance contract assets (On an aggregate level) from Opening to Closing for Contracts measured using PAA. The portfolio measured under PAA are aviation, bond (with coverage of one year or less at the subsidiary companies), engineering (with coverage of one year or less at the subsidiary companies), fire, general accident, marine, motor, oil & gas, group life, individual life and medical.

	GROUP - 30 June 2026					GROUP - 31 December 2025				
	Asset for remaining coverage		Assets for incurred claims		30 Jun 26	Asset for remaining coverage		Assets for incurred claims		31 Dec 25
	Excluding loss recovery component	Loss recovery component	Present value of Future cash flows	Risk Adjustment		Excluding loss recovery component	Loss recovery component	Present value of Future cash flows	Risk Adjustment	
Opening Reinsurance Contract Liabilities	(3,182,213)	-	-	-	(3,182,213)	(2,147,707)	-	-	-	(2,147,707)
Opening Reinsurance Contract Assets	2,442,373	0	10,738,187	967,627	14,148,186	2,598,221	67,519	7,480,199	938,923	11,084,862
Net reinsurance contract assets / (liabilities) opening balance	(739,840)	0	10,738,187	967,627	10,965,973	450,514	67,519	7,480,199	938,923	8,937,155
Allocation of reinsurance premiums	(7,424,406)	-	-	-	(7,424,406)	(13,571,417)	-	-	-	(13,571,417)
Amounts recoverable from reinsurers for incurred claims	-	-	9,928,629	118,990	10,047,619	-	(67,519)	13,459,340	(43,051)	13,348,771
Amounts recoverable for incurred claims and other expenses	-	-	6,747,239	-	6,747,239	-	(47,360)	20,095,571	-	20,048,211
Changes to amounts recoverable for incurred claims	-	-	3,181,390	118,990	3,300,380	-	-	(6,636,231)	(43,051)	(6,679,282)
Loss-recovery on onerous underlying contracts and adjustments	-	-	-	-	-	-	(20,158)	-	-	(20,158)
Reinsurance investment components	-	-	-	-	-	-	-	-	-	-
Net income or expense from reinsurance contracts held	(7,424,406)	-	9,928,629	118,990	2,623,213	(13,571,417)	(67,519)	13,459,340	(43,051)	(222,646)
Reinsurance finance income	-	-	713,117	-	713,117	-	-	1,729,800	71,755	1,801,555
Foreign currency translation adjustments	-	-	-	-	-	-	-	-	-	-
Total changes in the statement of comprehensive income	(7,424,406)	-	10,641,746	118,990	3,336,330	(13,571,417)	(67,519)	15,189,140	28,704	1,578,909
Cash flows										
Reinsurance premiums paid	10,058,530	-	-	-	10,058,530	17,483,051	-	-	-	17,483,051
Ceding commission received	(1,144,377)	-	-	-	(1,144,377)	(4,067,209)	-	-	-	(4,067,209)
Claim recoveries from reinsurers	-	-	(1,111,186)	-	(1,111,186)	-	-	(11,912,794)	-	(11,912,794)
Total cash flows	8,914,154	-	(1,111,186)	-	7,802,968	13,415,842	-	(11,912,794)	-	1,503,047
Non-cash flow items										
Reinsurance premiums payable	(1,762,778)	-	-	-	(1,762,778)	(807,212)	-	(615)	-	(807,827)
Total non-cash flows	(1,762,778)	-	-	-	(1,762,778)	(807,212)	-	(615)	-	(807,827)
Net reinsurance contract assets / (liabilities) closing balance	(1,012,871)	0	20,268,747	1,086,617	20,342,493	(512,273)	0	10,755,930	967,627	11,211,285
Closing Reinsurance Contract Liabilities	(4,944,991)	-	-	-	(4,944,991)	(3,182,213)	-	-	-	(3,182,213)
Closing Reinsurance Contract Assets	3,932,121	0	16,009,313	1,086,616	21,028,050	2,442,373	0	10,738,187	967,627	14,148,186
Net reinsurance contract assets / (liabilities) closing balance	(1,012,871)	0	16,009,313	1,086,616	16,083,058	(739,840)	0	10,738,187	967,627	10,965,973

	COMPANY - 30 June 2026					COMPANY - 31 December 2025				
	Asset for remaining coverage		Assets for incurred claims		30 Jun 26	Asset for remaining coverage		Assets for incurred claims		31 Dec 25
	Excluding loss recovery component	Loss recovery component	Present value of Future cash flows	Risk Adjustment		Excluding loss recovery component	Loss recovery component	Present value of Future cash flows	Risk Adjustment	
Opening Reinsurance Contract Liabilities	(2,447,564)	-	-	-	(2,447,564)	(1,643,505)	-	-	-	(1,643,505)
Opening Reinsurance Contract Assets	1,792,428	0	5,863,637	756,937	8,413,003	1,972,603	67,519	6,035,822	700,491	8,776,436
Net reinsurance contract assets / (liabilities) opening balance	(655,136)	0	5,863,637	756,937	5,965,439	329,098	67,519	6,035,822	700,491	7,132,931
Allocation of reinsurance premiums	(6,306,000)	-	-	-	(6,306,000)	(10,051,413)	-	-	-	(10,051,413)
Amounts recoverable from reinsurers for incurred claims	-	-	5,756,813	703,152	6,459,965	-	(67,519)	7,932,564	56,446	7,921,491
Amounts recoverable for incurred claims and other expenses	-	-	457,097	-	457,097	-	(47,360)	15,659,053	-	15,611,692
Changes to amounts recoverable for incurred claims	-	-	5,299,716	703,152	6,002,868	-	-	(7,726,489)	56,446	(7,670,043)
Loss-recovery on onerous underlying contracts and adjustments	-	-	-	-	-	-	(20,158)	-	-	(20,158)
Reinsurance investment components	-	-	-	-	-	-	-	-	-	-
Net income or expense from reinsurance contracts held	(6,306,000)	-	5,756,813	703,152	153,964	(10,051,413)	(67,519)	7,932,564	56,446	(2,129,921)
Reinsurance finance income	-	-	633,920	-	633,920	-	-	1,504,421	-	1,504,421
Foreign currency translation adjustments	-	-	-	-	-	-	-	-	-	-
Total changes in the statement of comprehensive income	(6,306,000)	-	6,390,733	703,152	787,884	(10,051,413)	(67,519)	9,436,985	56,446	(625,500)
Cash flows										
Reinsurance premiums paid	3,478,485	-	-	-	3,478,485	12,845,985	-	-	-	12,845,985
Ceding commission received	(596,994)	-	-	-	(596,994)	(2,974,747)	-	-	-	(2,974,747)
Claim recoveries from reinsurers	-	-	(487,033)	-	(487,033)	-	-	(9,609,170)	-	(9,609,170)
Total cash flows	2,881,491	-	(487,033)	-	2,394,458	9,871,238	-	(9,609,170)	-	262,067
Non-cash flow items										
Reinsurance premiums payable	742,756	-	-	-	742,756	(804,059)	-	-	-	(804,059)
Total non-cash flows	742,756	-	-	-	742,756	(804,059)	-	-	-	(804,059)
Net reinsurance contract assets / (liabilities) closing balance	(3,336,889)	0	11,767,337	1,460,089	9,890,537	(655,136)	0	5,863,637	756,937	5,965,439
Closing Reinsurance Contract Liabilities	(1,704,808)	-	-	-	(1,704,808)	(2,447,564)	-	-	-	(2,447,564)
Closing Reinsurance Contract Assets	(1,632,081)	0	12,133,633	1,460,089	11,961,641	1,792,428	0	5,863,637	756,937	8,413,003
Net reinsurance contract assets / (liabilities) closing balance	(3,336,889)	0	12,133,633	1,460,089	10,256,833	(655,136)	0	5,863,637	756,937	5,965,439

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22.5 Reconciliation of Assets for Remaining coverage and Assets for incurred claims-GMM- Entity level

The following tables show the reconciliation of Reinsurance contract assets (On an aggregate level) from Opening to Closing for Contracts measured using GMM. The portfolio measured using GMM are bond and engineering.

GROUP - 30 June 2026					
	Asset for remaining coverage		Asset for incurred claims		30 Jun 26
	Excluding loss recovery component	Loss recovery component	Present value of Future cash flows	Risk Adjustment	
Opening Reinsurance Contract Liabilities	(112)	-	-	-	(112)
Opening Reinsurance Contract Assets	416,047	0	350,221	69,025	835,293
Net reinsurance contract assets / (liabilities) opening balance	415,935	0	350,221	69,025	835,181
Allocation of reinsurance premiums	(13,424)	-	-	-	(13,424)
Amounts recoverable from reinsurers for incurred claims	-	-	638,207	-	638,207
Amounts recoverable for incurred claims and other expenses	-	-	255,644	-	255,644
Changes to amounts recoverable for incurred claims	-	-	382,562	-	382,562
Loss-recovery on onerous underlying contracts and adjustments	-	-	-	-	-
Reinsurance investment components	-	-	-	-	-
Net income or expense from reinsurance contracts held	(13,424)	-	638,207	-	624,783
Reinsurance finance income	1,234	-	-	-	1,234
Foreign currency translation adjustments	-	-	-	-	-
Total changes in the statement of comprehensive income	(12,190)	-	638,207	-	626,017
Cash flows					
Reinsurance premiums paid	-	-	-	-	-
Claim recoveries from reinsurers	-	-	-	-	-
Total cash flows	-	-	-	-	-
Non-cash flow items					
Reinsurance premiums payable	(189,311)	-	-	-	(189,311)
Total non-cash flows	(189,311)	-	-	-	(189,311)
Net reinsurance contract assets / (liabilities) closing balance	214,434	0	988,428	69,025	1,271,887
Closing Reinsurance Contract Liabilities	(189,423)	-	-	-	(189,423)
Closing Reinsurance Contract Assets	403,857	0	988,428	69,025	1,461,310
Net reinsurance contract assets / (liabilities) closing balance	214,434	0	988,428	69,025	1,271,887

COMPANY - 30 June 2026					
	Asset for remaining coverage		Asset for incurred claims		30 Jun 26
	Excluding loss recovery component	Loss recovery component	Present value of Future cash flows	Risk Adjustment	
Opening Reinsurance Contract Liabilities	(112)	-	-	-	(112)
Opening Reinsurance Contract Assets	416,047	0	350,221	69,025	835,293
Net reinsurance contract assets / (liabilities) opening balance	415,935	0	350,221	69,025	835,181
Allocation of reinsurance premiums	(13,424)	-	-	-	(13,424)
Amounts recoverable from reinsurers for incurred claims	-	-	638,207	-	638,207
Amounts recoverable for incurred claims and other expenses	-	-	255,644	-	255,644
Changes to amounts recoverable for incurred claims	-	-	382,562	-	382,562
Loss-recovery on onerous underlying contracts and adjustments	-	-	-	-	-
Reinsurance investment components	-	-	-	-	-
Net income or expense from reinsurance contracts held	(13,424)	-	638,207	-	624,783
Reinsurance finance income	1,234	-	-	-	1,234
Foreign currency translation adjustments	-	-	-	-	-
Total changes in the statement of comprehensive income	(12,190)	-	638,207	-	626,017
Cash flows					
Reinsurance premiums paid	-	-	-	-	-
Ceding commission received	-	-	-	-	-
Claim recoveries from reinsurers	-	-	-	-	-
Total cash flows	-	-	-	-	-
Non-cash flow items					
Reinsurance premiums payable	(189,311)	-	-	-	(189,311)
Total non-cash flows	(189,311)	-	-	-	(189,311)
Net reinsurance contract assets / (liabilities) closing balance	214,434	0	988,428	69,025	1,271,887
Closing Reinsurance Contract Liabilities	(189,423)	-	-	-	(189,423)
Closing Reinsurance Contract Assets	403,857	0	988,428	69,025	1,461,310
Net reinsurance contract assets / (liabilities) closing balance	214,434	0	988,428	69,025	1,271,887

GROUP - 31 December 2025					
	Asset for remaining coverage		Asset for incurred claims		31 Dec 25
	Excluding loss recovery component	Loss recovery component	Present value of Future cash flows	Risk Adjustment	
Opening Reinsurance Contract Liabilities	(75)	-	-	-	(75)
Opening Reinsurance Contract Assets	76,577	0	606,418	130,857	813,853
Net reinsurance contract assets / (liabilities) opening balance	76,502	0	606,418	130,857	813,778
Allocation of reinsurance premiums	(831,081)	-	-	-	(831,081)
Amounts recoverable from reinsurers for incurred claims	-	-	689,608	(61,832)	627,776
Amounts recoverable for incurred claims and other expenses	-	-	1,518,841	-	1,518,841
Changes to amounts recoverable for incurred claims	-	-	(829,233)	(61,832)	(891,065)
Loss-recovery on onerous underlying contracts and adjustments	-	-	-	-	-
Reinsurance investment components	-	-	-	-	-
Net income or expense from reinsurance contracts held	(831,081)	-	689,608	(61,832)	(203,305)
Reinsurance finance income	19,554	-	157,857	-	177,411
Foreign currency translation adjustments	-	-	-	-	-
Total changes in the statement of comprehensive income	(811,527)	-	847,465	(61,832)	(25,894)
Cash flows					
Reinsurance premiums paid	1,639,352	-	-	-	1,639,352
Claim recoveries from reinsurers	-	-	(1,103,662)	-	(1,103,662)
Total cash flows	1,150,997	-	(1,103,662)	-	47,335
Non-cash flow items					
Reinsurance premiums payable	(37)	-	-	-	(37)
Total non-cash flows	(37)	-	-	-	(37)
Net reinsurance contract assets / (liabilities) closing balance	415,935	0	350,221	69,025	835,181
Closing Reinsurance Contract Liabilities	(112)	-	-	-	(112)
Closing Reinsurance Contract Assets	416,047	0	350,221	69,025	835,293
Net reinsurance contract assets / (liabilities) closing balance	415,935	0	350,221	69,025	835,181

COMPANY - 31 December 2025					
	Asset for remaining coverage		Asset for incurred claims		31 Dec 25
	Excluding loss recovery component	Loss recovery component	Present value of Future cash flows	Risk Adjustment	
Opening Reinsurance Contract Liabilities	(75)	-	-	-	(75)
Opening Reinsurance Contract Assets	76,577	0	606,418	130,857	813,853
Net reinsurance contract assets / (liabilities) opening balance	76,502	0	606,418	130,857	813,778
Allocation of reinsurance premiums	(831,081)	-	-	-	(831,081)
Amounts recoverable from reinsurers for incurred claims	-	-	689,608	(61,832)	627,776
Amounts recoverable for incurred claims and other expenses	-	-	1,518,841	-	1,518,841
Changes to amounts recoverable for incurred claims	-	-	(829,233)	(61,832)	(891,065)
Loss-recovery on onerous underlying contracts and adjustments	-	-	-	-	-
Reinsurance investment components	-	-	-	-	-
Net income or expense from reinsurance contracts held	(831,081)	-	689,608	(61,832)	(203,305)
Reinsurance finance income	19,554	-	157,857	-	177,411
Foreign currency translation adjustments	-	-	-	-	-
Total changes in the statement of comprehensive income	(811,527)	-	847,465	(61,832)	(25,894)
Cash flows					
Reinsurance premiums paid	1,639,352	-	-	-	1,639,352
Ceding commission received	(488,355)	-	-	-	(488,355)
Claim recoveries from reinsurers	-	-	(1,103,662)	-	(1,103,662)
Total cash flows	1,150,997	-	(1,103,662)	-	47,335
Non-cash flow items					
Reinsurance premiums payable	(37)	-	-	-	(37)
Total non-cash flows	(37)	-	-	-	(37)
Net reinsurance contract assets / (liabilities) closing balance	415,935	0	350,221	69,025	835,181
Closing Reinsurance Contract Liabilities	(112)	-	-	-	(112)
Closing Reinsurance Contract Assets	416,047	0	350,221	69,025	835,293
Net reinsurance contract assets / (liabilities) closing balance	415,935	0	350,221	69,025	835,181

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23 Trade receivables

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Premium receivables	23.1	3,770,478	2,162,302	1,267,092	418,907
Current		3,770,478	2,162,302	1,267,092	418,907
		3,770,478	2,162,302	1,267,092	418,907

Trade receivables are not interest bearing and are generally on terms of 30 to 90 days.

23.1 Analysis of insurance receivables by counter party

Gross

Due from insurance brokers		4,484,316	2,876,140	1,294,841	446,656
		4,484,316	2,876,140	1,294,841	446,656
Allowance for impairment					
Due from insurance brokers		(713,838)	(713,838)	(27,749)	(27,749)
		(713,838)	(713,838)	(27,749)	(27,749)
		3,770,478	2,162,302	1,267,092	418,907

23.1.1 Analysis of movement in gross trade receivables

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Balance at 1 January		2,876,140	1,956,405	446,656	382,090
Premiums billed that increase the liability for remaining coverage (Gross premium written)		49,487,855	84,603,567	30,692,047	52,698,582
Allocation from deposits for premium	34.1	(1,714,407)	(1,766,233)	(514,407)	(1,766,233)
Cash premium receipts during the year		(46,165,273)	(81,917,599)	(29,329,455)	(50,867,783)
		4,484,316	2,876,140	1,294,841	446,656

23.1.2 Analysis of movement in ECL as at 30 June 2026

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Balance at 1 January		713,838	689,482	27,749	-
Additions during the year		-	24,356	-	27,749
		713,838	713,838	27,749	27,749

23.1.3 The age analysis of gross insurance receivables as at the end of the year are as follows:

Within 30 days		3,021,029	446,656	1,267,092	418,907
Above 30 days		1,463,286	2,429,484	-	-
		4,484,316	2,876,140	1,267,092	418,907

24 Other receivables and prepayments

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Prepayments	24.1	2,110,602	444,982	1,994,672	214,176
Advance commission		5,786	5,780	-	-
ATM Receivables		-	362	-	-
Other bank debtors	24.2	6,241	6,171	-	-
Due from related companies		-	-	-	119,089
Other receivables	24.3	5,114,823	4,118,962	761,445	525,855
		7,237,452	4,576,257	2,756,117	859,120
<i>Allowance for impairment charges on other receivables</i>	24.4	(1,899,356)	(1,893,213)	(213,531)	(212,671)
		5,338,097	2,683,044	2,542,586	646,449
Current		5,338,097	2,683,044	2,542,586	646,449
		5,338,097	2,683,044	2,542,586	646,449

24.1 Prepayments relate to prepaid expenses such as rent, maintenance agreements and other expenses.

24.2 This is made up of reversals in the bank statement of the Company by the Bank but with inadequate information to determine the reason for the reversal. The entry is corrected once the detailed information is obtained from the bank.

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24.3 Analysis of other receivables is as shown below:

	GROUP		COMPANY		
<i>in thousands of Nigerian Naira</i>	Notes	30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Non-financial instruments					
Excess interest charges		6,390	6,390	-	-
WHT recoverable		468,699	807,040	468,699	251,152
VAT input recoverable on investment property		15,000	15,000	-	-
Staff advance		-	381,712	-	-
Other trade receivables		76,498	847,799	76,498	86,242
		566,587	2,057,941	545,197	337,394
Financial instruments					
Receivables from property buyers		131,832	35,947	-	-
Property development debtors		-	3,123	-	-
Rent receivables		419,981	412,831	-	-
Balance held in Polaris Bank Plc		2,533	2,533	2,533	2,533
Balance held in Guaranty Trust Bank Plc		61,067	61,067	61,067	61,067
Balance held in Unity Bank Plc		1	1	1	1
Investment placement with Flourish Securities Investments and Trust Limited		7,129	7,129	-	-
Investment placement with BGL Securities Limited		38,753	38,753	-	-
Investment placement with Profound Securities		16,757	16,757	16,757	16,757
Investment placement with Safe Trust Mortgage Bank *		1,039,144	1,039,144	-	-
Title One Trading Limited		100,000	100,000	100,000	100,000
Others **		2,731,039	343,736	35,890	8,103
		4,548,236	2,061,021	216,248	188,461
		5,114,823	4,118,962	761,445	525,855

* In year 2023, the Group reclassified an amount of N1,039,144,000 from Cash and Cash Equivalent balance to Other Receivables and Prepayments. The reclassified amount represents the fixed-term investments held with Safetrust Mortgage Bank at various times. On 23 May 2023, the operating license of Safetrust Mortgage Bank Limited (the Bank) was revoked vide a Federal Republic of Nigeria Gazette, thereby necessitating the reclassification. Following the revocation, the entire balance held with the Bank of N1,039,144,000 was impaired. However, the Group has filed a claim with the Nigeria Deposit Insurance Corporation (NDIC) to recover the funds.

** These relate to staff housing upfront, receivable on disposal of Mutual Tulip Estate, etc.

24.4 **Expected credit loss on other receivables**

Set out below is the information about the credit exposure on the Group's other receivables items using a provision matrix. The loss allowance provision as at 31 March 2026 has also incorporated forward looking information.

31 Mar-2026	GROUP			COMPANY	
	Expected	Carrying	Expected credit	Carrying	Expected credit
	ratio	amount at default	loss	amount at default	loss
<i>in thousands of Nigerian Naira</i>					
Current	1%	3,247,947	32,479	553,449	5,534
Individual impairment:					
WHT recoverable	100%	-	-	-	-
Receivables from property buyers	100%	131,832	131,832	-	-
Property development debtors	100%	-	-	-	-
Excess interest charges	100%	-	-	-	-
Rent Recievables	100%	419,981	419,981	-	-
VAT input recoverable on investment property	100%	-	-	-	-
Florish Securities Investments and Trust Limited	100%	7,129	7,129	-	-
BGL Securities Limited	100%	38,753	38,753	-	-
Title One Trading Limited	100%	100,000	100,000	100,000	100,000
Balance held in Polaris Bank Plc	100%	2,533	2,533	2,533	2,533
Balance held in Guaranty Trust Bank Plc	100%	61,067	61,067	61,067	61,067
Balance held in Unity Bank Plc	100%	1	1	1	1
Investment placement with Profound Securities	100%	16,757	16,757	16,757	16,757
Investment placement with Safe Trust Mortgage Bank Ltd.	100%	1,039,144	1,039,144	-	-
Other receivables	100%	49,679	49,679	27,638	27,638
Total		5,114,823	1,899,356	761,445	213,531

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31 Dec-2025	GROUP			COMPANY	
	Expected	Carrying	Expected credit	Carrying	Expected credit
<i>in thousands of Nigerian Naira</i>	ratio	amount at default	loss	amount at default	loss
Current	1%	2,248,234	22,483	316,347	3,163
Individual impairment:					
WHT recoverable	100%	101,080	101,080	-	-
Receivables from property buyers	100%	25,127	25,127	-	-
Property development debtors	100%	3,123	3,123	-	-
Excess interest charges	100%	6,390	6,390	-	-
Rent Recievables	100%	350,500	350,500	-	-
VAT input recoverable on investment property	100%	15,000	15,000	-	-
Florish Securities Investments and Trust Limited	100%	7,129	7,129	-	-
BGL Securities Limited	100%	38,753	38,753	-	-
Title One Trading Limited	100%	100,000	100,000	100,000	100,000
Balance held in Polaris Bank Plc	100%	2,533	2,533	2,533	2,533
Balance held in Guaranty Trust Bank Plc	100%	61,067	61,067	61,067	61,067
Balance held in Unity Bank Plc	100%	1	1	1	1
Investment placement with Profound Securities	100%	16,757	16,757	16,757	16,757
Investment placement with Safe Trust Mortgage Bank Ltd.	100%	1,039,144	1,039,144	-	-
Other receivables	100%	104,124	104,124	29,150	29,150
Total		4,118,962	1,893,213	525,855	212,671

24.5 The movement in expected credit loss on other receivables

(a) Group	30 Jun 26		30 Jun 26	31 Dec 25
	Lifetime ECL not credit impaired	Lifetime ECL credit impaired	Total Impairment provision	Total Impairment provision
<i>in thousands of Nigerian Naira</i>				
As at 1 January	22,483	1,870,730	1,893,213	1,931,717
Expected credit loss charge/(reversal)	8	9,996 (3,853)	6,143	(38,504)
Balance as at period/year end	32,479	1,866,877	1,899,356	1,893,213

(b) Company	30 Jun 26		30 Jun 26	31 Dec 25
	Lifetime ECL not credit impaired	Lifetime ECL credit impaired	Total Impairment provision	Total Impairment provision
<i>in thousands of Nigerian Naira</i>				
As as at 1 January	3,163	209,508	212,671	211,427
Expected credit loss charge/(reversal)	8	2,371 (1,511)	860	1,245
Balance as at period/year end	5,534	207,997	213,531	212,671

25 Recapitalisation escrow account with CBN

This represents restricted cash placed in an escrow account with the Central Bank of Nigeria in accordance with the Nigerian Insurance Industry Reform Act (NIIRA) 2025 to complete the recapitalisation process of the Life business. The deposit is recognised at cost in the statement of financial position.

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Recapitalisation escrow account with CBN		8,000,000	-	-	-
		8,000,000	-	-	-
Non-current		8,000,000	-	-	-
		8,000,000	-	-	-

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26 Investment properties

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
At the beginning of the year		4,350,000	5,845,000	1,100,000	100,000
Additions		-	931,784	-	800,000
Disposal		(80,000)	(2,871,750)	-	-
Fair value gain on investment properties		-	444,966	-	200,000
		4,270,000	4,350,000	1,100,000	1,100,000

The items of investment properties are as shown below:

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Mutual Tulip Estate	i	135,000	135,000	-	-
Property at Ikota	ii	250,000	250,000	250,000	250,000
Property at Sango/Idiroko - Mogga	iii	120,000	120,000	-	-
Property at Sango/Idiroko - Caxtonjo	iv	-	80,000	-	-
Property at Onireke,Ibadan	v	475,000	475,000	-	-
Mutual Alpha Court duplex, Costain, Lagos	vi	540,000	540,000	-	-
Property at Asokoro, Abuja	vii	800,000	800,000	-	-
Property at Ado Ekiti Land	viii	850,000	850,000	-	-
Property at Oyingbo, Lagos	ix	250,000	250,000	-	-
Property at Alausa, Lagos	x	850,000	850,000	850,000	850,000
		4,270,000	4,350,000	1,100,000	1,100,000

26 Investment properties - Continued

Movement in Investment properties is shown below:

	Bal as at 1.1.2026	Additions	Disposal	Fair value gain/(loss)	Bal as at 31.03.2026
Mutual Tulip Estate	135,000	-	-	-	135,000
Property at Ikota	250,000	-	-	-	250,000
Property at Sango/Idiroko - Mogga	120,000	-	-	-	120,000
Property at Sango/Idiroko - Caxtonjo	80,000	-	(80,000)	-	-
Property at Onireke,Ibadan	475,000	-	-	-	475,000
Mutual Alpha Court duplex, Costain, Lagos	540,000	-	-	-	540,000
Property at Asokoro, Abuja	800,000	-	-	-	800,000
Property at Ado Ekiti Land	850,000	-	-	-	850,000
Property at Oyingbo, Lagos	250,000	-	-	-	250,000
Property at Alausa, Lagos	850,000	-	-	-	850,000
Balance at the end of the year	4,350,000	-	(80,000)	-	4,270,000

Movement in Investment properties is shown below:

	Bal as at 1.1.2025	Additions	Disposal	Fair value gain/(loss)	Bal as at 31.12.2025
Mutual Tulip Estate	200,000	131,784	(200,000)	3,216	135,000
Property at Ikeja, Lagos	450,000	-	(450,000)	-	-
Property at Ikota	100,000	-	-	150,000	250,000
Property at Sango/Idiroko - Mogga	100,000	-	-	20,000	120,000
Property at Sango/Idiroko - Caxtonjo	80,000	-	-	-	80,000
Property at Onireke,Ibadan	400,000	-	-	75,000	475,000
Mutual Alpha Court duplex, Costain, Lagos	2,380,000	-	(1,911,750)	71,750	540,000
Property at Asokoro, Abuja	750,000	-	-	50,000	800,000
Property at Akure Plots (5,302 Square Meters)	310,000	-	(310,000)	-	-
Property at Ado Ekiti Land	850,000	-	-	-	850,000
Property at Oyingbo, Lagos	225,000	-	-	25,000	250,000
Property at Alausa, Lagos	-	800,000	-	50,000	850,000
Balance at the end of the year	5,845,000	931,784	(2,871,750)	444,966	4,350,000

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Investment properties are stated at fair value, which has been determined based on valuations performed by Messr Bamiji Makinde Consulting , signed by ESV Otunba Saheed Makinde (FRC/2015/NIESV/00000010800 and Messr Arigbede & Co Estate Surveyors and Valuers (FRC/2014/00000004634), accredited independent valuers as at 31 December 2025. The valuers are specialists in valuing these types of investment properties. The determination of fair value of the investment property was supported by market evidence. The modalities and process of valuation utilized extensive analysis of market data and other sectors specific peculiarities corroborated with available data derived from previous experiences.

Valuations are performed on an annual basis and the fair value gains and losses were recorded within the profit or loss.

There are no restrictions on the realisability of investment property or remittance of income and proceeds of disposal. The Company has no contractual obligations to purchase, construct or develop investment property or for repairs or enhancement.

Description of valuation techniques used and key inputs to valuation on investment properties:

i *Mutual Tulip Estate*

Landed property of 11.40 hectares (28.5 acres) with industrial development potential lying, situate and being at Isheri Oke Village, off Lagos/Ibadan Expressway, Ifo Local Government Area, Ogun State in Nigeria was purchased at a cost of ₦747million. Forty percent or 4.56 hectares (11.4 acres) and 4.37 hectares (10.92 acres) of this land were sold as part of the disposal of investment properties in 2018 and 2021 respectively while additional 1.73 acres was acquired in 2025. The remaining 3.2 hectares (7.91 acres) was revalued to ₦135 million by Messrs Bamiji Makinde Consulting Estate Surveyors and Valuers as at 31 December 2025. The subsisting title to the subject property is a Deed of Assignment.

ii *Property at Ikota*

The property is situated at Olori Bolaji Akinloye Street, Ikota Villa Estate, Off Lekki-Epe express way, Lagos State. The property has a registered title and there is an executed Deed of Assignment in favour of the Company. The property is a 5-bedroom detached house. It measures a gross floor area of approximately 148.84 square meters. It is a building on two floors. The ground floor is provided with a sitting room, kitchen, store, a guest bedroom en-suite with toilet and bathroom. It was valued at N250million by Messr Bamiji Makinde Consulting Estate Surveyors and Valuers as at 31 December 2025. Perfection of title is on-going.

iii *Property at Sango/Idiroko - Mogga*

Landed property of 4040 square metres of land located at Sango/Idiroko road, opposite Mogga Petroleum, Onibukun village, Ota Atan, Ogun state in Nigeria was purchased at a cost of ₦90million. The landed property was valued to ₦120 million by Messrs Bamiji Makinde Consulting Estate Surveyors and Valuers as at 31 December 2025. The subsisting title to the subject property is a Deed of Assignment in favour of Mutual Benefits Life Assurance Limited.

iv *Property at Sango/Idiroko - Caxtonjo*

Landed property of 3665.6 square metres of land located at Sango/Idiroko road, opposite Caxtonjo Oil Onibukun village, Ota Atan, Ogun state in Nigeria was purchased at a cost of ₦60million. The landed property was valued to N80 million by Messrs Bamiji Makinde Consulting Estate Surveyors and Valuers as at 31 December 2025. The subsisting title to the subject property is a Deed of Assignment in favour of Mutual Benefits Life Assurance Limited.

v *Property at Onireke,Ibadan*

The property occupying 6808.179 square meters of land located at kudeti Avenue, Commercial Reservation Onireke, Ibadan, Oyo State in Nigeria was transferred from Mutual Benefits Assurance Plc to Mutual Benefits Life Assurance Limited in 2014. The property was transferred at a cost of ₦543,791,845. Portions of the property representing 3361.353 square meters and 946.826 square metres of the land were sold in 2020 and 2021 respectively. The remaining portion of (2500 square meters) consisting of Land and building was revalued to ₦475 million by Messrs Bamiji Makinde Consulting as at 31 December 2025. The subsisting title to the subject is a certificate of occupancy in favour of the Company.

vi *Mutual Alpha Court duplex, Costain, Lagos*

This represents 4 unsold units of the 60 units Terrace Triplex housing scheme located at Costain Iporin, Lagos. The property was constructed by Mutual Benefits Homes and Properties Limited and was transferred to the Mutual Benefits Life Assurance Limited in 2014 as part settlement of loan. As at 31 December 2025, the 4 units were revalued at ₦720,000,000 by Messr Bamiji Makinde Consulting Estate Surveyors and Valuers. The subsisting title is vested in Deed of Assignment between Mutual Benefits Homes and Properties Limited and Mutual Benefits Life Assurance Limited.

vii *Property At Abuja (Asokoro District, Abuja)*

This is a six bedroom detached house (207.12 square meters) on a rectangular shaped site covering and approximately land area of 800 square meters, situated at 78 Yakubu Gowon Crescent, Asokoro, Abuja, The property was purchased at a cost of ₦666.25million. The property was valued at ₦800million by Messr Bamiji Makinde Consulting Estate Surveyors and Valuers as at 31 December 2025. The subsisting title to the subject land is a deed of assignment in favour of the Company.

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viii **Property at Ado Ekiti Land**

Landed property consisting of 27,658 Hectares of land located at Ado-Ekiti, Ekiti State Nigeria was transferred to the Company from Mutual Homes and Properties Limited at a fair value of ₦700million. The property was valued at ₦850million by Messrs Arigbede & Co. Estate Surveyors and Valuers as at 31 December 2025. The subsisting title to the subject property is a deed of assignment in favour of the Company.

ix **Property at Oyingbo, Lagos**

Property of 461 square meters of land and building located at Apapa Road, Ebute-Metta, Lagos State, Nigeria was transferred at a value of ₦180million. Deed of Assignment in favour of the Company is awaiting registration. Approximately 62.2 square meters of the land has been affected by the Lagos Rail Mass Transit Red line Project. The unaffected portion of the property (land and building) was valued at ₦250million by Messrs Bamiji Makinde Consulting, Estate Surveyors and Valuers as at 31 December 2025. The subsisting title to the subject is vested in a Land Certificate registered at the Land Registry Office in Lagos State.

x **Property at Alausa, Lagos**

Landed property of 1,515.601 square metres of land located at Alausa central business district Lagos state in Nigeria was purchased at a cost of ₦800million. The landed property was revalued to ₦850 million by Messrs Bamiji Makinde Consulting Estate Surveyors and Valuers as at 31 December 2025. The subsisting title to the subject property is a Deed of Assignment in favour of the Company.

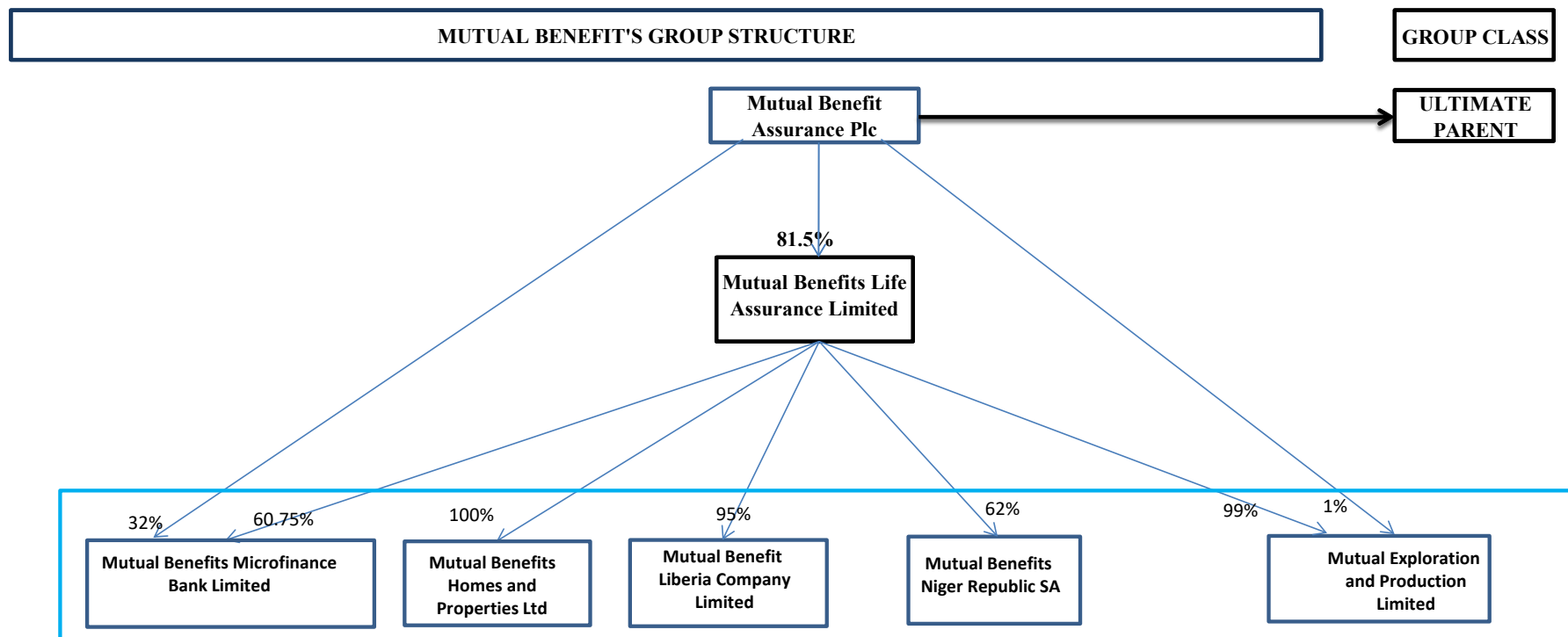
27 **Investments in subsidiaries**

The Company's investment in its subsidiaries is as stated

<i>in thousands of Nigerian Naira</i>	COMPANY	
	30 Jun-2026	31 Dec-2025
Mutual Benefits Life Assurance Limited	6,000,000	6,000,000
Mutual Benefits Microfinance Bank Limited	220,000	220,000
Mutual Exploration & Production Limited	7,238	7,238
	6,227,238	6,227,238
Movement in investment in subsidiaries:		
At 1 January	6,227,238	6,220,000
Equity investment in Mutual Exploration & Production Limited	-	7,238
Balance as at period/year end	6,227,238	6,227,238

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27 Investments in subsidiaries



	Company name	Nature of business	Country of origin	Relationship	% of equity controlled	NCI	Status	Year of control
1	Mutual Benefits Life Assurance Ltd	Insurance	Nigeria	Direct - Subsidiary	81.5%	18.5%	Set up	Dec 2007
2	Mutual Benefits Microfinance Bank Ltd	Banking	Nigeria	Indirect - Subsidiary	92.75%	7.25%	Acquired	Jan 2009
3	Mutual Benefits Homes and Properties Ltd	Property development	Nigeria	Indirect - Subsidiary	100%	0%	Set up	Jan 2008
4	Mutual Benefits Assurance Company, Liberia	Insurance	Liberia	Indirect - Subsidiary	95%	5%	Set up	Jan 2008
5	Mutual Benefits Assurance, Niger Republic	Insurance	Niger Republic	Indirect - Subsidiary	62.5%	37.5%	Set up	Jan 2014
6	Mutual Exploration and Production Limited	Oil & Gas	Nigeria	Indirect - Subsidiary	100.00%	0%	Set up	Aug 2025

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27 Investments in subsidiaries

Mutual Benefits Life Assurance Limited

Mutual Life Assurance Limited was incorporated in February 2007 and its principal activity involves the underwriting of life insurance policies.

In 2026, Mutual Benefits Assurance Limited issued 1,818,182 ordinary shares of N1 each which were taken by a new shareholder making its total outstanding shares 9,820,682. This led to a dilution in the holding of Group in the company to 81.5%.

Mutual Benefits Microfinance Bank

Mutual Benefits Microfinance Bank was incorporated in Nigeria in January 2008 and its principal activity involves the provision of retail banking services to both individual and corporate customers. Mutual Benefits Life Assurance Limited obtained control of the company with acquisition of 80% of the voting rights of the Company in January 2009. During the year 2020, Mutual Benefits Assurance Plc and its subsidiary, Mutual Benefits Life Assurance Ltd, increased total shareholding to 89.8% through the acquisition of additional 240 million units of ordinary shares in the Bank. The Group's shareholding in the Bank was further increased in 2023 to 91.83% through the acquisition of additional 122 million ordinary shares. The Company acquired a further N78million ordinary shares of the Bank in 2024 thereby increasing the Group's shareholding in the Bank to 92.75%.

Mutual Benefits Homes and Properties Ltd

Mutual Benefits Homes and Properties Limited was incorporated in December 2007 to provide property development services to corporate and individual customers. The Company was established as a wholly owned subsidiary of Mutual Benefits Life Assurance Limited.

Mutual Benefits Assurance Company Liberia

Mutual Benefit Assurance Company Liberia was incorporated on 29 August 2007 and commenced operations on 2 January 2008. It is into underwriting of all classes of non-Life and life businesses. It is 95% owned by Mutual Benefits Life Assurance Limited.

Mutual Benefits Assurance, Niger Republic SA

Mutual Benefits Niger S.A commenced operations on 2 January 2014. It is into underwriting non-life and health/medical insurance businesses. It was 96% owned by Mutual Benefits Life Assurance Limited until 31 December 2019 when the Company issued additional 59,484 unit of shares at a price of 31942CFA totalling 1,900,000,000CFA (NGN965,010,000). The shares were taken up by other shareholders (Non controlling interest), thereby diluting the shareholding of Mutual Benefits Life Assurance Limited in the Company to 62.47%.

Mutual Exploration and Production Limited

Mutual Exploration and Production Limited is a wholly owned subsidiary of Mutual Benefits Life Assurance Limited. The principal activity of the company is in the exploration and production of oil and gas resources. During the year 2025, Mutual Benefits Assurance Plc and its subsidiary, Mutual Benefits Life Assurance Ltd, acquired 1% and 99% of the shareholding through the acquisition of 1 million and 99 million units of ordinary shares in MEPL respectively making a wholly-owned subsidiary of the group.

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28 Intangible assets - Group

<i>in thousands of Nigerian Naira</i>	Note	Oil Mining Licence	Software	Total
Cost:				
1 January 2025		-	2,168,380	2,168,380
Additions		-	49,742	49,742
Licence-based identifiable intangible asset on acquisition		12,498,652	-	12,498,652
Foreign exchange difference		-	81,535	81,535
31 December 2025		12,498,652	2,299,657	14,798,309
Additions		-	33,079	33,079
Foreign exchange difference		-	-	-
30 June 2026		12,498,652	2,332,736	14,831,388
Amortization:				
1 January 2025		-	1,271,413	1,271,413
Charge for the year	14.1	-	146,552	146,552
Foreign exchange difference		-	520,936	520,936
31 December 2025		-	1,938,901	1,938,901
Charge for the year	14.1	-	62,447	62,447
Foreign exchange difference		-	1,814	1,814
30 June 2026		-	2,003,162	2,003,162
Carrying amounts at:				
30 June 2026		12,498,652	329,574	12,828,226
31 December 2025		12,498,652	360,756	12,859,408

28 Intangible assets - Company

<i>in thousands of Nigerian Naira</i>	Note	Software	Total
Cost:			
1 January 2025		510,329	510,329
Additions		15,106	15,106
31 December 2025		525,435	525,435
Additions		6,419	6,419
30 June 2026		531,854	531,854
Amortization:			
1 January 2025		274,771	274,771
Charge for the year	14.1	62,218	62,218
Foreign exchange difference		336,989	336,989
Charge for the year	14.1	32,076	32,076
30 June 2026		369,065	369,065
Carrying amounts at:			
30 June 2026		162,789	162,789
31 December 2025		188,446	188,446

- These exchange difference on Intangible assets occurred as a result of translation of balances relating to the foreign entities of the group as at reporting date.
- The licence-based asset is in respect of PML 21 acquired as part of a business combination. MEPL's stake in the PML was acquired through the conversion of an outstanding loan to Prime Exploration and Production Limited (see Note 20.3.1.3)
- The Group and Company had no capital commitments as at 30 June 2026 (2025: Nil).
- There were no capitalized borrowing costs related to the acquisition of intangibles assets during the year (2025: Nil).
- There are no restrictions on the Group and Company's title to its intangible assets.
- All intangible assets items are non-current.
- There are no impairment losses for the year (2025:Nil).

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29 Property, plant and equipments (Group)

<i>in thousands of Nigerian Naira</i>	Note	Leasehold Land	Building	Leasehold Improvement	Plant and machinery	Motor vehicles	Furniture, fittings and equipment	Total
Cost/revaluation:								
1 January 2025		1,374,547	6,110,285	754,271	300,431	2,642,684	3,540,105	14,722,322
Additions		-	39,692	38,899	95,730	222,014	130,290	526,625
Disposal		-	-	-	-	(19,829)	(516)	(20,345)
Foreign exchange difference		-	53,972	-	(4,906)	(49,156)	48,501	48,412
31 December 2025		1,374,547	6,203,949	793,170	391,255	2,795,714	3,718,379	15,277,013
Additions		-	-	49,091	130,095	590,507	64,950	834,642
Disposal		-	-	-	-	(26,119)	-	(26,119)
Foreign exchange difference		-	134,913	-	36,431	99,143	94,280	364,768
30 June 2026		1,374,547	6,338,862	842,260	557,781	3,459,245	3,877,608	16,450,304
Accumulated depreciation:								
1 January 2025		-	1,857,575	734,546	221,869	2,089,964	3,170,332	8,074,287
Charge for the year		-	99,926	3,981	15,999	222,528	243,240	585,674
Disposal		-	-	-	-	(19,600)	(257)	(19,857)
Foreign exchange difference		-	(235,585)	-	(4,532)	(48,463)	(186,718)	(475,298)
31 December 2025		-	1,721,917	738,527	233,337	2,244,429	3,226,598	8,164,807
Charge for the year	14.1	-	21,471	11,294	16,493	141,991	54,053	245,302
Disposal		-	-	-	-	(26,119)	-	(26,119)
Foreign exchange difference		-	227,546	-	49,054	162,140	195,691	634,431
30 June 2026		-	1,970,934	749,821	298,883	2,522,441	3,476,342	9,018,421
Carrying amounts at:								
30 June 2026		1,374,547	4,367,928	92,440	258,898	936,804	401,267	7,431,883
31 December 2025		1,374,547	4,482,032	54,643	157,919	551,284	491,781	7,112,206

- These exchange difference on PPE occurred as a result of translation of balances relating to the foreign entities of the group as at reporting date.
- There were no impairment losses on any class of property and equipment during the period (2025: Nil).
- There were no capitalized borrowing cost related to acquisition of property and equipment during the period (2025: Nil).
- There were no liens or encumbrances on assets as at the period end. No assets have been pledged as security for borrowing (2025: Nil).
- There were no capital commitments as at period end (2025: Nil).

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29 Property, plant and equipment (Company)

<i>in thousands of Nigerian Naira</i>	Note	Land	Buildings	Leasehold Improvements	Plant and machinery	Motor vehicles	Furniture, fittings and equipment	Total
Cost/revaluation:								
1 January 2025		960,000	1,457,870	754,271	139,010	1,359,380	1,395,517	6,066,048
Additions		-	-	38,899	48,030	153,259	41,765	281,953
Disposal		-	-	-	-	(6,000)	(516)	(6,516)
31 December 2025		960,000	1,457,870	793,170	187,040	1,506,639	1,436,766	6,341,485
Additions		-	-	24,545	68,638	521,007	38,491	652,680
Disposal		-	-	-	-	(14,794)	-	(14,794)
30 June 2026		960,000	1,457,870	817,715	255,678	2,012,851	1,475,257	6,979,371
Accumulated depreciation:								
1 January 2025		-	574,017	734,546	98,134	978,044	1,197,497	3,582,238
Charge for the year		-	42,980	3,981	12,167	142,533	78,611	280,272
Disposal		-	-	-	-	(6,000)	(256)	(6,256)
31 December 2025		-	616,998	738,527	110,301	1,114,577	1,275,852	3,856,255
Charge for the year	14.1	-	21,471	7,162	9,169	107,509	36,477	181,789
Disposal		-	-	-	-	(14,794)	-	(14,794)
30 June 2026		-	638,469	745,689	119,470	1,207,292	1,312,330	4,023,249
Carrying amounts at:								
30 June 2026		960,000	819,401	72,026	136,208	805,560	162,928	2,956,123
31 December 2025		960,000	840,872	54,643	76,739	392,062	160,914	2,485,231

- These exchange difference on PPE occurred as a result of translation of balances relating to the foreign entities of the group as at reporting date.
- There were no impairment losses on any class of property and equipment during the period (2025: Nil).
- There were no capitalized borrowing cost related to acquisition of property and equipment during the period (2025: Nil).
- There were no liens or encumbrances on assets as at the period end. No assets have been pledged as security for borrowing (2025: Nil).
- There were no capital commitments as at period end (2025: Nil).

29 Property, plant and equipment (Company)

- The Company's land and buildings were valued on 05 January 2023 by Alabi, Ojo & Makinde Estate Surveyors and Valuers (FRC/2015/NIESV/0000001080). The valuation which was based on open market value between a willing buyer and a willing seller produced a net surplus amount of ₦23,282,424.64 which has been credited to the property, plant and equipment revaluation account. As a result of the valuation, the revised value of the properties as at 1 January 2023 was ₦2,417,870,000.

The cost to date at the date of the initial revaluation in 2012 was ₦895,440,000. The property was valued in an open market by reference to the cost approach to value and the Income Approach to value was adopted to cross check the market value.

- If land and buildings were measured using the cost model, the carrying amounts would be as follows:

<i>in thousands of Nigerian Naira</i>	GROUP		COMPANY	
	30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Cost	1,263,290	1,263,290	895,440	895,440
Accumulated depreciation	(332,662)	(292,720)	(268,631)	(232,814)
	930,628	970,570	626,809	662,626

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30 Statutory deposit

This represents fixed deposit with the Central Bank of Nigeria in accordance with the Nigerian Insurance Industry Reform Act (NIIRA) 2025. The deposit is recognised at cost in the statement of financial position being 10% of the statutory minimum capital requirement of N15 billion for General insurance business and of N10 billion for life business.

The deposit has been tested for adequacy as at the period end and found to be adequate.

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Statutory deposit		2,500,000	500,000	1,500,000	300,000
		2,500,000	500,000	1,500,000	300,000
Non-current		2,500,000	500,000	1,500,000	300,000
		2,500,000	500,000	1,500,000	300,000

Movement in Statutory deposit:

<i>in thousands of Nigerian Naira</i>	GROUP		COMPANY	
	30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Balance at the beginning of the year	500,000	500,000	300,000	300,000
Addition during the year	2,000,000	-	1,200,000	-
Balance, end of period/year	2,500,000	500,000	1,500,000	300,000

31 Deferred tax assets

Movement in Deferred tax assets:

<i>in thousands of Nigerian Naira</i>	GROUP		COMPANY	
	30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Balance at the beginning of the year	498,308	723,770	237,919	240,737
Credit in profit or loss for the year	(141,513)	(225,462)	(142,452)	(2,818)
Balance, end of period/year	356,795	498,308	95,467	237,919

Deferred tax assets is attributable to the following:

<i>in thousands of Nigerian Naira</i>	GROUP		COMPANY	
	30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Property, plant and equipment	142,134	208,310	-	-
Expected credit losses	66,281	66,281	33,004	33,004
Tax losses	148,380	223,717	62,463	204,915
Balance, end of period/year	356,795	498,308	95,467	237,919

31.1 Unrecognised deferred tax assets

Deferred tax assets in respect of the following items have not been recognised because of the uncertainty in the availability of future taxable profit against which the Group can use the benefits therefrom.

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Property, plant and equipment		863,495	863,495	863,495	863,495
Tax losses		83,559,498	83,559,498	592,820	592,820
Balance, end of period/year		84,422,993	84,422,993	1,456,315	1,456,315

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32 Insurance and Reinsurance Contract

32.1 The breakdown of groups of insurance contracts issued, and reinsurance contracts held, that are in an asset position and those in a liability position is set out in the table below:

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Insurance contracts issued					
Liability for Remaining Coverage		31,182,480	24,272,079	17,763,434	13,576,641
Liability for Incurred claims		34,619,955	33,791,573	14,287,080	13,514,874
Total insurance contract liabilities		65,802,435	58,063,651	32,050,514	27,091,515
Asset for remaining coverage		(300)	(19)	-	-
Net insurance contract liabilities		65,802,135	58,063,633	32,050,514	27,091,515
Reinsurance contracts held					
Asset for Remaining Coverage		(4,335,978)	(2,858,420)	1,228,224	(2,208,476)
Asset for Incurred claims		(18,153,382)	(12,125,060)	(14,651,175)	(7,039,820)
Total reinsurance contract assets		(22,489,360)	(14,983,480)	(13,422,951)	(9,248,296)
Liability for remaining coverage		5,134,414	3,182,325	1,894,231	2,447,676
Net reinsurance contract assets		(17,354,945)	(11,801,155)	(11,528,720)	(6,800,620)
Net insurance/reinsurance contract liabilities		48,447,190	46,262,478	20,521,794	20,290,895

32.2 Roll-forward of net liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims per measurement basis

in thousands of Nigerian Naira	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Contracts measured using GMM					
Excluding loss components		300	19	-	-
Asset for Remaining coverage		300	19	-	-
Total contracts measured using GMM	32.3.2	300	19	-	-
Total Insurance contract asset		300	19	-	-
Contracts measured using PAA					
Excluding loss components		23,384,137	17,054,932	16,613,021	12,424,968
Loss components		464,887	92,895	38,094	37,449
Liability for Remaining coverage		23,849,024	17,147,827	16,651,115	12,462,417
Present value of future cash flows		30,895,562	30,185,328	11,446,004	10,990,562
Risk Adjustment		2,292,669	2,410,064	1,790,032	1,473,269
Liability for Incurred Claims		33,188,232	32,595,392	13,236,036	12,463,830
Total contracts measured using PAA	32.3.1	57,037,256	49,743,219	29,887,151	24,926,247
Contracts measured using GMM					
Excluding loss components		7,007,018	7,032,456	1,108,765	1,110,670
Loss components		326,438	91,795	3,554	3,554
Liability for Remaining coverage		7,333,456	7,124,251	1,112,319	1,114,225
Liability for Incurred Claims		1,431,723	1,196,181	1,051,044	1,051,044
Total contracts measured using GMM	32.3.2	8,765,179	8,320,432	2,163,363	2,165,268
Total Insurance contract liability		65,802,435	58,063,651	32,050,514	27,091,515

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32.3 Reconciliation of Liability for Remaining coverage and liability for incurred claims - All Segments - Entity level

The following tables shows the reconciliation of insurance contract liabilities (On an aggregate level) from Opening to Closing for All Contracts.

GROUP - 30 June 2026						
	Liability for remaining coverage		LIC for contracts not under PAA	Liability for incurred claims		30 Jun 26
	Excluding loss recovery component	Loss recovery component		Present value of Future cash flows	Risk Adjustment	
Opening Insurance Contract Liabilities	24,087,389	184,690	1,196,181	30,185,328	2,410,064	58,063,651
Opening Insurance Contract Assets	(19)	(0)	-	-	-	(19)
Net insurance contract (asset)/liabilities opening balance	24,087,370	184,690	1,196,181	30,185,328	2,410,064	58,063,633
Insurance revenue	(42,253,299)	-	-	-	-	(42,253,299)
Insurance service expenses	8,640,370	370,884	1,082,519	30,889,721	(117,395)	40,866,099
Incurred claims	-	0	2,575,041	39,814,503	-	42,389,544
Attributable Expenses	-	0	323,314	7,982,208	-	8,305,522
Changes to liabilities for incurred claims	-	-	(1,815,836)	(16,906,990)	(117,395)	(18,840,221)
Losses on onerous contracts and reversal of those losses	-	370,884	-	-	-	370,884
Amortisation of insurance acquisition cash flows	8,640,370	-	-	-	-	8,640,370
Investment components	(314,330)	-	314,330	-	-	-
Net income or expense from insurance contracts held	(33,927,259)	370,884	1,396,849	30,889,721	(117,395)	(1,387,200)
Insurance finance expenses	666,457	235,751	118,555	(2,690,327)	-	(1,669,564)
Total changes in the statement of comprehensive income	(33,260,802)	606,635	1,515,403	28,199,394	(117,395)	(3,056,765)
Cash flows						
Premiums received	49,487,855	-	-	-	-	49,487,855
Claims and other expenses paid	-	-	(1,279,861)	(24,061,534)	-	(25,341,395)
Insurance acquisition cash flows	(9,923,268)	-	-	-	-	(9,923,268)
Total cash flows	39,564,588	-	(1,279,861)	(24,061,534)	-	14,223,193
Other movements	-	-	-	-	-	-
Net insurance contract (asset)/liabilities closing balance	30,391,155	791,325	1,431,723	34,323,188	2,292,669	69,230,061
Closing Insurance Contract Liabilities	30,391,155	791,325	1,431,723	30,895,562	2,292,669	65,802,435
Closing Insurance Contract Assets	(300)	-	-	-	-	(300)
Net insurance contract (asset)/liabilities closing balance	30,390,855	791,325	1,431,723	30,895,562	2,292,669	65,802,135

COMPANY - 30 June 2026						
	Liability for remaining coverage		LIC for contracts not under PAA	Liability for incurred claims		30 Jun 26
	Excluding loss recovery component	Loss recovery component		Present value of Future cash flows	Risk Adjustment	
Opening Insurance Contract Liabilities	13,535,638	41,003	1,051,044	10,990,562	1,473,269	27,091,515
Opening Insurance Contract Assets	-	-	-	-	-	-
Net insurance contract (asset)/liabilities opening balance	13,535,638	41,003	1,051,044	10,990,562	1,473,269	27,091,515
Insurance revenue	(25,851,098)	-	-	-	-	(25,851,098)
Insurance service expenses	3,799,455	646	-	21,936,568	316,763	26,053,432
Incurred claims	-	-	-	27,521,621	-	27,521,621
Attributable Expenses	-	-	-	7,664,292	-	7,664,292
Changes to liabilities for incurred claims	-	-	-	(13,249,344)	316,763	(12,932,581)
Losses on onerous contracts and reversal of those losses	-	646	-	-	-	646
Amortisation of insurance acquisition cash flows	3,799,455	-	-	-	-	3,799,455
Investment components	-	-	-	-	-	-
Net income or expense from insurance contracts held	(22,051,643)	646	-	21,936,568	316,763	202,334
Insurance finance expenses	225	0	-	611,891	-	612,116
Total changes in the statement of comprehensive income	(22,051,418)	646	-	22,548,459	316,763	814,450
Cash flows						
Premiums received	30,692,047	-	-	-	-	30,692,047
Claims and other expenses paid	-	-	-	(22,885,144)	-	(22,885,144)
Insurance acquisition cash flows	(4,587,569)	-	-	-	-	(4,587,569)
Total cash flows	26,104,478	-	-	(22,885,144)	-	3,219,333
Other movements	133,088	-	-	(133,088)	-	-
Net insurance contract (asset)/liabilities closing balance	17,721,786	41,649	1,051,044	10,520,789	1,790,032	31,125,299
Closing Insurance Contract Liabilities	17,721,786	41,649	1,051,044	11,446,004	1,790,032	32,050,514
Closing Insurance Contract Assets	-	-	-	-	-	-
Net insurance contract (asset)/liabilities closing balance	17,721,786	41,649	1,051,044	11,446,004	1,790,032	32,050,514

GROUP - 31 December 2025						
	Liability for remaining coverage		LIC for contracts not under PAA	Liability for incurred claims		31 Dec 25
	Excluding loss recovery component	Loss recovery component		Present value of Future cash flows	Risk Adjustment	
Opening Insurance Contract Liabilities	19,790,008	1,809,970	1,128,345	21,927,772	2,354,602	47,010,697
Opening Insurance Contract Assets	(0)	-	-	-	-	(0)
Net insurance contract (asset)/liabilities opening balance	19,790,008	1,809,970	1,128,345	21,927,772	2,354,602	47,010,697
Insurance revenue	(79,982,208)	(67,436)	-	-	-	(80,049,644)
Insurance service expenses	14,257,777	(2,021,187)	2,608,036	56,246,982	(234,789)	70,856,819
Incurred claims	-	-	2,538,656	62,892,815	-	65,431,472
Attributable Expenses	-	-	1,067,822	16,425,665	-	17,493,487
Changes to liabilities for incurred claims	-	-	(998,442)	(23,071,498)	(234,789)	(24,304,730)
Losses on onerous contracts and reversal of those losses	-	(2,021,187)	-	-	-	(2,021,187)
Amortisation of insurance acquisition cash flows	14,257,777	-	-	-	-	14,257,777
Investment components	(1,244,821)	-	1,244,821	-	-	-
Net income or expense from insurance contracts held	(66,969,253)	(2,088,623)	3,852,857	56,246,982	(234,789)	(9,192,825)
Insurance finance expenses	1,319,454	466,740	234,715	4,222,325	290,251	6,533,484
Total changes in the statement of comprehensive income	(65,649,798)	(1,621,883)	4,087,572	60,469,307	55,462	(2,659,341)
Cash flows						
Premiums received	81,917,599	-	-	-	-	81,917,599
Claims and other expenses paid	-	-	(4,164,873)	(52,297,685)	-	(56,462,558)
Insurance acquisition cash flows	(14,428,732)	-	-	-	-	(14,428,732)
Total cash flows	67,488,867	-	(4,164,873)	(52,297,685)	-	11,026,309
Other movements	(227,675)	3,103	-	224,572	-	0
Net insurance contract (asset)/liabilities closing balance	24,087,370	191,190	1,051,044	30,323,966	2,410,064	55,377,665
Closing Insurance Contract Liabilities	24,087,389	184,690	1,196,181	30,185,328	2,410,064	58,063,651
Closing Insurance Contract Assets	(19)	(0)	-	-	-	(19)
Net insurance contract (asset)/liabilities closing balance	24,087,370	184,690	1,196,181	30,185,328	2,410,064	58,063,633

COMPANY - 31 December 2025						
	Liability for remaining coverage		LIC for contracts not under PAA	Liability for incurred claims		31 Dec 25
	Excluding loss recovery component	Loss recovery component		Present value of Future cash flows	Risk Adjustment	
Opening Insurance Contract Liabilities	11,243,446	251,911	1,128,345	11,314,219	1,390,139	25,328,061
Opening Insurance Contract Assets	-	-	-	-	-	-
Net insurance contract (asset)/liabilities opening balance	11,243,446	251,911	1,128,345	11,314,219	1,390,139	25,328,061
Insurance revenue	(50,291,876)	-	-	-	-	(50,291,876)
Insurance service expenses	7,695,105	(216,930)	2,056,798	31,807,280	83,130	41,425,383
Incurred claims	-	-	2,426,913	31,380,556	-	33,807,470
Attributable Expenses	-	-	628,327	15,141,173	-	15,769,500
Changes to liabilities for incurred claims	-	-	(998,442)	(14,714,449)	83,130	(15,629,762)
Losses on onerous contracts and reversal of those losses	-	(216,930)	-	-	-	(216,930)
Amortisation of insurance acquisition cash flows	7,695,105	-	-	-	-	7,695,105
Investment components	-	-	-	-	-	-
Net income or expense from insurance contracts held	(42,596,771)	(216,930)	2,056,798	31,807,280	83,130	(8,866,492)
Insurance finance expenses	57,710	6,021	234,715	2,737,752	-	3,036,199
Total changes in the statement of comprehensive income	(42,539,060)	(210,908)	2,291,512	34,545,033	83,130	(5,830,293)
Cash flows						
Premiums received	50,867,783	-	-	-	-	50,867,783
Claims and other expenses paid	-	-	(2,368,814)	(34,988,491)	-	(37,357,305)
Insurance acquisition cash flows	(7,747,530)	-	-	-	-	(7,747,530)
Total cash flows	43,120,253	-	(2,368,814)	(34,988,491)	-	5,762,949
Other movements	(119,800)	-	-	119,800	-	-
Net insurance contract (asset)/liabilities closing balance	13,535,638	41,003	1,051,044	10,990,562	1,473,269	25,260,716
Closing Insurance Contract Liabilities	13,535,638	41,003	1,051,044	10,990,562	1,473,269	27,091,515
Closing Insurance Contract Assets	-	-	-	-	-	-
Net insurance contract (asset)/liabilities closing balance	13,535,638	41,003	1,051,044	10,990,562	1,473,269	27,091,515

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32.3.1 Reconciliation of Liability for Remianing coverage and liability for incurred claims-PAA- Entity level

The following tables shows the reconciliation of insurance contract liabilities (On an aggregate level) from Opening to Closing for Contracts measured under PAA. These portfolio include Aviation, Bond, Engineering, Fire, General Accident, Marine, Motor, Oil & Gas, Group Life, Individual Life (contracts within one year) and Medical.

	GROUP - 30 June 2026					GROUP - 31 December 2025				
	Liability for remaining coverage		Liability for incurred claims			Liability for remaining coverage		Liability for incurred claims		
	Excluding loss component	Loss component	Present value of Future cash flows	Risk Adjustment	30 Jun 26	Excluding loss component	Loss component	Present value of Future cash flows	Risk Adjustment	31 Dec 25
Opening Insurance Contract Liabilities	17,054,932	92,895	30,185,328	2,410,064	49,743,219	14,733,989	288,170	21,927,772	2,354,602	39,304,533
Opening Insurance Contract Assets	-	-	-	-	-	(0)	-	-	-	(0)
Net insurance contract (asset)/liabilities opening balance	17,054,932	92,895	30,185,328	2,410,064	49,743,219	14,733,989	288,170	21,927,772	2,354,602	39,304,533
Insurance revenue	(41,672,690)	-	-	-	(41,672,690)	(76,289,675)	-	-	-	(76,289,675)
Insurance service expenses	8,437,307	371,992	30,889,721	(117,395)	39,581,626	13,670,654	(191,879)	56,246,982	(234,789)	69,490,969
Incurred claims	-	0	39,814,503	-	39,814,503	-	-	62,892,815	-	62,892,815
Attributable Expenses	-	0	7,982,208	-	7,982,208	-	-	16,425,665	-	16,425,665
Changes to liabilities for incurred claims	-	-	(16,906,990)	(117,395)	(17,024,385)	-	-	(23,071,498)	(234,789)	(23,306,287)
Losses on onerous contracts and reversal of those losses	-	371,992	-	-	371,992	-	(191,879)	-	-	(191,879)
Amortisation of insurance acquisition cash flows	8,437,307	-	-	-	8,437,307	13,670,654	-	-	-	13,670,654
Investment components	-	-	-	-	-	-	-	-	-	-
Net income or expense from insurance contracts held	(33,235,383)	371,992	30,889,721	(117,395)	(2,091,064)	(62,619,021)	(191,879)	56,246,982	(234,789)	(6,798,707)
Insurance finance expenses	-	-	(2,690,327)	-	(2,690,327)	-	-	4,222,325	290,251	4,512,575
Total changes in the statement of comprehensive income	(33,235,383)	371,992	28,199,394	(117,395)	(4,781,391)	(62,619,021)	(191,879)	60,469,307	55,462	(2,286,131)
Cash flows										
Premiums received	49,487,855	-	-	-	49,487,855	79,089,311	-	-	-	79,089,311
Claims and other expenses paid	-	-	(24,061,534)	-	(24,061,534)	-	-	(52,297,685)	-	(52,297,685)
Insurance acquisition cash flows	(9,923,268)	-	-	-	(9,923,268)	(13,921,671)	-	-	-	(13,921,671)
Total cash flows	39,564,588	-	(24,061,534)	-	15,503,053	65,167,639	-	(52,297,685)	-	12,869,954
Other movements	-	-	-	-	-	(227,675)	3,103	224,572	-	0
Net insurance contract (asset)/liabilities closing balance	23,384,137	464,887	34,323,188	2,292,669	60,464,881	17,054,932	99,394	30,323,966	2,410,064	49,888,356
Closing Insurance Contract Liabilities	23,384,137	464,887	30,895,562	2,292,669	57,037,256	17,054,932	92,895	30,185,328	2,410,064	49,743,219
Closing Insurance Contract Assets	-	-	-	-	-	-	-	-	-	-
Net insurance contract (asset)/liabilities closing balance	23,384,137	464,887	30,895,562	2,292,669	57,037,256	17,054,932	92,895	30,185,328	2,410,064	49,743,219

	COMPANY - 30 June 2026					COMPANY - 31 December 2025				
	Liability for remaining coverage		Liability for incurred claims			Liability for remaining coverage		Liability for incurred claims		
	Excluding loss component	Loss component	Present value of Future cash flows	Risk Adjustment	30 Jun 26	Excluding loss component	Loss component	Present value of Future cash flows	Risk Adjustment	31 Dec 25
Opening Insurance Contract Liabilities	12,424,968	37,449	10,990,562	1,473,269	24,926,247	10,510,747	170,234	11,314,219	1,390,139	23,385,340
Opening Insurance Contract Assets	-	-	-	-	-	-	-	-	-	-
Net insurance contract (asset)/liabilities opening balance	12,424,968	37,449	10,990,562	1,473,269	24,926,247	10,510,747	170,234	11,314,219	1,390,139	23,385,340
Insurance revenue	(25,843,870)	-	-	-	(25,843,870)	(47,835,101)	-	-	-	(47,835,101)
Insurance service expenses	3,794,357	646	21,936,568	316,763	26,048,334	7,251,785	(132,786)	31,807,280	83,130	39,009,410
Incurred claims	-	-	27,521,621	-	27,521,621	-	-	31,380,556	-	31,380,556
Attributable Expenses	-	-	7,664,292	-	7,664,292	-	-	15,141,173	-	15,141,173
Changes to liabilities for incurred claims	-	-	(13,249,344)	316,763	(12,932,581)	-	-	(14,714,449)	83,130	(14,631,320)
Losses on onerous contracts and reversal of those losses	-	646	-	-	646	-	(132,786)	-	-	(132,786)
Amortisation of insurance acquisition cash flows	3,794,357	-	-	-	3,794,357	7,251,785	-	-	-	7,251,785
Investment components	-	-	-	-	-	-	-	-	-	-
Net income or expense from insurance contracts held	(22,049,513)	646	21,936,568	316,763	204,464	(40,583,316)	(132,786)	31,807,280	83,130	(8,825,691)
Insurance finance expenses	-	0	611,891	-	611,891	-	-	2,737,752	-	2,737,752
Total changes in the statement of comprehensive income	(22,049,513)	646	22,548,459	316,763	816,355	(40,583,316)	(132,786)	34,545,033	83,130	(6,087,939)
Cash flows:										
Premiums received	30,692,047	-	-	-	30,692,047	49,955,793	-	-	-	49,955,793
Claims and other expenses paid	-	-	(22,885,144)	-	(22,885,144)	-	-	(34,988,491)	-	(34,988,491)
Insurance acquisition cash flows	(4,587,569)	-	-	-	(4,587,569)	(7,338,456)	-	-	-	(7,338,456)
Total cash flows	26,104,478	-	(22,885,144)	-	3,219,333	42,617,337	-	(34,988,491)	-	7,628,846
Other movements	133,088	-	(133,088)	-	-	(119,800)	-	119,800	-	-
Net insurance contract (asset)/liabilities closing balance	16,613,021	38,094	10,520,789	1,790,032	28,961,936	12,424,968	37,448	10,990,562	1,473,269	24,926,247
Closing Insurance Contract Liabilities	16,613,021	38,094	11,446,004	1,790,032	29,887,151	12,424,968	37,449	10,990,562	1,473,269	24,926,247
Closing Insurance Contract Assets	-	-	-	-	-	-	-	-	-	-
Net insurance contract (asset)/liabilities closing balance	16,613,021	38,094	11,446,004	1,790,032	29,887,151	12,424,968	37,449	10,990,562	1,473,269	24,926,247

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32.3.2 Reconciliation of Liability for Remianing coverage and liability for incurred claims-GMM- Entity level

The following tables show the reconciliation of insurance contract liabilities (On an aggregate level) from Opening to Closing for Contracts measured under GMM. These Portfolio includes Bond, Engineering, Annuities (Deferred and Immediate), and Individual Life products over 1 year

GROUP - 30 June 2026					
Liability for remaining coverage		Liability for incurred claims			
Excluding loss component	Loss component	Present value of Future cash flows	Risk Adjustment	30 Jun 26	
Opening Insurance Contract Liabilities	7,032,456	91,795	1,030,026	166,155	8,320,432
Opening Insurance Contract Assets	(19)	(0)	-	-	(19)
Net insurance contract (asset)/liabilities opening balance	7,032,437	91,795	1,030,026	166,155	8,320,413
Insurance revenue	(580,609)	-	-	-	(580,609)
Insurance service expenses	203,063	(1,108)	1,075,664	6,855	1,284,473
Incurred claims	-	0	2,568,186	6,855	2,575,041
Attributable Expenses	-	0	323,314	-	323,314
Changes to liabilities for incurred claims	-	-	(1,815,836)	-	(1,815,836)
Losses on onerous contracts and reversal of those losses	-	(1,108)	-	-	(1,108)
Amortisation of insurance acquisition cash flows	203,063	-	-	-	203,063
Investment components	(314,330)	-	314,330	-	-
Net income or expense from insurance contracts held	(691,876)	(1,108)	1,389,994	6,855	703,864
Insurance finance expenses	666,457	235,751	118,555	-	1,020,763
Total changes in the statement of comprehensive income	(25,419)	234,643	1,508,548	6,855	1,724,627
Cash flows					
Premiums received	-	-	-	-	-
Claims and other expenses paid	-	-	(1,279,861)	-	(1,279,861)
Insurance acquisition cash flows	-	-	-	-	-
Total cash flows	-	-	(1,279,861)	-	(1,279,861)
Other movements	-	-	-	-	-
Net insurance contract (asset)/liabilities closing balance	7,007,018	326,438	1,258,713	173,010	8,765,179
Closing Insurance Contract Liabilities	7,007,018	326,438	1,258,713	173,010	8,765,179
Closing Insurance Contract Assets	(300)	-	-	-	(300)
Net insurance contract (asset)/liabilities closing balance	7,006,718	326,438	1,258,713	173,010	8,764,879

COMPANY - 30 June 2026					
Liability for remaining coverage		Liability for incurred claims			
Excluding loss component	Loss component	Present value of Future cash flows	Risk Adjustment	30 Jun 26	
Opening Insurance Contract Liabilities	1,110,670	3,554	884,889	166,155	2,165,268
Opening Insurance Contract Assets	-	-	-	-	-
Net insurance contract (asset)/liabilities opening balance	1,110,670	3,554	884,889	166,155	2,165,268
Insurance revenue	(7,228)	-	-	-	(7,228)
Insurance service expenses	5,098	-	-	-	5,098
Incurred claims	-	-	-	-	-
Attributable Expenses	-	-	-	-	-
Changes to liabilities for incurred claims	-	-	-	-	-
Losses on onerous contracts and reversal of those losses	-	-	-	-	-
Amortisation of insurance acquisition cash flows	5,098	-	-	-	5,098
Investment components	-	-	-	-	-
Net income or expense from insurance contracts held	(2,130)	-	-	-	(2,130)
Insurance finance expenses	225	-	-	-	225
Total changes in the statement of comprehensive income	(1,905)	-	-	-	(1,905)
Cash flows:					
Premiums received	-	-	-	-	-
Claims and other expenses paid	-	-	-	-	-
Insurance acquisition cash flows	-	-	-	-	-
Total cash flows	-	-	-	-	-
Other movements	-	-	-	-	-
Net insurance contract (asset)/liabilities closing balance	1,108,765	3,554	884,889	166,155	2,163,363
Closing Insurance Contract Liabilities	1,108,765	3,554	884,889	166,155	2,163,363
Closing Insurance Contract Assets	-	-	-	-	-
Net insurance contract (asset)/liabilities closing balance	1,108,765	3,554	884,889	166,155	2,163,363

GROUP - 31 December 2025					
Liability for remaining coverage		Liability for incurred claims			
Excluding loss component	Loss component	Present value of Future cash flows	Risk Adjustment	31 Dec 25	
5,056,019	-	935,110	193,235	6,184,364	
-	-	-	-	-	
5,056,019	1,521,800	935,110	193,235	6,184,364	
(3,692,533)	(67,436)	-	-	(3,759,968)	
587,122	(1,829,308)	2,635,117	(27,080)	1,365,850	
-	-	2,731,892	(193,235)	2,538,656	
-	-	1,067,822	-	1,067,822	
-	-	(1,164,597)	166,155	(998,442)	
-	(1,829,308)	-	-	(1,829,308)	
587,122	-	-	-	587,122	
(1,244,821)	-	1,244,821	-	-	
(4,350,231)	(1,896,744)	3,879,938	(27,080)	(2,394,118)	
1,319,454	466,740	234,715	-	2,020,909	
(3,030,777)	(1,430,004)	4,114,652	(27,080)	(373,210)	
5,514,256	-	-	-	5,514,256	
-	-	(4,164,873)	-	(4,164,873)	
(507,061)	-	-	-	(507,061)	
5,007,196	-	(4,164,873)	-	842,323	
-	-	-	-	-	
7,032,438	91,795	884,889	166,155	6,653,477	
7,032,456	91,795	1,030,026	166,155	8,320,432	
(19)	(0)	-	-	(19)	
7,032,437	91,795	1,030,026	166,155	8,320,413	

COMPANY - 31 December 2025					
Liability for remaining coverage		Liability for incurred claims			
Excluding loss component	Loss component	Present value of Future cash flows	Risk Adjustment	31 Dec 25	
732,699	81,677	935,110	193,235	1,942,721	
-	-	-	-	-	
732,699	81,677	935,110	193,235	1,942,721	
(2,456,775)	-	-	-	(2,456,775)	
443,320	(84,144)	2,083,878	(27,080)	2,415,973	
-	-	2,620,149	(193,235)	2,426,913	
-	-	628,327	-	628,327	
-	-	(1,164,597)	166,155	(998,442)	
-	(84,144)	-	-	(84,144)	
443,320	-	-	-	443,320	
-	-	-	-	-	
(2,013,455)	(84,144)	2,083,878	(27,080)	(40,801)	
57,710	6,021	234,715	-	298,446	
(1,955,744)	(78,123)	2,318,593	(27,080)	257,645	
2,742,789	-	-	-	2,742,789	
-	-	(2,368,814)	-	(2,368,814)	
(409,073)	-	-	-	(409,073)	
2,333,716	-	(2,368,814)	-	(35,097)	
-	-	-	-	-	
1,110,670	3,555	884,889	166,155	2,165,269	
1,110,670	3,554	884,889	166,155	2,165,268	
-	-	-	-	-	
1,110,670	3,554	884,889	166,155	2,165,268	

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33 Investment contract liabilities

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Group deposit administration		359,386	747,077	-	-
Individual deposit administration		37,134,946	36,034,583	-	-
		37,494,332	36,781,660	-	-
Current		16,673,885	16,664,341	-	-
Non-current		20,820,447	20,117,319	-	-
		37,494,332	36,781,660	-	-

The movement in deposit administration funds

Balance at the beginning of the year		36,781,660	34,176,638	-	-
Deposits received during the year		8,121,097	13,894,532	-	-
Guaranteed interest		1,027,890	1,923,802	-	-
Withdrawals during the year		(8,436,315)	(13,213,312)	-	-
Balance at the end of the period/year		37,494,332	36,781,660	-	-

34 Trade payables

Deposits for premium	34.1	1,477,122	1,605,589	765,921	514,407
		1,477,122	1,605,589	765,921	514,407
Current		1,477,122	1,605,589	765,921	514,407
		1,477,122	1,605,589	765,921	514,407

34.1 The movement in deposit for premium during the year is as follows:

Balance at the beginning of the year		1,605,589	2,589,322	514,407	1,766,233
Addition during the period/year		1,585,940	2,268,503	765,921	514,407
Allocation to premium in the period/year		(1,714,407)	(1,766,233)	(514,407)	(1,766,233)
Reclassified as investment contract liabilities		-	(1,486,003)	-	-
Balance at the end of the period/year		1,477,122	1,605,589	765,921	514,407

Deposit for premium represents premium received on general business, life insurance contracts and investment contracts for which the policy holders are yet to be identified at the reporting date. However, the Company employs all resources at its disposal to ensure prompt identification of the policy holders and subsequent reclassification to appropriate financial statement area as necessary.

35 Other liabilities

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Accruals		340,628	581,002	34,857	50,410
Rent received in advance		4,705	21,013	4,167	588
Due to related companies		-	-	548,022	-
PAYE		15,575	8,688	14,445	249
VAT payable		15,189	449,186	-	-
WHT payable		209,870	162,044	24,757	27,244
Staff pension		12,417	47,015	7,694	34
National Housing Fund		9,243	2,702	5,881	300
Cooperative deductions		14,661	6,567	-	-
Provision for NAICOM levy		484,464	844,883	302,093	523,929
Deposit for facility management		17,498	17,498	-	-
Other Creditors	35.1	3,501,798	2,622,550	16,626	38,247
Land deduction		100	100	-	-
Deposit for properties by customers		41,633	60,316	-	-
		4,667,781	4,823,564	958,542	641,001
Current		4,667,781	4,823,564	958,542	641,001
		4,667,781	4,823,564	958,542	641,001

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35.1 Analysis of other creditors

	GROUP		COMPANY	
	30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Cheques for reissue	9,155	46,022	-	-
Deferred income	376,480	-	-	-
Rent collected on behalf of third parties	28,500	-	-	-
Payable for goods & services	3,087,663	2,576,528	16,626	38,247
Balance at the end of the period/year	3,501,798	2,622,550	16,626	38,247

The financial element of the other liabilities includes; Accruals, Due to related companies, PAYE, VAT payable, WHT Payable, Staff pension, Salary control

36 Deposit liabilities

	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Current		1,359,469	359,449	-	-
Time		222,773	152,833	-	-
Savings		137,638	144,423	-	-
		1,719,880	656,705	-	-
Current		1,719,880	656,705	-	-
		1,719,880	656,705	-	-

37 Borrowings

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
GTBank margin facility	37.1	400,870	400,870	400,870	400,870
		400,870	400,870	400,870	400,870
Non-current		400,870	400,870	400,870	400,870
		400,870	400,870	400,870	400,870

37.1 GTBank margin facility

The Company obtained a margin loan facility of ₦600 million from Guaranty Trust Bank Plc to finance working capital requirements for Margin trading at 16% per annum on 19 June 2007, out of which ₦450 million was utilised. The facility was secured by lien on shares financed and an upfront 50% margin contribution (representing a 150% cover). The Bank was to dispose off the warehoused shares to liquidate the facility whenever the cover falls to 130%. Repayment of the facility was to be from proceeds of sale of shares financed.

There is however an on-going litigation on this facility arising from the rejection by the Company of the additional investment cover requested for by the Bank due to the fall in the value of the shares purchased against which the facility was initially secured. In the ensuing litigation, judgment was given in 2017 in favour of the Company at the Lagos High Court in the sum of N120,148,773.70 plus interest at 10% p.a. The total figure stood at N314,197,273 as at period end. The bank has appealed the judgment to the Court of Appeal.

38 Current income tax liabilities

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Balance at 1 January		1,079,418	781,516	632,216	424,740
Current income tax charge					
Company income tax		320,594	808,239	-	-
Education tax		-	59,850	-	59,850
Information technology tax		-	192,674	-	110,160
Police Trust Fund		-	980	-	551
Minimum tax		274,795	350,645	219,039	294,128
	17.1	595,389	1,412,389	219,039	464,689
Payments during the year		(611,241)	(1,114,487)	(465,187)	(257,213)
Balance at the end of the period/year		1,063,566	1,079,418	386,068	632,216

39 Deferred tax net assets/(liabilities)

<i>in thousands of Nigerian Naira</i>		GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Deferred tax assets	31	356,795	498,308	95,467	237,919
Deferred tax liabilities	39.1	(220,929)	(358,540)	(219,948)	(358,540)
		135,866	139,768	(124,481)	(120,621)

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39.1 Movement in Deferred tax liabilities

Balance, beginning of year	358,540	652,911	358,540	652,911
Charge/(credit) in profit or loss for the year	(137,653)	(294,370)	(138,592)	(294,370)
Balance at the end of the period/year	220,929	358,540	219,948	358,540

40 Share capital

	GROUP		COMPANY	
<i>in thousands of Nigerian Naira</i>	30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025

40.1 Issued and fully paid number of shares:

<i>At 1 January 2026: 20,061,622,397 (2025: 20,061,622,397) ord shares of 50k each</i>	10,030,811	10,030,811	10,030,811	10,030,811
<i>At the end of the period/year: 20,061,622,397 (2025: 20,061,622,397)</i>	10,030,811	10,030,811	10,030,811	10,030,811

40.2 Share premium

	GROUP		COMPANY	
<i>in thousands of Nigerian Naira</i>	30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
<i>At 1 January</i>	276,486	276,486	276,486	276,486
Balance, end of period/year	276,486	276,486	276,486	276,486

41 Treasury shares

	GROUP		COMPANY	
<i>in thousands of Nigerian Naira</i>	30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
<i>Company's shares held (500,000 shares at ₦0.50 per share)</i>	250	250	250	250

42 Foreign currency translation reserve

This comprises exchange differences resulting from the translation to Naira of the results and financial position of Group companies that have a functional currency other than Nigerian Naira. Mutual Benefits Assurance Company Liberia and Mutual Benefits Niger Republic SA have functional currencies other than Naira. See below and statement of changes in equity for movement in foreign currency translation reserve.

	GROUP		COMPANY	
<i>in thousands of Nigerian Naira</i>	30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Balance, beginning of the year	16,032,044	15,588,183	-	-
Other comprehensive income	(1,191,786)	468,545	-	-
Transfer to non-controlling interest	495,812	(24,684)	-	-
Balance, end of period/year	15,336,070	16,032,044	-	-

43 Contingency reserve

Under the Nigerian Insurance Industry Reform Act, 2025 (NIIRA 2025), the maintenance of a contingency reserve is no longer required. As a result, the business does not need to raise additional transfers to contingency reserves going forward, as it is now taken care of by the minimum capital requirements in the NIIRA 2025.

We are however expected to still maintain current balances in the reserve from prior years. Hence, no additional transfers to contingency reserves is made in the year.

	GROUP		COMPANY	
<i>in thousands of Nigerian Naira</i>	30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Balance, beginning of the year	7,984,617	7,984,617	5,979,068	5,979,068
Balance, end of period/year	7,984,617	7,984,617	5,979,068	5,979,068

44 Fair value reserve

The fair value reserve includes the net cumulative change in the fair value of investments classified under fair value through other comprehensive income until the investment is derecognised or impaired. See below and the statement of changes in equity for movement in fair value reserve.

		GROUP		COMPANY	
<i>in thousands of Nigerian Naira</i>	Notes	30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Balance, beginning of the year		(75,048)	(196,323)	456,756	242,108
Net revaluation gains on equity instrument at FVOCI		(37,503)	121,275	(25,194)	214,648
Balance, end of period/year		(112,551)	(75,048)	431,562	456,756

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45 Revaluation reserve

This reserve is the accumulation of revaluation gain on the land and buildings in line with the Company's accounting policies. See statement of changes in equity for movement in revaluation reserve.

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Balance, beginning of the year		1,536,429	1,536,429	1,355,693	1,355,693
Balance, end of period/year		1,536,429	1,536,429	1,355,693	1,355,693

46 Insurance finance reserves

This reserve is the accumulation of finance income (expenses) from insurance/reinsurance contracts held during the year.

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Balance, beginning of the year		1,131,581	2,795,915	323,634	994,304
Net finance (expenses)/income from insurance issued /reinsurance contracts held during the year		(241,275)	(1,664,334)	(196,746)	(670,670)
Balance, end of period/year		890,306	1,131,581	126,888	323,634

47 Retained Earnings

Retained earnings represents the amount available for dividend distribution to the equity shareholders of the Company, while accumulated losses represents the loss retained in the business over the periods. See below and statement of changes in equity for movement in retained earnings/(accumulated losses).

<i>in thousands of Nigerian Naira</i>	Notes	GROUP		COMPANY	
		30 Jun-2026	31 Dec-2025	30 Jun-2026	31 Dec-2025
Balance, beginning of the year		28,086,097	12,255,564	15,449,345	5,007,707
Profit for the period/year		8,289,143	16,231,765	3,509,508	10,842,871
Dividend Paid		-	(401,233)	-	(401,233)
Balance, end of period/year		36,375,240	28,086,097	18,958,854	15,449,345

48 Non-controlling interests in equity

<i>in thousands of Nigerian Naira</i>	Notes	GROUP	
		30 Jun-2026	31 Dec-2025
Opening balance		4,722,534	4,514,164
Addition during the year	48.1	8,000,000	-
Share from profit and loss		1,463,807	(20,351)
Share from other comprehensive income		(484,839)	228,721
Balance, end of period/year		13,701,502	4,722,534

- 48.1 During the year, the Company's subsidiary, Mutual Benefits Life Assurance Limited issued additional 1,818,181,818 units of ordinary shares of N1 each at a price of NGN4.40 per share totaling NGN8,000,000,000. The shares were taken up by other shareholders (Non-controlling interest), thereby diluting the shareholding of the Group to 81.50%.

49 Material related party transactions

Parent

Mutual Benefits Assurance Plc (incorporated in Nigeria) is the ultimate parent of the group.

Transactions between Mutual Benefits Assurance Plc and the subsidiaries also meet the definition of related party transactions. Where these are eliminated on consolidation, they are not disclosed in the consolidated financial statements.

The material related party transactions, outstanding balances at the period/year end, and related expense and income for the period/year are as follows:

Name of related party	Nature of relationship	Type of Transaction	30 Jun-2026	31 Dec-2025
<i>in thousands of Nigerian Naira</i>				
Receivables/ (Payables)				
Mutual Homes & Properties Ltd	Subsidiary	Loan	200,140	200,140
Mutual Benefits Microfinance Bank Ltd	Subsidiary	Current account	6,013	23,554
Mutual Benefits Microfinance Bank Ltd	Subsidiary	Fixed deposit	600,000	-
Mutual Benefits Life Assurance Ltd	Subsidiary	Intercompany	(548,022)	119,089

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50 Contingent liabilities

Litigation and claims

- i The Company is presently involved in twenty-one (21) litigations as defendants with estimated claims of ₦2,841,976,698 (Dec 2025: ₦2,841,976,698). In the directors' opinion, after taking appropriate legal advice, the outcome of these legal claims will not give rise to any significant loss at 30 June 2026.

In 2012, Mutual Benefits Assurance Company Liberia (MBACL) issued a performance bond in favour of Bea Mountain Mining Corporation (BMMC) in connection with a contract undertaken by International Construction Engineering (ICE) for BMMC. In 2014, a dispute arose between the parties (BMMC & ICE), resulting in arbitration proceedings in the UK. ICE was adjudged liable for US\$ 6,990,626 and GBP2,700,000 in damages. The Commercial Court in Liberia estimated this judgment, plus accumulated interest, at approximately US\$ 12,000,000(NGN10,885,320,000) at the end of 2023. The Company appealed the decision to the Supreme Court, but the Supreme Court declined jurisdiction, ordering the Company to deposit the judgment sum into an escrow account before appealing, regardless of the appeal's merits.

MBACL and representatives of BMMC have met and agreed to compromise the judgment by the payment of US\$3,000,000 in instalments in full and final settlement of the judgment sum. A claim provision of US\$3,000,000 (NGN 4,139,052,600) has been made in the financial statements as at 30 June 2026 (Dec 2025: NGN 4,307,271,301).

ii ***Capital commitments***

The Directors are of the opinion that all known liabilities and commitments which are relevant in assessing the Group's and the Company's state of financial affairs have been taken into account in the preparation of these consolidated and separate financial statements.

51 Contravention

There were no contraventions of laws and regulations for the period.

52 Event after the reporting date

There were no events after the reporting date that requires disclosure or adjustment in the consolidated and separate financial statements that has not been disclosed or adjusted.

53 Securities Trading Policy

In compliance with Rule 17.15 Disclosure of Dealings in Issuers' Shares, Rulebook of the Exchange 2015 (Issuers Rule) Mutual Benefits Assurance Plc maintains a Security Trading Policy which guides Directors, Audit Committee members, employees and all individuals categorized as insiders as to their dealing in the Company's shares. The Policy is regularly reviewed and updated by the Board. The Company has made specific inquiries of all the directors and other insiders and is not aware of any infringement of the policy during the period.

54 Statement of Investor Relation

Mutual Benefits Assurance Plc has a dedicated investors' portal on its corporate website which can be accessed via this link <https://www.mutualng.com/plc/about-investor> The Company's Investors' Relations officer can be reached through electronic mail at investor.relations@mutualng.com or telephone on; +2349054644444 for any investment relation enquiry.